EVERGREEN MARINE CORPORATION (TAIWAN) LTD. AND SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS AND REPORT OF INDEPENDENT ACCOUNTANTS

DECEMBER 31, 2013 AND 2012

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

REPORT OF INDEPENDENT ACCOUNTANTS TRANSLATED FROM CHINESE

To the Board of Directors and Shareholders of Evergreen Marine Corporation (Taiwan) Ltd.

We have audited the accompanying consolidated balance sheets of Evergreen Marine Corporation (Taiwan) Ltd. and its subsidiaries as of December 31, 2013, December 31, 2012 and January 1, 2012, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the years ended December 31, 2013 and 2012. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We did not audit the financial statements of certain consolidated subsidiaries. Those financial statements and the information disclosed in Note 13 were audited by other independent accountants whose reports thereon have been furnished to us, and our opinion expressed herein is based solely on the audit reports of other independent accountants. The statements reflect total assets of NT$63,629,147, NT$55,990,911 and NT$50,920,753, constituting 36.49%, 36.08% and 36.85% of the total consolidated assets as of December 31, 2013, December 31, 2012 and January 1, 2012, and net operating revenues of NT$46,627,813 and NT$42,861,459, constituting 33.49% and 30.39% of the total consolidated operating revenues for the years ended December 31, 2013 and 2012, respectively. In addition, we did not audit the financial statements of all the investee companies accounted for using the equity method. Those financial statements and the information disclosed in Note 13 were audited by other independent accountants whose reports thereon have been furnished to us, and our opinion expressed herein is based solely on the audit reports of other independent accountants. Long-term investments in these investee companies amounted to NT$14,323,875, NT$14,111,679 and NT$13,768,555, constituting 8.22%, 9.09% and 9.96% of total consolidated assets as of December 31, 2013, December 31, 2012 and January 1, 2012, respectively, and comprehensive loss (including share of profit or loss and share of other comprehensive income of associates and joint ventures accounted for using equity method) was NT$1,416,777 and NT$1,290,994 for the the years ended December 31, 2013 and 2012, respectively.

We conducted our audits in accordance with the "Regulations Governing Auditing and Attestation of Financial Statements by Certified Public Accountants" and generally accepted auditing standards in the Republic of China. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes

examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of other independent accountants provide a reasonable basis for our opinion.

In our opinion, based on our audits and the reports of other independent accountants, the financial statements referred to in the first paragraph present fairly, in all material respects, the financial position of Evergreen Marine Corporation (Taiwan) Ltd. as of December 31, 2013, December 31, 2012 and January 1, 2012, and their financial performance and cash flows for the years ended December 31, 2013 and 2012 in conformity with the "Regulations Governing Preparation of Financial Reports by Securities Issuers" and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations as endorsed by the Financial Supervisory Commission.

We have also audited the parent company only financial statements of Evergreen Marine Corporation (Taiwan) Ltd. as of and for the years ended December 31, 2013 and 2012, on which we have issued an unqualified opinion with explanatory paragraph thereon.

PricewaterhouseCoopers, Taiwan
March 31, 2014
Taipei, Taiwan
Republic of China

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and report of independent accountants are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

As the financial statements are the responsibility of the management, PricewaterhouseCoopers cannot accept any liability for the use of, or reliance on, the English translation or for any errors or misunderstandings that may derive from the translation.

EVERGREEN MARINE CORPORATION (TAIWAN) LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(Expressed in thousands of New Taiwan Dollars)

	Assets	Notes	December 31, 2013 AMOUNT	%	December 31, 2012 AMOUNT	%	January 1, 2012 AMOUNT	%
	Current assets							
1100	Cash and cash equivalents	6(1)	$ 33,502,442	19	$ 31,984,708	21	$ 23,006,258	17
1110	Financial assets at fair value through profit or loss - current	6(2)	5,172	-	1,407,989	1	2,232,678	2
1130	Held-to-maturity financial assets - current	6(4)	-	-	-	-	951,382	1
1150	Notes receivable, net		102,378	-	131,332	-	93,263	-
1170	Accounts receivable, net	6(5)	12,873,750	7	12,984,094	8	7,835,603	6
1180	Accounts receivable, net - related parties	7	351,973	-	172,326	-	151,270	-
1200	Other receivables		366,713	-	590,067	1	1,588,235	1
1210	Other receivables - related parties	7	344,493	-	224,033	-	520,638	-
1220	Current income tax assets		9,225	-	28,905	-	13,526	-
130X	Inventories	6(6)	5,181,840	3	5,233,026	3	4,814,786	3
1410	Prepayments		924,452	1	779,608	1	718,695	-
1470	Other current assets	6(7), 7 and 8	2,421,816	2	2,022,878	1	4,023,580	3
11XX	**Current assets**		56,084,254	32	55,558,966	36	45,949,914	33
	Non-current assets							
1510	Financial assets at fair value through profit or loss - non-current	6(2)	-	-	76,648	-	62,959	-
1523	Available-for-sale financial assets - non-current	6(3)	1,933,369	1	1,538,132	1	1,498,098	1
1527	Held-to-maturity financial assets - non-current	6(4)	370,000	-	370,000	-	370,000	-
1543	Financial assets carried at cost - non-current		-	-	-	-	3,421	-
1550	Investments accounted for using equity method	6(8) and 8	23,900,852	14	23,240,755	15	23,029,882	17
1600	Property, plant and equipment	6(9) and 8	76,169,083	44	57,895,081	37	48,023,637	35
1760	Investment property - net	6(10) and 8	2,012,006	1	2,040,255	1	2,022,584	2
1780	Intangible assets		9,658	-	6,214	-	3,380	-
1840	Deferred income tax assets	6(29)	487,294	-	620,383	1	568,435	-
1900	Other non-current assets	6(11) and 8	13,385,937	8	13,853,288	9	16,662,045	12
15XX	**Non-current assets**		118,268,199	68	99,640,756	64	92,244,441	67
1XXX	**Total assets**		$ 174,352,453	100	$ 155,199,722	100	$ 138,194,355	100

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EVERGREEN MARINE CORPORATION (TAIWAN) LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(Expressed in thousands of New Taiwan Dollars)

	Liabilities and Equity	Notes	December 31, 2013 AMOUNT	%	December 31, 2012 AMOUNT	%	January 1, 2012 AMOUNT	%
	Current liabilities							
2100	Short-term loans	6(12)	$ 596,860	-	$ 1,452,400	1	$ 3,910,312	3
2120	Financial liabilities at fair value through profit or loss - current		-	-	-	-	255,246	-
2170	Accounts payable		12,246,167	7	13,539,719	9	12,635,674	9
2180	Accounts payable - related parties	7	747,356	1	687,299	1	77,701	-
2200	Other payables		1,870,280	1	1,834,924	1	1,668,415	2
2220	Other payables - related parties	7	81,125	-	113,223	-	148,623	-
2230	Current income tax liabilities		192,053	-	84,948	-	184,138	-
2300	Other current liabilities	6(13) and 7	17,885,707	10	12,520,737	8	9,542,277	7
21XX	**Current liabilities**		33,619,548	19	30,233,250	20	28,422,386	21
	Non-current liabilities							
2530	Corporate bonds payable	6(14)	3,000,000	2	3,548,791	2	-	-
2540	Long-term loans	6(15)	56,930,059	32	41,534,538	27	37,863,525	27
2570	Deferred income tax liabilities	6(29)	1,248,772	1	1,392,139	1	1,407,704	1
2600	Other non-current liabilities	6(16)(17)(18)	19,384,485	11	17,731,755	11	6,724,149	5
25XX	**Non-current liabilities**		80,563,316	46	64,207,223	41	45,995,378	33
2XXX	**Total liabilities**		114,182,864	65	94,440,473	61	74,417,764	54
	Equity attributable to owners of the parent							
	Capital	6(19)						
3110	Common stock		34,749,523	20	34,749,407	22	34,734,581	25
	Capital surplus	6(20)						
3200	Capital surplus		7,271,957	4	7,271,879	5	7,262,380	5
	Retained earnings	6(21)						
3310	Legal reserve		9,115,638	5	9,102,785	6	9,102,785	7
3320	Special reserve		5,814,993	3	3,593,280	2	4,579,324	3
3350	Unappropriated retained earnings		1,118,877	1	5,121,929	3	4,074,031	3
	Other equity interest	6(22)						
3400	Other equity interest		(828,940)	-	(2,347,076)	(1)	(342,989)	-
31XX	**Equity attributable to owners of the parent**		57,242,048	33	57,492,204	37	59,410,112	43
36XX	**Non-controlling interest**		2,927,541	2	3,267,045	2	4,366,479	3
3XXX	**Total equity**		60,169,589	35	60,759,249	39	63,776,591	46
	Significant Contingent Liabilities And Unrecognized Contract Commitments	9						
	Significant Events After The Balance Sheet Date	11						
	Total liabilities and equity		$ 174,352,453	100	$ 155,199,722	100	$ 138,194,355	100

The accompanying notes are an integral part of these consolidated financial statements.
See report of independent accountants dated March 31, 2014.

EVERGREEN MARINE CORPORATION (TAIWAN) LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(Expressed in thousands of New Taiwan Dollars, except (loss) earnings per share)

			For the years ended December 31			
			2013		2012	
		Notes	AMOUNT	%	AMOUNT	%
4000	**Operating revenue**	6(23) and 7	$ 139,216,384	100	$ 141,026,391	100
5000	**Operating costs**	6(27)(28) and 7	(138,827,639)	(100)	(136,864,018)	(97)
5900	**Gross profit**		388,745	-	4,162,373	3
6200	General and administrative expenses		(5,496,528)	(4)	(5,278,403)	(4)
6000	**Operating expenses**	6(27)(28) and 7	(5,496,528)	(4)	(5,278,403)	(4)
6900	**Operating loss**		(5,107,783)	(4)	(1,116,030)	(1)
	Non-operating income and expenses					
7010	Other income	6(24)	640,324	1	857,552	1
7020	Other gains and losses	6(2)(25)	4,396,930	3	1,496,952	1
7050	Finance costs	6(26)	(412,086)	-	(457,770)	-
7060	Share of profit/(loss) of associates and joint ventures accounted for using equity method		(1,106,532)	(1)	(735,704)	(1)
7000	**Total non-operating income and expenses**		3,518,636	3	1,161,030	1
7900	**(Loss) profit before income tax**		(1,589,147)	(1)	45,000	-
7950	Income tax expense	6(29)	(457,657)	-	(256,671)	-
8200	**Loss for the year**		($ 2,046,804)	(1)	($ 211,671)	-
	Other comprehensive income (loss)					
8310	Exchange differences on translating the financial statements of foreign operations		$ 1,197,486	1	($ 2,254,867)	(2)
8325	Unrealized gain on valuation of available-for-sale financial assets		392,306	-	47,989	-
8360	Actuarial loss on defined benefit plans		(126,233)	-	(110,563)	-
8370	Share of other comprehensive loss of associates and joint ventures accounted for using equity method		(10,124)	-	(510,167)	-
8399	Income tax relating to the components of other comprehensive income		3,802	-	(2,386)	-
8300	**Other comprehensive income (loss) for the year, net of income tax**		$ 1,457,237	1	($ 2,829,994)	(2)
8500	**Total comprehensive loss for the year**		($ 589,567)	-	($ 3,041,665)	(2)
	Profit (loss), attributable to:					
8610	Owners of the parent		($ 1,497,304)	(1)	$ 312,544	-
8620	Non-controlling interest		($ 549,500)	-	($ 524,215)	-
	Comprehensive loss attributable to:					
8710	Owners of the parent		($ 250,135)	-	($ 1,942,231)	(1)
8720	Non-controlling interest		($ 339,432)	-	($ 1,099,434)	(1)
	(Loss) earnings per share (in dollars)	6(30)				
9750	**Basic (loss) earnings per share**		($ 0.43)		$ 0.09	
9850	**Diluted (loss) earnings per share**		($ 0.43)		$ 0.09	

The accompanying notes are an integral part of these consolidated financial statements.
See report of independent accountants dated March 31, 2014.

EVERGREEN MARINE CORPORATION (TAIWAN) LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(Expressed in thousands of New Taiwan Dollars)

	Notes	Equity attributable to owners of the parent									Non-controlling interest	Total equity
				Retained Earnings			Other equity interest					
		Common stock	Capital surplus	Legal reserve	Special reserve	Unappropriated retained earnings	Exchange differences on translating the financial statements of foreign operations	Unrealized gain or loss on available-for-sale financial assets	Hedging instrument gain (loss) on effective hedge of cash flow hedges	Total		
Year 2012												
Balance at January 1, 2012		$ 34,734,581	$ 7,262,380	$ 9,102,785	$ 4,579,324	$ 4,074,031	$ -	($ 362,353)	$ 19,364	$ 59,410,112	$ 4,366,479	$ 63,776,591
Appropriations of 2011 earnings	6(21)											
Special reserve		-	-	-	(986,044)	986,044	-	-	-	-	-	-
Donated assets		-	74	-	-	(2)	-	-	-	72	-	72
Conversion of convertible bonds into common stock	6(19)	14,826	12,038	-	-	-	-	-	-	26,864	-	26,864
Stock warrants of convertible bonds		-	(2,613)	-	-	-	-	-	-	(2,613)	-	(2,613)
Loss for the year		-	-	-	-	312,544	-	-	-	312,544	(524,215)	(211,671)
Other comprehensive loss for the year	6(22)	-	-	-	-	(250,688)	(1,867,363)	(127,649)	(9,075)	(2,254,775)	(575,219)	(2,829,994)
Balance at December 31, 2012		$ 34,749,407	$ 7,271,879	$ 9,102,785	$ 3,593,280	$ 5,121,929	($ 1,867,363)	($ 490,002)	$ 10,289	$ 57,492,204	$ 3,267,045	$ 60,759,249
Year 2013												
Balance at January 1, 2013		$ 34,749,407	$ 7,271,879	$ 9,102,785	$ 3,593,280	$ 5,121,929	($ 1,867,363)	($ 490,002)	$ 10,289	$ 57,492,204	$ 3,267,045	$ 60,759,249
Appropriations of 2012 earnings	6(21)											
Legal reserve		-	-	12,853	-	(12,853)	-	-	-	-	-	-
Special reserve		-	-	-	2,221,713	(2,221,713)	-	-	-	-	-	-
Conversion of convertible bonds into common stock	6(19)	116	99	-	-	-	-	-	-	215	-	215
Stock warrants of convertible bonds		-	(21)	-	-	-	-	-	-	(21)	-	(21)
Adjustments to share of changes in equity of associates and joint ventures		-	-	-	-	(215)	-	-	-	(215)	(72)	(287)
Loss for the year		-	-	-	-	(1,497,304)	-	-	-	(1,497,304)	(549,500)	(2,046,804)
Other comprehensive income (loss) for the year	6(22)	-	-	-	-	(270,967)	1,062,548	453,546	2,042	1,247,169	210,068	1,457,237
Balance at December 31, 2013		$ 34,749,523	$ 7,271,957	$ 9,115,638	$ 5,814,993	$ 1,118,877	($ 804,815)	($ 36,456)	$ 12,331	$ 57,242,048	$ 2,927,541	$ 60,169,589

The accompanying notes are an integral part of these consolidated financial statements.
See report of independent accountants dated March 31, 2014.

EVERGREEN MARINE CORPORATION (TAIWAN) LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Expressed in thousands of New Taiwan Dollars)

	Notes	2013	2012
CASH FLOWS FROM OPERATING ACTIVITIES			
Consolidated (loss) profit before tax for the year		($ 1,589,147)	$ 45,000
Adjustments			
Income and expenses having no effect on cash flows			
Financial assets and liabilities at fair value through profit or loss	6(25)	(18,963)	39,440
Depreciation	6(9)(10)	6,782,004	5,768,484
Amortization	6(27)	11,431	5,966
Amortization of bond discounts		12,426	114,134
Interest income	6(24)	(249,529)	(233,050)
Interest expense	6(26)	412,086	457,770
Dividend income	6(24)	(122,975)	(148,093)
Gain on disposal of available-for-sale financial assets		(574)	(20,889)
Realized loss from capital reduction of available-for-sale financial assets	6(3)	-	1,844
Loss on disposal of investments accounted for using equity method		-	1,356
Share of loss of associates and joint ventures accounted for using equity method		1,106,532	735,704
Net gain on disposal of property, plant and equipment		(4,342,038)	(1,388,377)
Changes in assets/liabilities relating to operating activities			
Net changes in assets relating to operating activities			
Financial assets at fair value through profit or loss		1,498,428	767,818
Notes receivable, net		32,366	(41,799)
Accounts receivable, net		443,602	(5,438,560)
Accounts receivable, net - related parties		(178,243)	(21,915)
Other receivables		239,844	951,279
Other receivables - related parties		(116,075)	278,548
Inventories		181,659	(599,696)
Prepayments		(127,821)	(83,490)
Other current assets		(355,380)	1,873,517
Other non-current assets		15,710	7,065
Net changes in liabilities relating to operating activities			
Accounts payable		(1,382,228)	1,027,662
Accounts payable - related parties		42,043	612,252
Other payables		(266,573)	306,387
Other current liabilities		777,589	3,708,255
Other non-current liabilities		62,343	(442,004)
Cash provided by generated from operations		2,868,517	8,284,608
Interest received		249,529	233,050
Interest paid		(565,812)	(544,749)
Income tax paid		(343,972)	(430,544)
Net cash provided by operating activities		2,208,262	7,542,365

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EVERGREEN MARINE CORPORATION (TAIWAN) LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Expressed in thousands of New Taiwan Dollars)

	Notes	2013	2012
CASH FLOWS FROM INVESTING ACTIVITIES			
Financial assets and liabilities at fair value through profit or loss		$ -	($ 238,185)
Acquisition of available-for-sale financial assets		-	(2,927)
Proceeds from disposal of available-for-sale financial assets		586	22,412
Proceeds from capital reduction of available-for-sale financial assets	6(3)	-	884
Proceeds from sale of held-to-maturity financial assets		-	945,240
Proceeds from capital reduction of investments accounted for using equity method		-	364,550
Acquisition of investments accounted for using equity method	6(8)	(1,832,052)	(2,024,986)
Proceeds from disposal of investments accounted for using equity method		-	92,436
Acquisition of property, plant and equipment	6(31)	(9,997,442)	(14,978,256)
Proceeds from disposal of property, plant and equipment		6,309,585	14,521,491
Acquisition of intangible assets		(14,088)	(8,872)
Other non-current assets	6(31)	(14,907,723)	(12,825,701)
Dividend received		436,503	436,791
Net cash used in investing activities		(20,004,631)	(13,695,123)
CASH FLOWS FROM FINANCING ACTIVITIES			
Increase in short-term loans		3,861,978	2,414,817
Decrease in short-term loans		(4,757,268)	(4,714,064)
(Decrease) increase in other payables	7	(29,326)	55,798
Increase in long-term loans		42,331,999	19,581,254
Decrease in long-term loans		(23,622,220)	(12,734,247)
Increase in corporate bonds payable		-	3,000,000
Decrease in corporate bonds payable		-	(2,500,000)
Increase in other non-current liabilities		1,179,565	11,573,136
Proceeds from disposal of donated treasury stock		-	72
Net change in non-controlling interest		(72)	-
Net cash provided by financing activities		18,964,656	16,676,766
Effect of exchange rate changes		349,447	(1,545,558)
Increase in cash and cash equivalents		1,517,734	8,978,450
Cash and cash equivalents at beginning of year		31,984,708	23,006,258
Cash and cash equivalents at end of year		$ 33,502,442	$ 31,984,708

The accompanying notes are an integral part of these consolidated financial statements.
See report of independent accountants dated March 31, 2014.

1. HISTORY AND ORGANIZATION

Evergreen Marine Corporation (Taiwan) Ltd. (the "Company") was established in the Republic of China. The Company and its subsidiaries (collectively referred herein as the "Group") are mainly engaged in domestic and international marine transportation, shipping agency services, and the distribution of containers. The Company was approved by the Securities and Futures Bureau (SFB), Financial Supervisory Commission, Executive Yuan, R.O.C. to be a public company on November 2, 1982 and was further approved by the SFB to be a listed company on July 6, 1987. The Company's shares have been publicly traded on the Taiwan Stock Exchange since September 21, 1987.

2. THE DATE OF AUTHORIZATION FOR ISSUANCE OF THE CONSOLIDATED FINANCIAL STATEMENTS AND PROCEDURES FOR AUTHORIZATION

These consolidated financial statements were authorized by the Board of Directors on March 25, 2014.

3. APPLICATION OF NEW STANDARDS, AMENDMENTS AND INTERPRETATIONS

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards ("IFRS") as endorsed by the Financial Supervisory Commission ("FSC")

Not applicable as it is the first-time adoption of IFRSs by the Group this year.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

IFRS 9, 'Financial Instruments': Classification and measurement of financial assets

A. The International Accounting Standards Board ("IASB") published IFRS 9, 'Financial Instruments', in November 2009, which will take effect on January 1, 2013 with early application permitted (Through the amendments to IFRS 9 published on November 19, 2013, the IASB has removed the previous mandatory effective date, but the standard is available for immediate application). Although the FSC has endorsed IFRS 9, FSC does not permit early application of IFRS 9 when IFRSs are adopted in R.O.C. in 2013. Instead, enterprises should apply International Accounting Standard No. 39 ("IAS 39"), 'Financial Instruments: Recognition and Measurement' reissued in 2009.

B. IFRS 9 was issued as the first step to replace IAS 39. IFRS 9 outlines the new classification and measurement requirements for financial instruments, which might affect the accounting treatments for financial instruments of the Group.

C. The Group has not evaluated the overall effect of the IFRS 9 adoption. However, based on preliminary evaluation, it was noted that the IFRS 9 adoption might have an impact on those instruments classified as 'available-for-sale financial assets' held by the Group, as IFRS 9 specifies that the fair value changes in the equity instruments that meet certain criteria may be

reported in other comprehensive income, and such amount that has been recognized in other comprehensive income should not be reclassified to profit or loss when such assets are derecognized. The Group recognized gain on equity instruments amounting to $381,273 in other comprehensive income for the year ended December 31, 2013.

(3) Effect of IFRSs issued by IASB but not yet endorsed by the FSC

The following are the assessment of new standards, interpretations and amendments issued by IASB that are effective but not yet endorsed by the FSC and have not been adopted by the Group (application of the new standards, interpretations and amendments should follow the regulations of the FSC):

New Standards, Interpretations and Amendments	Main Amendments	Effective Date Issued by IASB
Limited exemption from comparative IFRS 7 disclosures for first-time adopters (amendment to IFRS 1)	The amendment provides first-time adopters of IFRSs with the same transition relief that existing IFRS preparers received in IFRS 7, 'Financial Instruments: Disclosures' and exempts first-time adopters from providing the additional comparative disclosures.	July 1, 2010
Improvements to IFRSs 2010	Amendments to IFRS 1, IFRS 3, IFRS 7, IAS 1, IAS 34 and IFRIC 13.	January 1, 2011
IFRS 9, 'Financial instruments: Classification and measurement of financial liabilities'	IFRS 9 requires gains and losses on financial liabilities designated at fair value through profit or loss to be split into the amount of change in the fair value that is attributable to changes in the credit risk of the liability, which shall be presented in other comprehensive income, and cannot be reclassified to profit or loss when derecognizing the liabilities; and all other changes in fair value are recognized in profit or loss. The new guidance allows the recognition of the full amount of change in the fair value in the profit or loss only if there is reasonable evidence showing on initial recognition that the recognition of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch (inconsistency) in profit or loss. (That determination is made at initial recognition and is not reassessed subsequently.)	November 19, 2013 (Not mandatory)

New Standards, Interpretations and Amendments	Main Amendments	Effective Date Issued by IASB
Disclosures - transfers of financial assets (amendment to IFRS 7)	The amendment enhances qualitative and quantitative disclosures for all transferred financial assets that are not derecognized and for any continuing involvement in transferred assets, existing at the reporting date.	July 1, 2011
Severe hyperinflation and removal of fixed dates for first-time adopters (amendment to IFRS 1)	When an entity's date of transition to IFRSs is on, or after, the functional currency normalization date, the entity may elect to measure all assets and liabilities held before the functional currency normalization date at fair value on the date of transition to IFRSs. First-time adopters are allowed to apply the derecognition requirements in IAS 39, 'Financial instruments:Recognition and measurement', prospectively from the date of transition to IFRSs, and they are allowed not to retrospectively recognize related gains on the date of transition to IFRSs.	July 1, 2011
Deferred tax: recovery of underlying assets (amendment to IAS 12)	The amendment gives a rebuttable presumption that the carrying amount of investment properties measured at fair value is recovered entirely by sale, unless there exists any evidence that could rebut this presumption. The amendment also replaces SIC 21, 'Income taxes—recovery of revalued non-depreciable assets'.	January 1, 2012
IFRS 10, 'Consolidated financial statements'	The standard builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent company. The standard provides additional guidance to assist in the determination of control where it is difficult to assess.	January 1, 2013
IFRS 11,'Joint arrangements'	Judgments applied when assessing the types of joint arrangements-joint operations and joint ventures, the entity should assess the contractual rights and obligations instead of the legal form only. The standard also prohibits the proportional consolidation for joint ventures.	January 1, 2013

New Standards, Interpretations and Amendments	Main Amendments	Effective Date Issued by IASB
IFRS 12,'Disclosure of interests in other entities'	The standard requires the disclosure of interests in other entities including subsidiaries, joint arrangements, associates and unconsolidated structured entities.	January 1, 2013
IAS 27,'Separate financial statements' (as amended in 2011)	The standard removes the requirements of consolidated financial statements from IAS 27 and those requirements are addressed in IFRS 10, 'Consolidated financial statements'.	January 1, 2013
IAS 28,'Investments in associates and joint ventures'(as amended in 2011)	As consequential amendments resulting from the issuance of IFRS 11 , 'Joint arrangements', IAS 28 (revised) sets out the requirements for the application of the equity method when accounting for investments in joint ventures.	January 1, 2013
IFRS 13, 'Fair value measurement'	IFRS 13 aims to improve consistency and reduce complexity by providing a precise definition of fair value and a single source of fair value measurement and disclosure requirements for use across IFRSs. The requirements do not extend the use of fair value accounting but provide guidance on how it should be applied where its use is already required or permitted by other standards within IFRSs.	January 1, 2013
IAS 19 revised, 'Employee benefits' (as amended in 2011)	The revised standard eliminates corridor approach and requires actuarial gains and losses to be recognized immediately in other comprehensive income. Past service costs will be recognized immediately in the period incurred. Net interest expense or income, calculated by applying the discount rate to the net defined benefit asset or liability, replace the finance charge and expected return on plan assets. The return of plan assets, excluding net interest expenses, is recognized in other comprehensive income.	January 1, 2013

New Standards, Interpretations and Amendments	Main Amendments	Effective Date Issued by IASB
Presentation of items of other comprehensive income (amendment to IAS 1)	The amendment requires profit or loss and other comprehensive income (OCI) to be presented separately in the statement of comprehensive income. Also, the amendment requires entities to separate items presented in OCI into two groups based on whether or not they may be recycled to profit or loss subsequently.	July 1, 2012
IFRIC 20, 'Stripping costs in the production phase of a surface mine'	Stripping costs that meet certain criteria should be recognized as the 'stripping activity asset'. To the extent that the benefit from the stripping activity is realized in the form of inventory produced, the entity shall account for the costs of that stripping activity in accordance with IAS 2, 'Inventories'.	January 1, 2013
Disclosures—Offsetting financial assets and financial liabilities (amendment to IFRS 7)	The amendment requires disclosures to include quantitative information that will enable users of an entity's financial statements to evaluate the effect or potential effect of netting arrangements.	January 1, 2013
Offsetting financial assets and financial liabilities (amendment to IAS 32)	The amendment clarifies criterion that an entity 'currently has a legally enforceable right to set off the recognised amounts' and 'gross settlement mechanisms are effectively equivalent to net settlement'; they would therefore satisfy the IAS 32 criterion in these instances.	January 1, 2014
Government loans (amendment to IFRS 1)	The amendment provides exception to first-time adopters to apply the requirements in IFRS 9, 'Financial instruments', and IAS 20, 'Accounting for government grants and disclosure of government assistance', prospectively to government loans that exist at the date of transition to IFRS.	January 1, 2013
Improvements to IFRSs 2009-2011	Amendments to IFRS 1, IAS 1, IAS 16, IAS 32 and IAS 34.	January 1, 2013

New Standards, Interpretations and Amendments	Main Amendments	Effective Date Issued by IASB
Consolidated financial statements, joint arrangements and disclosure of interests in other Entities: Transition guidance (amendments to IFRS 10, IFRS 11 and IFRS 12)	The amendment clarifies that the date of initial application is the first day of the annual period in which IFRS 10, 11 and 12 is adopted.	January 1, 2013
Investment entities (amendments to IFRS 10, IFRS 12 and IAS 27)	The amendments define 'Investment Entities' and their characteristics. The parent company that meets the definition of investment entities should measure its subsidiaries using fair value through profit or loss instead of consolidating them.	January 1, 2014
IFRIC 21, 'Levies'	The interpretation addresses the accounting for levies imposed by governments in accordance with legislation (other than income tax). A liability to pay a levy shall be recognized in accordance with IAS 37, 'Provisions, contingent liabilities and contingent assets'.	January 1, 2014
Recoverable amount disclosures for non-financial assets (amendment to IAS 36)	The amendments remove the requirement to disclose recoverable amount when a cash generating unit (CGU) contains goodwill or intangible assets with indefinite useful lives that were not impaired.	January 1, 2014
Novation of derivatives and continuation of hedge accounting (amendment to IAS 39)	The amendment states that the novation of a hedging instrument would not be considered an expiration or termination giving rise to the discontinuation of hedge accounting when the hedging instrument that is being novated complies with specified criteria.	January 1, 2014
IFRS 9 "Financial assets: hedge accounting" and amendments to IFRS 9, IFRS 7 and IAS 39	1. IFRS 9 relaxes the requirements for hedged items and hedging instruments and removes the bright line of effectiveness to better align hedge accounting with the risk management activities of an entity. 2. An entity can elect to early adopt the requirement to recognise the changes in fair value attributable to changes in an entity's own credit risk from financial liabilities that are designated under the fair value option in 'other comprehensive income'.	November 19, 2013 (Not mandatory)

New Standards, Interpretations and Amendments	Main Amendments	Effective Date Issued by IASB
Services related contributions from employees or third parties (amendment to IAS 19R)	The amendment allows contributions from employees or third parties that are linked to service, and do not vary with the length of employee service, to be deducted from the cost of benefits earned in the period that the service is provided. Contributions that are linked to service, and vary according to the length of employee service, must be spread over the service period using the same attribution method that is applied to the benefits.	July 1, 2014
Improvements to IFRSs 2010-2012	Amendments to IFRS 2, IFRS 3, IFRS 8, IFRS 13, IAS 16, IAS 24 and IAS 38.	July 1, 2014
Improvements to IFRSs 2011-2013	Amendments to IFRS 1, IFRS 3, IFRS 13 and IAS 40.	July 1, 2014

The Group is assessing the potential impact of the new standards, interpretations and amendments above and has not yet been able to reliably estimate their impact on the consolidated financial statements.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

A. These consolidated financial statements are the first consolidated financial statements prepared by the Group in accordance with the "Regulations Governing the Preparation of Financial Reports by Securities Issuers" and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations as endorsed by the FSC (collectively referred herein as the "IFRSs").

B. In the preparation of the balance sheet of January 1, 2012 (the Group's date of transition to IFRSs) ("the opening IFRS balance sheet"), the Group has adjusted the amounts that were reported in the consolidated financial statements in accordance with previous R.O.C. GAAP. Please refer to Note 15 for the impact of transitioning from R.O.C. GAAP to IFRSs on the Group's financial position, financial performance and cash flows.

(2) Basis of preparation

A.Except for the following items, these consolidated financial statements have been prepared under the historical cost convention:

(a)Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.

(b)Available-for-sale financial assets measured at fair value.

(c)Liabilities on cash-settled share-based payment arrangements measured at fair value.

(d)Defined benefit liabilities recognized based on the net amount of pension fund assets plus unrecognized past service cost and unrecognized actuarial losses, and less unrecognized actuarial gains and present value of defined benefit obligation.

B.The preparation of financial statements in compliance with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

A.Basis for preparation of consolidated financial statements

(a)All subsidiaries are included in the Group's consolidated financial statements. Subsidiaries are all entities (including special purpose entities) over which the Group has the power to govern the financial and operating policies. In general, control is presumed to exist when the parent owns, directly or indirectly through subsidiaries, more than half of the voting power of an entity. The existence and effect of potential voting rights that are currently exercisable or convertible have been considered when assessing whether the Group controls another entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date that control ceases.

(b)Inter-company transactions, balances and unrealized gains or losses on transactions between companies within the Group are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

(c) Profit or loss and each component of other comprehensive income are attributed to the owners of the parent and to the non-controlling interests. Total comprehensive income is attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

(d)Changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary (transactions with non-controlling interests) are accounted for as equity transactions, i.e. transactions with owners in their capacity as owners. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity.

(e)When the Group loses control of a subsidiary, the Group remeasures any investment retained in the former subsidiary at its fair value. Any difference between fair value and carrying amount is recognized in profit or loss. All amounts previously recognized in other comprehensive income in relation to the subsidiary are reclassified to profit or loss, on the same basis as would be required if the related assets or liabilities were disposed of. That is, when the Group loses control of a subsidiary, all gains or losses previously recognized in other comprehensive income in relation to the subsidiary should be reclassified from equity to profit or loss, if such gains or losses would be reclassified to profit or loss when the related assets or liabilities are disposed of.

B. Subsidiaries included in the consolidated financial statements:

Name of Investor	Name of Subsidiary	Main business activities	Ownership (%) December 31, 2013	Ownership (%) December 31, 2012	Description
The Company	TTSC	Cargo loading and discharging	55.00	55.00	
〃	Peony	Investments in transport-related business	100.00	100.00	
〃	ETS	Terminal Services	100.00	100.00	
Peony	GMS	Container Shipping	100.00	100.00	
〃	Clove	Investments in container yards and port terminals	100.00	100.00	
〃	Vigor	Investments in container manufacturing	100.00	100.00	
〃	EMU	Container shipping	51.00	51.00	
〃	EHIC(M)	Manufacturing of dry steel containers and container parts	84.44	84.44	
〃	Armand N.V.	Investments in container yards and port terminals	70.00	70.00	
〃	KTIL	Loading, discharging, storage, repairs and cleaning	20.00	20.00	(a)

Name of Investor	Name of Subsidiary	Main business activities	Ownership (%) December 31, 2013	Ownership (%) December 31, 2012	Description
Peony	MBPI	Containers storage and inspections of containers at the customs house	95.03	95.03	
〃	MBT	Inland transportation, repairs and cleaning of containers	17.39	17.39	
〃	EGS	Agency services dealing with port formalities	51.00	51.00	
〃	EGK	〃	100.00	100.00	
〃	EMI	〃	51.00	51.00	
〃	EGT	〃	51.00	51.00	
〃	EGI	〃	99.99	99.99	
〃	EMA	〃	67.50	67.50	
〃	EIT	〃	55.00	55.00	
〃	EES	〃	55.00	55.00	
〃	ERU	〃	51.00	51.00	
〃	EGD	〃	100.00	100.00	
〃	EGUD	〃	100.00	100.00	
〃	EGD-WWX	〃	100.00	100.00	
〃	EGF	〃	100.00	100.00	
〃	EGN	〃	100.00	100.00	
〃	EGV	〃	51.00	51.00	

Name of Investor	Name of Subsidiary	Main business activities	Ownership (%) December 31, 2013	Ownership (%) December 31, 2012	Description
Peony	ESA	Agency services dealing with port formalities	55.00	55.00	
〃	EGB	Real estate leasing	95.00	95.00	
EMU	Island	Investments in operating machinery and equipment of port terminals	15.00	15.00	
〃	KTIL	Loading, discharging, storage, repairs and cleaning	20.00	20.00	(a)
〃	EGU	Agency services dealing with port formalities	100.00	100.00	
EGD	EGDL	〃	100.00	100.00	
	EGDV	〃	100.00	100.00	
Clove	Island	Investments in operating machinery and equipment of port terminals	36.00	36.00	
Armand N.V.	Armand B.V.	Investments in container yards and port terminals	100.00	100.00	
Island	Whitney	Investments and leases of operating machinery and equipment of port terminals	100.00	100.00	
〃	Hemlock	〃	100.00	100.00	
MBPI	MBT	Inland transportation, repairs and cleaning of containers	72.95	72.95	

Name of Investor	Name of Subsidiary	Main business activities	Ownership (%) January 1, 2012	Description
The Company	TTSC	Cargo loading and discharging	55.00	
〃	Peony	Investments in transport-related business	100.00	
〃	ETS	Terminal Services	100.00	
Peony	GMS	Container Shipping	100.00	
〃	Clove	Investments in container yards and port terminals	100.00	
〃	Vigor	Investments in container manufacturing	100.00	
〃	EMU	Container shipping	51.00	
〃	EHIC(M)	Manufacturing of dry steel containers and container parts	84.44	
〃	Armand N.V.	Investments in container yards and port terminals	70.00	
〃	SGTC	Loading, discharging, storage, repairs, cleaning and inland transportation of containers	55.00	(b)
〃	KTIL	Loading, discharging, storage, repairs and cleaning	20.00	
〃	MBPI	Containers storage and inspections of containers at the customs house	95.03	

Name of Investor	Name of Subsidiary	Main business activities	Ownership (%) January 1, 2012	Description
Peony	MBT	Inland transportation, repairs and cleaning of containers	17.39	
〃	EGS	Agency services dealing with port formalities	51.00	
〃	EGK	〃	100.00	
〃	EMI	〃	51.00	
〃	EGT	〃	51.00	
〃	EGI	〃	99.99	
〃	EMA	〃	67.50	
〃	EIT	〃	55.00	
〃	EES	〃	55.00	
〃	ERU	〃	51.00	
〃	EGD	〃	100.00	
〃	EGUD	〃	100.00	
〃	EGD-WWX	〃	100.00	
〃	EGF	〃	100.00	
〃	EGN	〃	100.00	
〃	EGV	〃	51.00	
〃	ESA	〃	55.00	

Name of Investor	Name of Subsidiary	Main business activities	Ownership (%) January 1, 2012	Description
Peony	EGB	Real estate leasing	95.00	
EMU	Island	Investments in operating machinery and equipment of port terminals	15.00	
〃	KTIL	Loading, discharging, storage, repairs and cleaning	20.00	(a)
〃	EGU	Agency services dealing with port formalities	100.00	
EGD	EGDL	〃	100.00	
	EGDV	〃	100.00	
Clove	Island	Investments in operating machinery and equipment of port terminals	36.00	
〃	Ample	Investments in container yards and port terminals	90.00	(c)
Armand N.V.	Armand B.V.	〃	100.00	
Island	Whitney	Investments and leases of operating machinery and equipment of port terminals	100.00	
〃	Hemlock	〃	100.00	
MBPI	MBT	Inland transportation, repairs and cleaning of containers	72.95	

(a)The Group shall present consolidated financial statements in which it consolidates its investments in KTIL since control is presumed to exist when the Group merely owns 40% interests of the entity and when there is power to cast the majority of votes at meetings of the Board of Directors.

(b)The indirect subsidiary, SGTC, initiated the liquidation procedures on October 30, 2009, as resolved by the Board of Directors, and completed the procedures on May 31, 2012.

(c)The indirect subsidiary, Ample, initiated the liquidation procedures on December 28, 2012, as resolved by the Board of Directors, and completed the procedures on December 31, 2012.

C.Subsidiary not included in the consolidated financial statements: None.

D.Adjustments for subsidiaries with different balance sheet dates: None.

E.Nature and extent of the restrictions on fund remittance from subsidiaries to the parent company: None.

(4) Foreign currency translation

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The consolidated financial statements are presented in New Taiwan Dollars, which is the Company's functional and the Group's presentation currency.

A.Foreign currency transactions and balances

(a)Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognized in profit or loss in the period in which they arise.

(b)Monetary assets and liabilities denominated in foreign currencies at the period end are re-translated at the exchange rates prevailing at the balance sheet date. Exchange differences arising upon re-translation at the balance sheet date are recognized in profit or loss.

(c)Non-monetary assets and liabilities denominated in foreign currencies held at fair value through profit or loss are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in profit or loss as part of the fair value gain or loss. Non-monetary assets and liabilities denominated in foreign currencies held at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.

(d)All other foreign exchange gains and losses based on the nature of those transactions are presented in the statement of comprehensive income within 'other gains and losses'.

B.Translation of foreign operations

(a)The operating results and financial position of all the group entities and associates that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

i. Assets and liabilities for each balance sheet presented are translated at the closing exchange rate at the date of that balance sheet;

ii. Income and expenses for each statement of comprehensive income are translated at average exchange rates of that period; and

iii. All resulting exchange differences are recognized in other comprehensive income.

(b)When the foreign operation partially disposed of or sold is an associate or jointly controlled entity, exchange differences that were recorded in other comprehensive income are proportionately reclassified to profit or loss as part of the gain or loss on sale. In addition, even when the Group still retains partial interest in the former foreign associate or jointly controlled entity after losing significant influence over the former foreign associate, or losing joint control of the former jointly controlled entity, such transactions should be accounted for as disposal of all interest in these foreign operations.

(c)When the foreign operation partially disposed of or sold is a subsidiary, cumulative exchange differences that were recorded in other comprehensive income are proportionately transferred to the non-controlling interest in this foreign operation. In addition, even when the Group still retains partial interest in the former foreign subsidiary after losing control of the former foreign subsidiary, such transactions should be accounted for as disposal of all interest in the foreign operation.

(5) Classification of current and non-current items

A.Assets that meet one of the following criteria are classified as current assets; otherwise they are classified as non-current assets:

(a)Assets arising from operating activities that are expected to be realized, or are intended to be sold or consumed within the normal operating cycle;

(b)Assets held mainly for trading purposes;

(c)Assets that are expected to be realized within twelve months from the balance sheet date;

(d)Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to pay off liabilities more than twelve months after the balance sheet date.

B.Liabilities that meet one of the following criteria are classified as current liabilities; otherwise they are classified as non-current liabilities:

(a)Liabilities that are expected to be paid off within the normal operating cycle;

(b)Liabilities arising mainly from trading activities;

(c)Liabilities that are to be paid off within twelve months from the balance sheet date;

(d)Liabilities for which the repayment date cannot be extended unconditionally to more than

twelve months after the balance sheet date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

(6) Cash equivalents

Cash equivalents refer to short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Time deposits with original maturities of one year or less that meet the definition above and are held for the purpose of meeting short-term cash commitments in operations are classified as cash equivalents.

(7) Financial assets at fair value through profit or loss

A. Financial assets at fair value through profit or loss are financial assets held for trading or financial assets designated as at fair value through profit or loss on initial recognition. Financial assets are classified in this category of held for trading if acquired principally for the purpose of selling in the short-term. Derivatives are also categorized as financial assets held for trading unless they are designated as hedges. Financial assets that meet one of the following criteria are designated as at fair value through profit or loss on initial recognition:

(a) Hybrid (combined) contracts; or

(b) They eliminate or significantly reduce a measurement or recognition inconsistency; or

(c) They are managed and their performance is evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognized and derecognized using trade date accounting.

C. Financial assets at fair value through profit or loss are initially recognized at fair value. Related transaction costs are expensed in profit or loss. These financial assets are subsequently remeasured and stated at fair value, and any changes in the fair value of these financial assets are recognized in profit or loss.

(8) Available-for-sale financial assets

A. Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories.

B. On a regular way purchase or sale basis, available-for-sale financial assets are recognized and derecognized using trade date accounting.

C. Available-for-sale financial assets are initially recognized at fair value plus transaction costs. These financial assets are subsequently remeasured and stated at fair value, and any changes in the fair value of these financial assets are recognized in other comprehensive income. Investments in equity instruments that do not have a quoted market price in an active market and whose fair value cannot be reliably measured are presented in ‘financial assets carried at cost’.

(9) Held-to-maturity financial assets

A.Held-to-maturity financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturity date that the Group has the positive intention and ability to hold to maturity other than those that meet the definition of loans and receivables and those that are designated as at fair value through profit or loss or as available-for-sale on initial recognition.

B.On a regular way purchase or sale basis, held-to-maturity financial assets are recognized and derecognized using trade date accounting.

C.Held-to-maturity financial assets are initially recognized at fair value on the trade date plus transaction costs and subsequently measured at amortized cost using the effective interest method, less provision for impairment. Amortization of a premium or a discount on such assets is recognized in profit or loss.

(10) Notes, accounts and other receivables

Notes and accounts receivable are claims resulting from the sale of goods or services. Receivables arising from transactions other than the sale of goods or services are classified as other receivables. Notes, accounts and other receivables are recognized initially at fair value and subsequently measured at amortized cost using the effective interest method, less provision for impairment. However, short-term accounts receivable without bearing interest are subsequently measured at initial invoice amount as effect of discounting is immaterial.

(11) Impairment of financial assets

A.The Group assesses at each balance sheet date whether there is objective evidence that a financial asset or a group of financial assets is impaired as a result of one or more events that occurred after the initial recognition of the asset (a ‘loss event’) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

B.The criteria that the Group uses to determine whether there is objective evidence of an impairment loss is as follows:

(a)Significant financial difficulty of the issuer or debtor;

(b)A breach of contract, such as a default or delinquency in interest or principal payments;

(c)The Group, for economic or legal reasons relating to the borrower’s financial difficulty, granted the borrower a concession that a lender would not otherwise consider;

(d)It becomes probable that the borrower will enter bankruptcy or other financial reorganization;

(e)The disappearance of an active market for that financial asset because of financial difficulties;

(f)Observable data indicating that there is a measurable decrease in the estimated future cash flows from a group of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial asset in the group, including adverse changes in the payment status of borrowers in the group or national or local economic conditions that correlate with defaults on the assets in the group;

(g)Information about significant changes with an adverse effect that have taken place in the technology, market, economic or legal environment in which the issuer operates, and indicates that the cost of the investment in the equity instrument may not be recovered; or

(h)A significant or prolonged decline in the fair value of an investment in an equity instrument below its cost.

C.When the Group assesses that there has been objective evidence of impairment and an impairment loss has occurred, accounting for impairment is made as follows according to the category of financial assets:

(a)Financial assets measured at cost

The amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at current market return rate of similar financial asset, and is recognised in profit or loss. Impairment loss recognised for this category shall not be reversed subsequently. Impairment loss is recognised by adjusting the carrying amount of the asset through the use of an impairment allowance account.

(b)Available-for-sale financial assets

The amount of the impairment loss is measured as the difference between the asset's acquisition cost (less any principal repayment and amortisation) and current fair value, less any impairment loss on that financial asset previously recognised in profit or loss, and is reclassified from 'other comprehensive income' to 'profit or loss'. If, in a subsequent period, the fair value of an investment in a debt instrument increases, and the increase can be related objectively to an event occurring after the impairment loss was recognised, then such impairment loss is reversed through profit or loss. Impairment loss of an investment in an equity instrument recognised in profit or loss shall not be reversed through profit or loss. Impairment loss is recognised and reversed by adjusting the carrying amount of the asset through the use of an impairment allowance account.

(12) Derecognition of financial assets

The Group derecognizes a financial asset when one of the following conditions is met:

A.The contractual rights to receive cash flows from the financial asset expire.

B.The contractual rights to receive cash flows from the financial asset have been transferred and the Group has transferred substantially all risks and rewards of ownership of the financial asset.

C.The contractual rights to receive cash flows from the financial asset have been transferred; however, the Group has not retained control of the financial asset.

(13) Leases (lessor)

Lease income from an operating lease (net of any incentives given to the lessee) is recognised in profit or loss on a straight-line basis over the lease term.

(14) Inventories

Inventories refer to fuel inventories and steel inventories. Fuel inventories are physically measured by the crew of each ship and reported back to the Head Office through telegraph for recording purposes at balance sheet date. Valuation of inventories is based on the exchange rate prevailing at balance sheet date.

The perpetual inventory system is adopted for steel inventory recognition. Steel inventories are stated at cost. The cost is determined using the weighted-average method.At the end of period, inventories are evaluated at the lower of cost or net realizable value, and the individual item approach is used in the comparison of cost and net realizable value. The calculation of net realizable value should be based on the estimated selling price in the normal course of business, net of estimated costs of completion and estimated selling expenses.

(15) Investments accounted for using equity method / associates

A.Associates are all entities over which the Group has significant influence but not control. In general, it is presumed that the investor has significant influence, if an investor holds, directly or indirectly 20 percent or more of the voting power of the investee. Investments in associates are accounted for using equity method and are initially recognized at cost.

B.The Group’s share of its associates’ post-acquisition profits or losses is recognized in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognized in other comprehensive income. When the Group’s share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognize further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

C.When changes in an associate's equity that are not recognized in profit or loss or other comprehensive income of the associate and such changes not affecting the Group's ownership percentage of the associate, the Group recognizes the Group's share of change in equity of the associate in 'capital surplus' in proportion to its ownership.

D.Unrealized gains and loss on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

E.In the case that an associate issues new shares and the Group does not subscribe or acquire new shares proportionately, which results in a change in the Group's ownership percentage of the associate but maintains significant influence on the associate, then 'capital surplus' and 'investments accounted for using equity method' shall be adjusted for the increase or decrease of its share of equity interest. If the above condition causes a decrease in the Group's ownership percentage of the associate, in addition to the above adjustment, the amounts previously recognized in other comprehensive income in relation to the associate are reclassified to profit or loss proportionately on the same basis as would be required if the relevant assets or liabilities were disposed of.

F.Upon loss of significant influence over an associate, the Group remeasures any investment retained in the former associate at its fair value. Any difference between fair value and carrying amount is recognized in profit or loss.

G.When the Group disposes its investment in an associate, if it loses significant influence over this associate, the amounts previously recognized in other comprehensive income in relation to the associate, are reclassified to profit or loss, on the same basis as would be required if the relevant assets or liabilities were disposed of. If it still retains significant influence over this associate, then the amounts previously recognized in other comprehensive income in relation to the associate are reclassified to profit or loss proportionately in accordance with the aforementioned approach.

H.When the Group disposes its investment in an associate, if it loses significant influence over this associate, the amounts previously recognized as capital surplus in relation to the associate are transferred to profit or loss. If it still retains significant influence over this associate, then the amounts previously recognized as capital surplus in relation to the associate are transferred to profit or loss proportionately.

(16) Property, plant and equipment

A.Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalized.

B.Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

C.Land is not depreciated. Other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. Each part of an item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item must be depreciated separately.

D.The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each balance sheet date. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings	20 ~ 55 years
Loading and unloading equipment	2 ~ 20 years
Ships	18 ~ 25 years
Transportation equipment	6 ~ 10 years
Lease assets	3 ~ 90 years
Other equipment	2 ~ 15 years

(17) Leased assets/ leases (lessee)

A.Based on the terms of a lease contract, a lease is classified as a finance lease if the Group assumes substantially all the risks and rewards incidental to ownership of the leased asset.

(a)A finance lease is recognized as an asset and a liability at the lease's commencement at the lower of the fair value of the leased asset or the present value of the minimum lease payments.

(b)The minimum lease payments are apportioned between the finance charges and the reduction of the outstanding liability. The finance charges are allocated to each period over the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

(c)Property, plant and equipment held under finance leases are depreciated over their estimated useful lives. If there is no reasonable certainty that the Group will obtain ownership at the end of the lease, the asset shall be depreciated over the shorter of the lease term and its useful life.

B.Payments made under an operating lease (net of any incentives received from the lessor) are recognized in profit or loss on a straight-line basis over the lease term.

(18) Investment property

An investment property is stated initially at its cost and measured subsequently using the cost model. Except for land, investment property is depreciated on a straight-line basis over its estimated useful life of 50 ~ 55 years.

(19) Intangible assets

Computer software is stated at cost and amortized on a straight-line basis over its estimated useful life of 3 years.

(20) Impairment of non-financial assets

The Group assesses at each balance sheet date the recoverable amounts of those assets where there is an indication that they are impaired. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell or value in use. When the circumstances or reasons for recognizing impairment loss for an asset in prior years no longer exist or diminish, the impairment loss is reversed. The increased carrying amount due to reversal should not be more than what the depreciated or amortized historical cost would have been if the impairment had not been recognized.

(21) Loans

A.Borrowings are recognized initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortized cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognized in profit or loss over the period of the borrowings using the effective interest method.

B.Fees paid on the establishment of loan facilities are recognized as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalized as a pre-payment for liquidity services and amortized over the period of the facility to which it relates.

(22) Accounts payable

Notes and accounts payable are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. They are recognized initially at fair value and subsequently measured at amortized cost using the effective interest method. However, short-term accounts payable without bearing interest are subsequently measured at initial invoice amount as effect of discounting is immaterial.

(23) Financial liabilities at fair value through profit or loss

A.Financial liabilities at fair value through profit or loss are financial liabilities held for trading or financial liabilities designated as at fair value through profit or loss on initial recognition. Financial liabilities are classified in this category of held for trading if acquired principally for the purpose of repurchasing in the short-term. Derivatives are also categorized as financial liabilities held for trading unless they are designated as hedges. Financial liabilities that meet one of the following criteria are designated as at fair value through profit or loss on initial recognition:

(a)Hybrid (combined) contracts; or

(b)They eliminate or significantly reduce a measurement or recognition inconsistency; or

(c)They are managed and their performance is evaluated on a fair value basis, in accordance with a documented risk management policy.

B.Financial liabilities at fair value through profit or loss are initially recognised at fair value. Related transaction costs are expensed in profit or loss. These financial liabilities are subsequently remeasured and stated at fair value, and any changes in the fair value of these financial liabilities are recognised in profit or loss. Derivative liabilities that are linked to equity instruments which do not have a quoted market price in an active market and whose fair value cannot be reliably measured, and that must be settled by delivery of such unquoted equity instruments are presented in ‘financial liabilities measured at cost’.

(24) Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability specified in the contract is discharged or cancelled or expires.

(25) Offsetting financial instruments

Financial assets and liabilities are offset and reported in the net amount in the balance sheet when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

(26) Financial liabilities and equity instruments

A.Ordinary corporate bonds issued by the Group are initially recognized at fair value, net of transaction costs incurred. Ordinary corporate bonds are subsequently stated at amortized cost; any difference between the proceeds (net of transaction costs) and the redemption value is accounted for as the premium or discount on bonds payable and presented as an addition to or deduction from bonds payable, which is amortized in profit or loss as an adjustment to the ‘finance costs’ over the period of bond circulation using the effective interest method.

B.Convertible corporate bonds issued by the Group contain conversion options (that is, the bondholders have the right to convert the bonds into the Group's common shares by exchanging a fixed amount of cash for a fixed number of common shares), call options and put options. The Group classifies the bonds payable and derivative features embedded in convertible corporate bonds on initial recognition as a financial asset, a financial liability or an equity instrument. Convertible corporate bonds are accounted for as follows:

(a)Call options and put options embedded in convertible corporate bonds are recognized initially at net fair value as 'financial assets or financial liabilities at fair value through profit or loss'. They are subsequently remeasured and stated at fair value on each balance sheet date; the gain or loss is recognized as 'gain or loss on valuation of financial assets or financial liabilities at fair value through profit or loss'.

(b)Bonds payable of convertible corporate bonds is initially recognized at fair value and subsequently stated at amortized cost. Any difference between the proceeds and the redemption value is accounted for as the premium or discount on bonds payable and presented as an addition to or deduction from bonds payable, which is amortized in profit or loss as an adjustment to the 'finance costs' over the period of bond circulation using the effective interest method.

(c)Conversion options embedded in convertible corporate bonds issued by the Group, which meet the definition of an equity instrument, are initially recognized in 'capital surplus—stock warrants' at the residual amount of total issue price less amounts of 'financial assets or financial liabilities at fair value through profit or loss' and 'bonds payable—net' as stated above. Conversion options are not subsequently remeasured.

(d)Any transaction costs directly attributable to the issuance of convertible corporate bonds are allocated to the liability and equity components in proportion to the allocation of proceeds.

(e)When bondholders exercise conversion options, the liability component of the bonds (including 'bonds payable' and 'financial assets or financial liabilities at fair value through profit or loss') shall be remeasured on the conversion date. The book value of common shares issued due to the conversion shall be based on the adjusted book value of the above-mentioned liability component plus the book value of capital surplus - stock warrants.

(27) Derivative financial instruments and hedging activities

A.Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently remeasured at their fair value. Any changes in the fair value are recognised in profit or loss.

B.The Group designates certain derivatives as Hedges of a particular risk associated with a recognised asset or liability or a highly probable forecast transaction (cash flow hedge).

C.The Group documents at the inception of the transaction the relationship between hedging instruments and hedged items, as well as its risk management objectives and strategy for undertaking various hedging transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items.

D.The full fair value of a hedging derivative is classified as a non-current asset or liability when the remaining maturity of the hedged item is more than 12 months, and as a current asset or liability when the remaining maturity of the hedged item is less than 12 months. Trading derivatives are classified as current assets or liabilities.

E.Cash flow hedge

(a)The effective portion of changes in the fair value of derivatives that are designated and qualified as cash flow hedges is recognised in other comprehensive income. The gain or loss relating to the ineffective portion is recognised immediately in the statement of comprehensive income within ‘other gains and losses’.

(b)Amounts accumulated in other comprehensive income are reclassified into profit or loss in the periods when the hedged item affects profit or loss. The gain or loss relating to the effective portion of interest rate swaps hedging variable rate borrowings is recognised in the statement of comprehensive income within ‘finance costs’. However, when the forecast transaction that is hedged results in the recognition of a non-financial asset or financial liability, the gains and losses previously deferred in other comprehensive income are reclassified into profit or loss in the periods when the asset acquired or the liability assumed affects profit or loss. The deferred amounts are ultimately recognised in operating costs.

(c)When a hedging instrument expires, or is sold, cancelled or executed, or when a hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss existing in other comprehensive income at that time remains in other comprehensive income. When a forecast transaction occurs or is no longer expected to occur, the cumulative gain or loss that was reported in other comprehensive income is transferred to profit or loss in the periods when the hedged forecast cash flow affects profit or loss.

(28) Employee benefits

A.Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in a period and should be recognized as expenses in that period when the employees render service.

B.Pensions

(a)Defined contribution plans

For defined contribution plans, the contributions are recognized as pension expenses when they are due on an accrual basis. Prepaid contributions are recognised as an asset to the extent of a cash refund or a reduction in the future payments.

(b)Defined benefit plans

i. Net obligation under a defined benefit plan is defined as the present value of an amount of pension benefits that employees will receive on retirement for their services with the Group in current period or prior periods. The liability recognized in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets, together with adjustments for unrecognised past service costs. The defined benefit net obligation is calculated annually by independent actuaries using the projected unit credit method. The rate used to discount is determined by using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability; when there is no deep market in high-quality corporate bonds, the Group uses interest rates of government bonds (at the balance sheet date) instead.

ii. Actuarial gains and losses arising on defined benefit plans are recognized in other comprehensive income in the period in which they arise and adjust to undistributed earnings.

iii. Past service costs are recognised immediately in profit or loss if vested immediately; if not, the past service costs are amortised on a straight-line basis over the vesting period.

C.Termination benefits

Termination benefits are employee benefits provided in exchange for the termination of employment as a result from either the Group’s decision to terminate an employee’s employment before the normal retirement date, or an employee’s decision to accept an offer of redundancy benefits in exchange for the termination of employment. The Group recognizes termination benefits when it is demonstrably committed to a termination, when it has a detailed formal plan to terminate the employment of current employees and when it can no longer withdraw the plan. In the case of an offer made by the Group to encourage voluntary termination of employment, the termination benefits are recognized as expenses only when it is probable that the employees are expected to accept the offer and the number of the employees taking the offer can be reliably estimated. Benefits falling due more than 12 months after balance sheet date are discounted to their present value.

D.Employees' bonus and directors' and supervisors' remuneration

Employees' bonus and directors' and supervisors' remuneration are recognized as expenses and liabilities, provided that such recognition is required under legal obligation or constructive obligation and those amounts can be reliably estimated. However, if the accrued amounts for employees' bonus and directors' and supervisors' remuneration are different from the actual distributed amounts as resolved by the stockholders at their stockholders' meeting subsequently, the differences should be recognized based on the accounting for changes in estimates. The Group calculates the number of shares of employees' stock bonus based on the fair value per share at the previous day of the stockholders' meeting held in the year following the financial reporting year, and after taking into account the effects of ex-rights and ex-dividends.

(29) Income tax

A.The tax expense for the period comprises current and deferred tax. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or items recognized directly in equity, in which cases the tax is recognized in other comprehensive income or equity.

B.The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Group operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. An additional 10% tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the stockholders resolve to retain the earnings.

C.Deferred income tax is recognized, using the balance sheet liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated balance sheet. Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred income tax is determined using tax rates and laws that have been enacted or substantially enacted by the balance sheet date and are expected to apply when the related deferred income tax asset is realized or the deferred income tax liability is settled.

D.Deferred income tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. At each balance sheet date, unrecognized and recognized deferred income tax assets are reassessed.

E.Current income tax assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously. Deferred income tax assets and liabilities are offset on the balance sheet when the entity has the

legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realize the asset and settle the liability simultaneously.

F.Tax preference given for expenditures incurred on acquisitions of equipment or technology, research and development, employees' training and equity investments is recorded using the income tax credits accounting.

(30) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are approved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(31) Revenue recognition

A.Sales of goods

Revenue is measured at the fair value of the consideration received or receivable taking into account of value-added tax, returns, rebates and discounts for the sale of goods to external customers in the ordinary course of the Group's activities. Revenue arising from the sales of goods should be recognized when the Group has delivered the goods to the customer, the amount of sales revenue can be measured reliably and it is probable that the future economic benefits associated with the transaction will flow to the entity. The delivery of goods is completed when the significant risks and rewards of ownership have been transferred to the customer, the Group retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold, and the customer has accepted the goods based on the sales contract or there is objective evidence showing that all acceptance provisions have been satisfied.

B.Sales of services

Revenue from delivering services is recognized under the percentage-of-completion method when the outcome of services provided can be estimated reliably. The stage of completion of a service contract is measured by the percentage of the actual services performed as of the financial reporting date to the total services to be performed. If the outcome of a service contract cannot be estimated reliably, contract revenue should be recognized only to the extent that contract costs incurred are likely to be recoverable.

(32) Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker is responsible for allocating resources and assessing performance of the operating segments.

5. CRITICAL ACCOUNTING JUDGEMENTS, ESTIMATES AND KEY SOURCES OF ASSUMPTION UNCERTAINTY

The preparation of these consolidated financial statements requires management to make critical judgements in applying the Group's accounting policies and make critical assumptions and estimates concerning future events. Assumptions and estimates may differ from the actual results and are continually evaluated and adjusted based on historical experience and other factors. The above information is addressed below:

(1)Critical judgements in applying the Group's accounting policies

Financial assets—impairment of equity investments

The Group follows the guidance of IAS 39 to determine whether a financial asset—equity investment is impaired. This determination requires significant judgement. In making this judgement, the Group evaluates, among other factors, the duration and extent to which the fair value of an equity investment is less than its cost and the financial health of and short-term business outlook for the investee, including factors such as industry and sector performance, changes in technology and operational and financing cash flow.

If the decline of the fair value of an individual equity investment below cost was considered significant or prolonged, the Group would transfer the accumulated fair value adjustments recognized in other comprehensive income on the impaired available-for-sale financial assets to profit or loss or being the recognition of the impairment loss on the impaired financial assets measured at cost in profit or loss. For the year ended December 31, 2013, the Group did not recognize any impairment loss on financial assets-equity investment.

(2)Critical accounting estimates and assumptions

A.Revenue recognition

Revenue from delivering services and related costs are recognized under the percentage-of-completion method when the outcome of services provided can be estimated reliably. The stage of completion of a service contract is measured by the percentage of the actual services performed as of the financial reporting date to the total services to be performed.

B.Impairment assessment of tangible and intangible assets (excluding goodwill)

The Group assesses impairment based on its subjective judgement and determines the separate cash flows of a specific group of assets, useful lives of assets and the future possible income and expenses arising from the assets depending on how assets are utilized and industrial characteristics. Any changes of economic circumstances or estimates due to the change of Group strategy might cause material impairment on assets in the future.

C.Impairment assessment of investments accounted for using equity method

The Group assesses the impairment of an investment accounted for using equity method as soon as there is any indication that it might have been impaired and its carrying amount cannot be recoverable. The Group assesses the recoverable amounts of an investment accounted for using equity method based on the present value of the Group's share of expected future cash flows of the investee, and analyzes the reasonableness of related assumptions.

D.Realisability of deferred income tax assets

Deferred income tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences can be utilized. Assessment of the realisability of deferred income tax assets involves critical accounting judgements and estimates of the management, including the assumptions of expected future sales revenue growth rate and profit rate, tax exempt duration, available tax credits, tax planning, etc. Any variations in global economic environment, industrial environment, and laws and regulations might cause material adjustments to deferred income tax assets.

As of December 31, 2013, the Group recognized deferred income tax assets amounting to $487,294.

E.Calculation of accrued pension obligations

When calculating the present value of defined pension obligations, the Group must apply judgements and estimates to determine the actuarial assumptions on balance sheet date, including discount rates and expected rate of return on plan assets. Any changes in these assumptions could significantly impact the carrying amount of defined pension obligations.

As of December 31, 2013, the carrying amount of accrued pension obligations was $2,883,965.

F.Financial assets—fair value measurement of unlisted stocks without active market

The fair value of unlisted stocks held by the Group that are not traded in an active market is determined considering those companies' recent funding raising activities, fair value assessment of other companies of the same type, market conditions and other economic indicators existing on balance sheet date. Any changes in these judgements and estimates will impact the fair value measurement of these unlisted stocks. Please refer to Note 12(3) for the financial instruments fair value information.

As of December 31, 2013, the carrying amount of unlisted stocks was $560,047.

6. DETAILS OF SIGNIFICANT ACCOUNTS

(1) Cash and cash equivalents

	December 31, 2013	December 31, 2012
Cash on hand and petty cash	$ 19,343	$ 20,914
Checking accounts and demand deposits	6,123,427	5,120,416
Time deposits	27,269,759	26,044,441
Cash equivalents	89,913	798,937
	$ 33,502,442	$ 31,984,708

	January 1, 2012
Cash on hand and petty cash	$ 23,024
Checking accounts and demand deposits	5,307,615
Time deposits	17,375,955
Cash equivalents	299,664
	$ 23,006,258

A. The Group associates with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote. The Group's maximum exposure to credit risk at balance sheet date is the carrying amount of all cash and cash equivalents.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets at fair value through profit or loss

Items	December 31, 2013	December 31, 2012
Current items:		
Financial assets held for trading		
Listed (TSE and OTC) stocks	$ -	$ 290
Beneficiary certificates	-	1,398,138
Embedded derivatives	5,172	3,923
	5,172	1,402,351
Valuation adjustment	-	5,638
	$ 5,172	$ 1,407,989

Items	December 31, 2013	December 31, 2012
Non-current items:		
Financial assets designated as at fair value through profit or loss on initial recognition		
Corporate bonds	$ -	$ 100,000
Valuation adjustment	-	(23,352)
	$ -	$ 76,648

Items	January 1, 2012
Current items:	
Financial assets held for trading	
Listed (TSE and OTC) stocks	$ 10,292
Beneficiary certificates	2,366,704
Cross currency swap	1,824
	2,378,820
Valuation adjustment	(146,142)
	$ 2,232,678
Non-current items:	
Financial assets designated as at fair value through profit or loss on initial recognition	
Corporate bonds	$ 100,000
Valuation adjustment	(37,041)
	$ 62,959

A.The Group recognized net loss of $4,389, net gain of $2,651 on financial assets held for trading for the years ended December 31, 2013 and 2012, respectively, and recognised net gain of $23,352 and $13,689 on financial assets designated as at fair value through profit or loss on initial recognition for the years ended December 31, 2013 and 2012, respectively.

B.The counterparties of the Group's debt instrument investments have good credit quality. The maximum exposure to credit risk at balance sheet date is the carrying amount of financial assets at fair value through profit or loss—debt instruments.

C.Hedge accounting for these derivative instruments held for hedging activities was not adopted.

D.The Group has no financial assets at fair value through profit or loss pledged to others.

(3) Available-for-sale financial assets

Items	December 31, 2013	December 31, 2012
Non-current items:		
Listed (TSE and OTC) stocks	$ 490,801	$ 490,801
Emerging stocks	1,250,000	1,250,000
Unlisted stocks	258,845	257,022
	1,999,646	1,997,823
Valuation adjustment	(64,433)	(457,847)
Accumulated impairment	(1,844)	(1,844)
	$ 1,933,369	$ 1,538,132

Items	January 1, 2012
Non-current items:	
Listed (TSE and OTC) stocks	$ 492,324
Emerging stocks	1,250,000
Unlisted stocks	261,970
	2,004,294
Valuation adjustment	(506,196)
Accumulated impairment	-
	$ 1,498,098

A.In July 2012, Power World Fund Inc., an investee accounted for under the cost method, reduced its capital. The conversion rate on the capital reduction was 6.856%, and the amount returned to the stockholders was $10 (in dollars) (par value) per share. As a result of the capital reduction, the proceeds received by the Company based on its proportionate equity interest in Power World Fund Inc. amounted to $884 and the carrying amount of the Company's investment was reduced by $884.

B.The Group recognised $393,414 and $48,349 in other comprehensive income for fair value change for the years ended December 31, 2013 and 2012, respectively.

C.The Group recognized impairment loss of $1,844 for the year ended December 31, 2012.

(4) Held-to-maturity financial assets

Items	December 31, 2013	December 31, 2012
Non-current items:		
Financial bonds	$ 370,000	$ 370,000

Items	January 1, 2012
Current items:	
Financial bonds	$ 951,382
Non-current items:	
Financial bonds	$ 370,000

A.The Group recognized interest income of $10,272 and $15,742 for amortised cost in profit or loss for the years ended December 31, 2013 and 2012, respectively.

B.The counterparties of the Group's investments have good credit quality. The maximum exposure to credit risk at balance sheet date is the carrying amount of held-to-maturity financial assets.

C.As of December 31, 2013, December 31, 2012 and January 1, 2012, no held-to-maturity financial assets held by the Group were pledged to others.

(5) Accounts receivable

	December 31, 2013	December 31, 2012
Accounts receivable	$ 12,908,034	$ 13,019,807
Less: allowance for bad debts	(34,284)	(35,713)
	$ 12,873,750	$ 12,984,094

	January 1, 2012
Accounts receivable	$ 7,854,490
Less: allowance for bad debts	(18,887)
	$ 7,835,603

A.The credit quality of accounts receivable that were neither past due nor impaired was in the following categories based on the Group's credit quality control policy.

	December 31, 2013	December 31, 2012
Group 1	$ 871,232	$ 655,447
Group 2	9,179,953	9,544,669
	$ 10,051,185	$ 10,200,116

	January 1, 2012
Group 1	$ 509,311
Group 2	5,910,740
	$ 6,420,051

Note:

Group 1: Medium and low risk: The Group's ten largest customers, with sound performance and high transparency of financial information, are approved based on the Group's credit quality control policy.

Group 2: General risk: The Group has higher significant concentrations of credit risk than Group 1.

B. The ageing analysis of accounts receivable that were past due but not impaired is as follows:

	December 31, 2013	December 31, 2012
Up to 30 days	$ 2,426,023	$ 2,503,902
31 to 180 days	396,542	280,076
	$ 2,822,565	$ 2,783,978

	January 1, 2012
Up to 30 days	$ 1,306,365
31 to 180 days	109,187
	$ 1,415,552

C.Movement analysis of financial assets that were impaired is as follows:

(a)As of December 31, 2013, December 31, 2012 and January 1, 2012, the Group's accounts receivable that were impaired amounted to $34,284, $35,713 and $18,887, respectively.

(b)Movements on the Group provision for impairment of accounts receivable are as follows:

	2013		
	Individual provision	Group provision	Total
At January 1	($ 35,713)	$ -	($ 35,713)
Reversal of impairment	24,042	-	24,042
Provision for impairment	(25,442)	-	(25,442)
Write-offs during the period	2,061	-	2,061
Net exchange differences	768	-	768
At December 31	($ 34,284)	$ -	($ 34,284)

	2012		
	Individual provision	Group provision	Total
At January 1	($ 18,887)	$ -	($ 18,887)
Reversal of impairment	24,293	-	24,293
Provision for impairment	(48,554)	-	(48,554)
Write-offs during the period	6,849	-	6,849
Net exchange differences	586	-	586
At December 31	($ 35,713)	$ -	($ 35,713)

D.The maximum exposure to credit risk at December 31, 2013, December 31, 2012 and January 1, 2012 was the carrying amount of each class of accounts receivable.

E.The Group does not hold any collateral as security.

(6) Inventories

	December 31, 2013		
	Cost	Allowance for valuation loss	Book value
Ship fuel	$ 4,573,991	$ -	$ 4,573,991
Steel and others	607,849	-	607,849
	$ 5,181,840	$ -	$ 5,181,840

	December 31, 2012		
	Cost	Allowance for valuation loss	Book value
Ship fuel	$ 4,614,510	$ -	$ 4,614,510
Steel and others	618,516	-	618,516
	$ 5,233,026	$ -	$ 5,233,026

	January 1, 2012		
	Cost	Allowance for valuation loss	Book value
Ship fuel	$ 3,688,168	$ -	$ 3,688,168
Steel and others	1,126,618	-	1,126,618
	$ 4,814,786	$ -	$ 4,814,786

(7) Other current assets

	December 31, 2013	December 31, 2012
Shipowner's accounts	$ 1,300,821	$ 595,071
Agent accounts	210,509	451,962
Other financial assets	498,664	550,214
Temporary debits	411,822	425,631
	$ 2,421,816	$ 2,022,878

	January 1, 2012
Shipowner's accounts	$ 1,437,158
Agent accounts	928,886
Other financial assets	520,132
Temporary debits	1,137,404
	$ 4,023,580

(8) Investments accounted for using equity method

A.Details of long-term equity investments accounted for using equity method are set forth below:

	December 31, 2013	December 31, 2012
Charng Yang Development Co., Ltd.	$ 448,138	$ 412,447
Evergreen International Storage and Transport Corporation	7,775,737	7,631,328
EVA Airways Corporation	6,922,314	6,831,509
Taipei Port Container Terminal Corporation	1,461,922	1,195,822
Luanta Investment (Netherlands) N.V.	2,464,517	2,483,511
Balsam Investment (Netherlands) N.V.	1,663,148	1,791,291
Colon Container Terminal S.A.	2,424,893	2,201,621
Others	740,183	693,226
	$ 23,900,852	$ 23,240,755

	January 1, 2012
Charng Yang Development Co., Ltd.	$ 376,328
Evergreen International Storage and Transport Corporation	7,744,091
EVA Airways Corporation	6,991,081
Taipei Port Container Terminal Corporation	1,217,063
Luanta Investment (Netherlands) N.V.	2,522,258
Balsam Investment (Netherlands) N.V.	1,434,079
Colon Container Terminal S.A.	2,104,653
Others	640,329
	$ 23,029,882

B.The fair value of the Group's associates which have quoted market price was as follows:

	December 31, 2013	December 31, 2012
Evergreen International Storage and Transport Corporation	$ 8,820,496	$ 8,544,856
EVA Airways Corporation	10,449,422	10,701,215
	$ 19,269,918	$ 19,246,071

	January 1, 2012
Evergreen International Storage and Transport Corporation	$ 6,000,482
EVA Airways Corporation	12,086,078
	$ 18,086,560

C.Investment income (loss) accounted for using equity method was based on the financial statements of the investee companies for the corresponding periods which are audited by independent accountants.

D.On July 23, 2009, the Company issued its first domestic secured exchangeable bonds based on the resolution by the Board of Directors. Pursuant to the terms of issuance, the bondholders may exchange the exchangeable bonds into the common stocks of Evergreen International Storage and Transport Corporation (EITC) during the period from one month after the exchangeable bonds are issued to 10 days before the maturity of the exchangeable bonds. The Company has already appropriated 86,595 thousand shares of common stock of Evergreen International Storage and Transport Corporation to the account in Taiwan Depository and Clearing Corporation, for the use of exchange from exchangeable bonds to common stock of EITC. (For details of the issuance terms of the exchangeable bonds, please refer to Note 6(14)).

E.As resolved by the Board of Directors, the Company's subsidiary, Peony Investment S.A. participated in the cash capital increase of Balsam Investment (Netherlands) N.V. according to its original ownership stake as an original shareholder. The capital increase amounts to EUR 1,470 and EUR68,600 for the years ended December 31, 2013 and 2012, respectively.

F.As resolved by the Board of Directors, the Company's subsidiary, Peony Investment S.A. participated in the cash capital increase of Luanta Investment (Netherlands) N.V. according to its original ownership stake as an original shareholder. The capital increase amounts to USD 3,187 and USD 6,560 for the years ended December 31, 2013 and 2012, respectively.

G.As the Group considered the great potential for development in the market of Latin America in the future and for the requirement of business expansion in this market, the Board of Directors at their meeting on November 9, 2012 resolved to invest in a new company— Evergreen Marine (Latin America), S. A.. Evergreen Marine (Latin America), S. A. was incorporated with 600 thousand shares (par value of USD 1 per share). The Group collectively holds 25.915% ownership in Evergreen Marine (Latin America), S. A. and accounts for this investee using equity method.

H.The Company and its indirect subsidiary Armand Estate B.V. (The Company's percentage of ownership was 70%) planned to participate directly in the issuance of new shares by TPCT for cash at the meeting of Board of Directors on March 26, 2013 and May 10, 2013, with the additional cash of NT$ 210,342 and USD 3,222, respectively. The Company's percentage of ownership in TPCT was 21.03% and 9.73%, respectively, after the capital increase, and the percentage of combined holding was 27.85%.

E.The financial information of the Group's principal associates is summarized below:

	Assets	Liabilities	Revenue	Profit/(Loss)	% Interest held
December 31, 2013					
Charng Yang Development Co., Ltd.	$ 1,920,841	$ 216,830	$ 250,456	$ 160,227	40.00%
Evergreen International Storage and Transport Corporation	23,254,491	3,628,722	4,498,773	580,653	39.74%
EVA Airways Corporation	139,394,778	103,556,745	110,747,462	747,450	19.32%
Taipei Port Container Terminal Corporation	13,323,400	8,576,415	1,186,358	(131,256)	27.85%
Luanta Investment (Netherlands) N.V.	5,498,152	569,119	-	(362,518)	50.00%
Balsam Investment (Netherlands) N.V.	3,394,180	-	-	(3,424,827)	49.00%
Colon Container Terminal S.A.	8,249,729	1,960,440	1,703,424	399,205	40.00%
Others	2,998,878	938,860	3,070,346	513,527	-
	$ 198,034,449	$ 119,447,131	$ 121,456,819	($ 1,517,539)	

	Assets	Liabilities	Revenue	Profit/(Loss)	% Interest held
December 31, 2012					
Charng Yang Development Co., Ltd.	$ 1,937,215	$ 322,431	$ 247,930	$ 157,648	40.00%
Evergreen International Storage and Transport Corporation	22,589,791	3,330,259	4,392,631	590,803	39.74%
EVA Airways Corporation	142,293,950	106,926,028	107,147,807	655,200	19.32%
Taipei Port Container Terminal Corporation	13,968,307	10,090,066	129,334	(68,977)	27.87%
Luanta Investment (Netherlands) N.V.	5,295,562	327,657	-	(275,772)	50.00%
Balsam Investment (Netherlands) N.V.	3,655,696	-	-	(2,842,314)	49.00%
Colon Container Terminal S.A.	7,840,932	2,109,824	1,802,102	563,005	40.00%
Others	2,831,067	870,675	2,591,426	443,979	-
	$ 200,412,520	$ 123,976,940	$ 116,311,230	($ 776,428)	

	Assets	Liabilities	% Interest held
January 1, 2012			
Charng Yang Development Co., Ltd.	$ 1,951,396	$ 426,910	40.00%
Evergreen International Storage and Transport Corporation	22,717,818	3,166,917	39.74%
EVA Airways Corporation	143,059,766	106,865,713	19.32%
Taipei Port Container Terminal Corporation	13,906,542	9,959,325	27.87%
Luanta Investment (Netherlands) N.V.	5,059,494	14,058	50.00%
Balsam Investment (Netherlands) N.V.	2,926,694	-	49.00%
Colon Container Terminal S.A.	7,947,902	2,459,218	36.00%
Others	2,541,456	746,728	-
	$ 200,111,068	$ 123,638,869	

(9) Property, plant and equipment

	Land	Buildings	Machinery equipment	Loading and unloading equipment	Computer and communication equipment	Transportation equipment	Ships	Office equipment	Lease assets	Leasehold improvements	Total
At January 1, 2013											
Cost	$ 749,419	$ 1,840,389	$ 706,861	$ 6,408,130	$ 333,742	$ 22,581,661	$55,425,994	$ 551,708	$ 17,253,977	$ 304,995	$ 106,156,876
Accumulated depreciation	-	(936,919)	(578,148)	(4,788,983)	(272,993)	(14,062,342)	(25,986,103)	(441,122)	(1,088,739)	(106,446)	(48,261,795)
	$ 749,419	$ 903,470	$ 128,713	$ 1,619,147	$ 60,749	$ 8,519,319	$29,439,891	$ 110,586	$ 16,165,238	$ 198,549	$ 57,895,081
2013											
Opening net book amount	$ 749,419	$ 903,470	$ 128,713	$ 1,619,147	$ 60,749	$ 8,519,319	$29,439,891	$ 110,586	$ 16,165,238	$ 198,549	$ 57,895,081
Additions	-	3,443	126,138	125,534	15,435	5,624,158	212,073	18,375	3,859,063	12,592	9,996,811
Disposals	-	(312)	(2,630)	(9,972)	(1,527)	(1,919,929)	-	(266)	(28,931)	-	(1,963,567)
Reclassifications	-	-	-	9,476	(617)	-	15,747,670	623	57,079	(67,257)	15,746,974
Depreciation charge	-	(62,338)	(20,654)	(268,482)	(24,492)	(2,271,597)	(2,684,881)	(36,668)	(1,367,007)	(25,817)	(6,761,936)
Net exchange differences	(16,798)	(2,603)	(9,218)	33,064	(191)	139,187	652,057	220	463,563	(3,561)	1,255,720
Closing net book amount	$ 732,621	$ 841,660	$ 222,349	$ 1,508,767	$ 49,357	$ 10,091,138	$43,366,810	$ 92,870	$ 19,149,005	$ 114,506	$ 76,169,083
At December 31, 2013											
Cost	$ 732,621	$ 1,860,505	$ 767,850	$ 6,496,491	$ 313,365	$ 19,892,061	$72,704,920	$ 542,631	$ 21,665,751	$ 215,363	$ 125,191,558
Accumulated depreciation	-	(1,018,845)	(545,501)	(4,987,724)	(264,008)	(9,800,923)	(29,338,110)	(449,761)	(2,516,746)	(100,857)	(49,022,475)
	$ 732,621	$ 841,660	$ 222,349	$ 1,508,767	$ 49,357	$ 10,091,138	$43,366,810	$ 92,870	$ 19,149,005	$ 114,506	$ 76,169,083

	Land	Buildings	Machinery equipment	Loading and unloading equipment	Computer and communication equipment	Transportation equipment	Ships	Office equipment	Lease assets	Leasehold improvements	Total
At January 1, 2012											
Cost	$ 763,389	$ 1,938,569	$ 724,076	$ 6,420,851	$ 319,673	$ 25,093,249	$ 53,534,978	$ 544,571	$ 4,522,104	$ 336,496	$ 94,197,956
Accumulated depreciation	-	(906,808)	(572,786)	(4,535,733)	(262,468)	(13,815,039)	(25,046,462)	(413,170)	(494,921)	(126,932)	(46,174,319)
	$ 763,389	$ 1,031,761	$ 151,290	$ 1,885,118	$ 57,205	$ 11,278,210	$ 28,488,516	$ 131,401	$ 4,027,183	$ 209,564	$ 48,023,637
2012											
Opening net book amount	$ 763,389	$ 1,031,761	$ 151,290	$ 1,885,118	$ 57,205	$ 11,278,210	$ 28,488,516	$ 131,401	$ 4,027,183	$ 209,564	$ 48,023,637
Additions	-	653	324	50,429	29,762	420,702	13,661,676	23,872	769,254	19,038	14,975,710
Disposals	-	-	(557)	(3,798)	(333)	(626,937)	(12,482,037)	(2,117)	(3,827)	-	(13,119,606)
Reclassifications	-	(37,832)	(973)	65,727	-	1,648	3,168,368	3,748	12,141,091	-	15,341,777
Depreciation charge	-	(63,829)	(20,325)	(321,410)	(24,787)	(2,324,254)	(2,314,863)	(43,455)	(605,853)	(29,448)	(5,748,224)
Net exchange differences	(13,970)	(27,283)	(1,046)	(56,919)	(1,098)	(230,050)	(1,081,769)	(2,863)	(162,610)	(605)	(1,578,213)
Closing net book amount	$ 749,419	$ 903,470	$ 128,713	$ 1,619,147	$ 60,749	$ 8,519,319	$ 29,439,891	$ 110,586	$ 16,165,238	$ 198,549	$ 57,895,081
At December 31, 2012											
Cost	$ 749,419	$ 1,840,389	$ 706,861	$ 6,408,130	$ 333,742	$ 22,581,661	$ 55,425,994	$ 551,708	$ 17,253,977	$ 304,995	$106,156,876
Accumulated depreciation	-	(936,919)	(578,148)	(4,788,983)	(272,993)	(14,062,342)	(25,986,103)	(441,122)	(1,088,739)	(106,446)	(48,261,795)
	$ 749,419	$ 903,470	$ 128,713	$ 1,619,147	$ 60,749	$ 8,519,319	$ 29,439,891	$ 110,586	$ 16,165,238	$ 198,549	$ 57,895,081

Information about the property, plant and equipment that were pledged to others as collaterals is provided in Note 8.

(10) Investment property

	Land	Buildings	Total
At January 1, 2013			
Cost	$ 1,414,008	$ 1,023,648	$ 2,437,656
Accumulated depreciation	-	(397,401)	(397,401)
	$ 1,414,008	$ 626,247	$ 2,040,255
2013			
Opening net book amount	$ 1,414,008	$ 626,247	$ 2,040,255
Depreciation charge	-	(20,068)	(20,068)
Net exchange differences	-	(8,181)	(8,181)
Closing net book amount	$ 1,414,008	$ 597,998	$ 2,012,006
At December 31, 2013			
Cost	$ 1,414,008	$ 1,012,695	$ 2,426,703
Accumulated depreciation	-	(414,697)	(414,697)
	$ 1,414,008	$ 597,998	$ 2,012,006

	Land	Buildings	Total
At January 1, 2012			
Cost	$ 1,414,008	$ 975,187	$ 2,389,195
Accumulated depreciation	-	(366,611)	(366,611)
	$ 1,414,008	$ 608,576	$ 2,022,584
2012			
Opening net book amount	$ 1,414,008	$ 608,576	$ 2,022,584
Additions	-	68	68
Reclassifications	-	37,769	37,769
Depreciation charge	-	(20,260)	(20,260)
Net exchange differences	-	94	94
Closing net book amount	$ 1,414,008	$ 626,247	$ 2,040,255
At December 31, 2012			
Cost	$ 1,414,008	$ 1,023,648	$ 2,437,656
Accumulated depreciation	-	(397,401)	(397,401)
	$ 1,414,008	$ 626,247	$ 2,040,255

A.Rental income from the lease of the investment property and direct operating expenses arising from the investment property are shown below:

	For the year ended December 31, 2013	For the year ended December 31, 2012
Rental income from the lease of the investment property	$ 104,511	$ 105,755
Direct operating expenses arising from the investment property that generated rental income in the period	$ 21,898	$ 22,985
Direct operating expenses arising from the investment property that did not generate rental income in the period	$ 1,234	$ 1,747

B.The fair value of the investment property held by the Group as at December 31, 2013, December 31, 2012 and January 1, 2012 was $3,293,534, $3,305,726 and $2,494,785, respectively. The fair value measurements were based on the market prices of recently sold properties in the immediate vicinity of a certain property.

(11) Other non-current assets

	December 31, 2013	December 31, 2012
Prepayments for equipment	$ 13,267,118	$ 13,725,228
Refundable deposits	109,727	117,260
Others	9,092	10,800
	$ 13,385,937	$ 13,853,288

	January 1, 2012
Prepayments for equipment	$ 16,523,249
Refundable deposits	118,412
Others	20,384
	$ 16,662,045

Amount of borrowing costs capitalized as part of prepayment for equipment and the range of the interest rates for such capitalization are as follows:

	For the year ended December 31, 2013	For the year ended December 31, 2012
Amount capitalised	$ 174,473	$ 223,429
Interest rate	1.09%~2.35%	1.18%~2.54%

(12) Short-term loans

	December 31, 2013	December 31, 2012
Secured loans	$ 596,860	$ 1,452,400
Interest rate	1.63%~2.35%	1.31%~2.31%

	January 1, 2012
Secured loans	$ 3,632,932
Unsecured loans	277,380
	$ 3,910,312
Interest rate	1.29%~2.50%

(13) Other current liabilities

	December 31, 2013	December 31, 2012
Receipt in advance	$ 200,564	$ 39,720
Long-term liabilities - current portion	10,963,222	6,540,126
Shipowner's accounts	1,580,331	1,287,478
Agency accounts	2,909,828	3,597,875
Long-term leases payable - current	2,208,331	1,028,194
Others	23,431	27,344
	$ 17,885,707	$ 12,520,737

	January 1, 2012
Receipt in advance	$ 29,461
Long-term liabilities - current portion	7,102,812
Shipowner's accounts	328,195
Agency accounts	1,635,738
Long-term leases payable - current	418,790
Others	27,281
	$ 9,542,277

(14) Corporate bonds payable

	December 31, 2013	December 31, 2012
Domestic unsecured convertible bonds	$ 568,400	$ 568,600
Domestic secured corporate bonds	3,000,000	3,000,000
Less: discount on corporate bonds	(7,377)	(19,809)
	3,561,023	3,548,791
Less: current portion or exercise of put options	(561,023)	-
	$ 3,000,000	$ 3,548,791

	January 1, 2012
Domestic unsecured convertible bonds	$ 594,100
Domestic secured exchangeable bonds	2,500,000
Less: discount on corporate bonds	(138,439)
	2,955,661
Less: current portion or exercise of put options	(2,955,661)
	$ -

A.On July 23, 2009, the Company issued its first domestic secured exchangeable bonds (referred herein as the "Exchangeable Bonds") at face value, totaling $2,500,000. The major terms of the issuance are set forth below:

a) Period: 3 years (July 23, 2009 to July 23, 2012)

b) Coupon rate: 0% per annum

c) Principal repayment and interest payment

Unless the Exchangeable Bonds are redeemed, exchanged or deregistered before maturity, or other events occur due to regulatory reasons, the principal of the Exchangeable Bonds shall be repaid in lump sum by cash at maturity based on the face value of the Bonds.

d) Collaterals

(a)The redemption of the Exchangeable Bonds are guaranteed by Bank Sinopac and Credit Agricole Corporate and Investment Bank, referred herein as the "Guarantors". The guaranty period is from the issuance date of the Exchangeable Bonds to the date all the debts are paid off. Additionally, the portion the Guarantors insure includes principal plus accrued interest and debt ancillary to the main liability.

(b)If the bondholders files a claim with the Guarantors to redeem the Exchangeable Bonds, the Guarantors should pay within 14 days after being informed of the claim.

(c)During the guarantee period, if the Company is unable to repay the principal and interest on the bonds on schedule, violates the consignment contract with consigned bank or guaranty contract with the Guarantors, or violates events approved by official authority, to a certain extent that trespass on the bondholders' rights and interests happens, all the Exchangeable Bonds are deemed to be at maturity effective immediately.

e) Object exchanged

Common stock of Evergreen International Storage and Transport Corporation (EITC) which belongs to the Company (Related information is stated in Note 6 (8)).

f) Redemption at the Company's option

(a)During the period from one month after the issuance of the Exchangeable Bonds to 40 days before the maturity of the Exchangeable Bonds, if the closing price of common stock of EITC at the block trade market is equal to or more than 30% of the exchange price for a period of 30 consecutive trading days, the Company may redeem the outstanding bonds in cash at the face value of the Exchangeable Bonds within 30 trading days after the abovementioned 30 consecutive trading days.

(b)During the period from one month after the Exchangeable Bonds are issued to 40 days before the maturity of the Exchangeable Bonds, if the total amount of the Exchangeable Bonds outstanding is less than 10% of the total issued amount, the Company may redeem the outstanding bonds in cash at their face value any time during the 40 days before the maturity of the Exchangeable Bonds.

(c)When the Company issues its redemption notice, and the bondholders do not reply in written form before the effective redemption date, the Company may convert the bonds held by those bondholders into common stock at the exchange price in effect at the expiration of the notice period.

g) Terms of exchange

(a)Exchange period

The bondholders may exchange the Exchangeable Bonds into the common stock of EITC during the period from one month after the Exchangeable Bonds are issued to 10 days before the maturity of the Exchangeable Bonds.

The bondholders are prohibited from exercising their exchange right during the period from 3 trading days before the announcement of cash or stock dividends to the date of distribution of the cash or stock dividends.

(b)Exchange price

The base day for setting exchange price is July 15, 2009. The exchange price can be any of the three average closing prices of the common stock of EITC during the 1, 3 and 5 trading days before the base day multiplied by the number ranging from 101.00% to 110.00%. If any cash or stock dividends are distributed before the base day, the closing price used in the computation of the exchange price must be adjusted for the effect of the dividend distribution. If any cash or stock dividends are distributed during the period from the date on which the exchange price is set to the date on which the Exchangeable Bonds are issued, the exchange price is required to be adjusted in accordance with the adjusting formula specified in the bond agreement. The exchange price at the issuance of the Exchangeable Bonds was set at $30.31(in dollars).

h) Entitlement to cash dividends or stock dividends

The bondholders who request to exchange the Exchangeable Bonds during the period from January 1 of the current year to any date which is more than 3 trading days before the announcement of cash or stock dividends are entitled to the cash or stock dividends resolved by the stockholders in the current year. Exchange of the Exchangeable Bonds is prohibited during the period from 3 trading days before the announcement of cash or stock dividends to the ex-dividend date. The bondholders who request to exchange the Exchangeable Bonds during the period from the date following the ex-dividend date to December 31 of the current year are not entitled to the cash or stock dividends resolved by the stockholders in the current year, but are entitled to the cash or stock dividends resolved by the stockholders in the following year.

B.On August 7, 2009, the Company issued its third domestic unsecured convertible bonds (referred herein as the "Third Bonds") at face value, totaling $2,500,000. The major terms of the issuance are set forth below:

a) Period: 5 years (August 7, 2009 to August 7, 2014)

b) Coupon rate: 0% per annum

c) Principal repayment and interest payment

Unless the Third Bonds are redeemed, repurchased, resold, converted or deregistered before maturity, or other events occur due to regulatory reasons, the principal of the Third Bonds shall be repaid in lump sum by cash at maturity based on the face value of the Bonds.

d) Collaterals

The Third Bonds are unsecured. However, if the Company subsequently issues other convertible bonds secured with collaterals, the rights of the holders of the Third Bonds to claim their credits and the collaterals are set at the same rank as the holders of the convertible bonds issued subsequently.

e) Redemption at the Company's option

(a)During the period from one month after the issuance of the Third Bonds to 40 days before the maturity of the Third Bonds, if the closing price of the Company's common stock at the Taiwan Stock Exchange is equal to or more than 30% of the conversion price for a period of 30 consecutive trading days, the Company may redeem the outstanding bonds in cash at the face value of the Third Bonds within 30 trading days after the abovementioned 30 consecutive trading days.

(b)During the period from one month after the Third Bonds are issued to 40 days before the maturity of the Third Bonds, if the total amount of the Third Bonds outstanding after the conversion by the bondholders is less than $250,000 (10% of the total issued amount), the Company may redeem the outstanding bonds at their face value any time during the 40 days before the maturity of the Third Bond.

(c)When the Company issues its redemption notice, if the bondholders do not reply before the effective redemption date, the Company may convert the bonds held by those bondholders into common stock at the conversion price in effect at the expiration of the notice period.

f) Redemption at the bondholders' option

During the period from 30 days before the 2-year maturity of the Third Bonds to the date of maturity, or from 30 days before the 3-year maturity of the Third Bonds to the date of maturity, the bondholders may require the Company to redeem their bonds in cash at the face value plus interest compensation. The redemption price for the former is 101.00% of the face value with a yield rate of 0.50% per annum, and 101.51% of the face value with a yield rate of 0.50% for the latter.

g) Terms of conversion

(a)Conversion period

The bondholders may convert the Third Bonds into the Company's common stock during the period from one month after the Third Bonds are issued to 10 days before the maturity of the Third Bonds.

The bondholders are prohibited from exercising their conversion right during the period from 3 trading days before the announcement of cash or stock dividends to the date of distribution of the cash or stock dividends.

(b)Conversion price

The base day for setting conversion price is July 30, 2009. The conversion price can be any of the three average closing prices of the Company's common stock during the 1, 3 and 5 trading days before the base day multiplied by 101.00%. If any cash or stock dividends are distributed before the base day, the closing price used in the computation of the conversion price must be adjusted for the effect of the dividend distribution. If any cash or stock dividends are distributed during the period from the date on which the conversion price is set to the date on which the Third Bonds are issued, the conversion price is required to be adjusted in accordance with the adjusting formula specified in the bond agreement. The conversion price at the issuance of the Third Bonds was set at $20.04 (in dollars). Until the report release date, the conversion price of the Convertible Bonds was set at $17.20 (in dollars).

h) Entitlement to cash dividends or stock dividends

The bondholders who request to convert the Third Bonds during the period from January 1 of the current year to any date which is more than 3 trading days before the announcement of cash or stock dividends are entitled to the cash or stock dividends resolved by the stockholders in the current year. Conversion of the Third Bonds is prohibited during the period from 3 trading days before the announcement of cash or stock dividends to the ex-dividend date. The bondholders who request to convert the Third Bonds during the period from the date following the ex-dividend date to December 31 of the current year are not

entitled to the cash or stock dividends resolved by the stockholders in the current year, but are entitled to the cash or stock dividends resolved by the stockholders in the following year.

i) As of December 31, 2013, the Third Bond holders to request convertible bonds of the Company common stock, total convertible bonds face value was $1,931,600. Convertible for the Third Bonds to increase conversion transaction capital surplus - paid-in capital in excess of par value of common stock $1,017,095, and reduce the capital reserves from stock warrants $197,954.

C.On April 26, 2012, the Company issued its twelfth domestic secured corporate bonds (referred herein as the "Twelfth Bonds"), totaling $3,000,000. The Twelfth Bonds are categorized into Bond A and B, depending on the guarantee institution. Bond A totals $2,000,000, and Bond B totals $1,000,000. The major terms of the issuance are set forth below:

a) Period: 5 years (April 26, 2012 to April 26, 2017)

b) Coupon rate: 1.28% fixed per annum

c) Principal repayment and interest payment

Repayments for the Twelfth Bonds are paid annually on coupon rate, starting a year from the issuing date. The principal of the Twelfth Bonds shall be repaid in lump sum at maturity.

d) Collaterals

The Twelfth Bonds are secured. Bond A are guaranteed by Bank Sinopac, and Bond B are guaranteed by Far Eastern International Bank.

D.The conversion rights and debt component of the Third Bonds are recognized separately in accordance with IAS 39. The issuance cost of the Third Bonds is allocated to debt and equity components by the amount initially recognized. Accordingly, the account of "capital reserve from stock warrants" amounted to $256,205.

The net value of the rights of repurchase and resold embedded in bonds payable was separated from bonds payable, and was recognized in "financial liabilities at fair value through profit or loss" in accordance with IAS 39.

(15) Long-term loans

	December 31, 2013	December 31, 2012
Secured bank loans	$ 48,650,416	$ 25,969,135
Unsecured bank loans	18,641,071	22,231,284
Add (Less): unrealized foreign exchange loss (gain)	72,021	(113,228)
Less: deferred expenses - hosting fee credit	(31,250)	(12,527)
	67,332,258	48,074,664
Less: current portion	(10,402,199)	(6,540,126)
	$ 56,930,059	$ 41,534,538
Interest rate	0.82%~5.22%	0.95%~6.72%

	January 1, 2012
Secured bank loans	$ 21,587,369
Unsecured bank loans	20,387,613
Add: unrealized foreign exchange loss	41,890
Less: deferred expenses - hosting fee credit	(6,196)
	42,010,676
Less: current portion	(4,147,151)
	$ 37,863,525
Interest rate	0.95%~9.38%

Please refer to Note 8 for details of the collaterals pledged for the above long-term loans.

(16) Other non-current liabilities

	December 31, 2013	December 31, 2012
Long-term leases payable - non-current	$ 16,362,553	$ 14,772,436
Accrued pension liabilities	2,883,965	2,768,533
Guarantee deposits received	34,545	39,712
Unrealized gain on sale and leaseback	103,422	149,028
Other liabilities - other	-	2,046
	$ 19,384,485	$ 17,731,755

	January 1, 2012
Long-term leases payable - non-current	$ 3,279,671
Accrued pension liabilities	2,726,719
Guarantee deposits received	40,231
Unrealized gain on sale and leaseback	209,156
Other liabilities - other	468,372
	$ 6,724,149

(17) Finance lease liabilities

The Group leases in loading and unloading equipment, ships and transportation equipment under finance lease, based on the terms of the lease contracts. Future minimum lease payments and their present values as at December 31, 2013, December 31, 2012 and January 1, 2012 are as follows:

	December 31, 2013		
	Total finance lease liabilities	Future finance charges	Present value of finance lease liabilities
Current			
Not later than one year	$ 2,830,137	($ 621,806)	$ 2,208,331
Non-current			
Later than one year but not later than five years	8,315,472	(1,821,809)	6,493,663
Over five years	10,880,266	(1,011,376)	9,868,890
	19,195,738	(2,833,185)	16,362,553
	$ 22,025,875	($ 3,454,991)	$ 18,570,884

	December 31, 2012		
	Total finance lease liabilities	Future finance charges	Present value of finance lease liabilities
Current			
Not later than one year	$ 1,625,405	($ 597,211)	$ 1,028,194
Non-current			
Later than one year but not later than five years	6,943,767	(2,011,670)	4,932,097
Over five years	11,200,229	(1,359,890)	9,840,339
	18,143,996	(3,371,560)	14,772,436
	$ 19,769,401	($ 3,968,771)	$ 15,800,630

	January 1, 2012		
	Total finance lease liabilities	Future finance charges	Present value of finance lease liabilities
Current			
Not later than one year	$ 576,587	($ 157,797)	$ 418,790
Non-current			
Later than one year but not later than five years	2,823,466	(448,613)	2,374,853
Over five years	964,008	(59,190)	904,818
	3,787,474	(507,803)	3,279,671
	$ 4,364,061	($ 665,600)	$ 3,698,461

(18) Pension

A.(a)In accordance with the Labor Pension Act (“the Act”), effective July 1, 2005, which adopted a defined contribution scheme, employees of the Company and its subsidiary-TTSC may choose to be subject to either the Act, maintaining their seniority before the enforcement of the Act, or the pension mechanism of the Labor Standard Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company and its subsidiary-TTSC contribute monthly an amount equal to 15% of the employees’ monthly salaries and wages to the retirement fund deposited with the department of Trust of Bank of Taiwan under the name of the Labor Pension Fund Supervisory Committee.

(b)The employees with R.O.C. nationality of the Group's subsidiaries, Greencompass Marine S. A. and Evergreen Marine (UK) Limited, adopted the Act. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement.

(c)The amounts recognised in the balance sheet are determined as follows:

	December 31, 2013	December 31, 2012
Present value of funded obligations	($ 3,821,938)	($ 3,602,002)
Fair value of plan assets	926,722	820,611
	(2,895,216)	(2,781,391)
Unrecognised past service cost	11,251	12,858
Net liability in the balance sheet	($ 2,883,965)	($ 2,768,533)

	January 1, 2012
Present value of funded obligations	($ 3,480,832)
Fair value of plan assets	739,648
	(2,741,184)
Unrecognised past service cost	14,465
Net liability in the balance sheet	($ 2,726,719)

(d)Changes in present value of funded obligations are as follows:

	2013	2012
Present value of funded obligations		
At January 1	($ 3,602,002)	($ 3,480,832)
Current service cost	(109,786)	(105,009)
Interest expense	(66,613)	(74,431)
Employee contribution	(947)	-
Actuarial profit and loss	(154,282)	(104,998)
Foreign exchange difference	(23,039)	40,679
Benefits paid	134,952	119,922
Past service cost	-	(178)
Settlement	(221)	2,845
At December 31	($ 3,821,938)	($ 3,602,002)

(e)Changes in fair value of plan assets are as follows:

	2013	2012
Fair value of plan assets		
At January 1	$ 820,611	$ 739,648
Expected return on plan assets	15,678	13,199
Actuarial profit and loss	28,047	(5,565)
Foreign exchange difference	25,994	(5,122)
Employer contributions	122,320	163,635
Employee contributions	947	882
Benefits paid	(86,875)	(86,066)
At December 31	$ 926,722	$ 820,611

(f)Amounts of expenses recognised in comprehensive income statements are as follows:

	2013	2012
Current service cost	$ 109,334	$ 104,305
Interest cost	56,549	73,917
Expected return on plan assets	(5,921)	(13,200)
Past service cost	1,607	2,020
Curtailment or settlement profit and loss	510	(990)
Current pension costs	$ 162,079	$ 166,052

Details of cost and expenses recognised in comprehensive income statements are as follows:

	2013	2012
Operating costs	$ 87,056	$ 85,062
Operating expenses	75,023	80,990
	$ 162,079	$ 166,052

(g)Amounts recognised under other comprehensive income are as follows:

	2013	2012
Recognition for current period	($ 126,233)	($ 110,563)
Accumulated amount	($ 236,796)	($ 110,563)

(h)The Bank of Taiwan was commissioned to manage the Fund of the Company's and domestic subsidiary-TTSC's defined benefit pension plan in accordance with the Fund's annual investment and utilisation plan and the "Regulations for Revenues, Expenditures, Safeguard and Utilisation of the Labor Retirement Fund" (Article 6: The scope of utilisation for the Fund includes deposit in domestic or foreign financial institutions, investment in domestic or foreign listed, over-the-counter, or private placement equity securities, investment in domestic or foreign real estate securitization products, etc.). With regard to the utilisation of the Fund, its minimum earnings in the annual distributions on the final financial statements shall be no less than the earnings attainable from the amounts accrued from two-year time deposits with the interest rates offered by local banks. The constitution of fair value of plan assets as of December 31, 2013 and 2012 is given in the Annual Labor Retirement Fund

Utilisation Report published by the government. Expected return on plan assets was a projection of overall return for the obligations period, which was estimated based on historical returns and by reference to the status of Labor Retirement Fund utilisation by the Labor Pension Fund Supervisory Committee and taking into account the effect that the Fund's minimum earnings in the annual distributions on the final financial statements shall be no less than the earnings attainable from the amounts accrued from two-year time deposits with the interest rates offered by local banks.

The pension costs under defined contribution pension plans of the Group for the years ended December 31, 2013 and 2012 were $6,954 and $5,282, respectively.

(i)The principal actuarial assumptions used were as follows:

	2013	2012	2011
Discount rate	1.75%~9.00%	1.50%~10.00%	1.75%~6.70%
Future salary increases	1.46%~11.00%	2.00%~11.00%	2.00%~9.00%
Expected return on plan assets	0.00%~3.90%	0.00%~4.50%	0.00%~4.76%

Assumptions regarding future mortality experience are set based on actuarial advice in accordance with published statistics and experience in each territory.

(j)Historical information of experience adjustments was as follows:

	2013	2012
Present value of defined benefit obligation	($ 3,821,938)	($ 3,602,002)
Fair value of plan assets	926,722	820,611
Deficit in the plan	($ 2,895,216)	($ 2,781,391)
Experience adjustments on plan liabilities	($ 154,282)	($ 104,998)
Experience adjustments on plan assets	$ 28,047	($ 5,565)

B.(a)Effective July 1, 2005, the Company and its domestic subsidiary-TTSC have established a defined contribution pension plan (the "New Plan") under the Labor Pension Act (the "Act"), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiary-TTSC contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.

(b)The pension costs under defined contribution pension plans of the Group for the years ended December 31, 2013 and 2012 were $202,870 and $191,499, respectively.

(19) Capital stock

A.As of December 31, 2013, the Company's authorized capital was $36,000,000, and the paid-in capital was $34,749,523, divided into 3,474,952 thousand shares of common stocks with a par value of $10 (in dollars) per share. All proceeds from shares issued have been collected.

B.Details of the common stock converted from the unsecured domestic convertible bonds issued by the Company for the years ended December 31, 2013 and 2012 are set forth below:

	For the years ended December 31,			
	2013		2012	
	No. of Shares (in 000's)	Amount	No. of Shares (in 000's)	Amount
Third unsecured convertible bonds	12	$ 116	1,483	$ 14,826

(20) Capital surplus

A.Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of parvalue on issuance of common stocks and donations can be used to cover accumulated deficit or toissue new stocks or cash to shareholders in proportion to their share ownership, provided that theCompany has no accumulated deficit. Further, the R.O.C. Securities and Exchange Law requires that the amount of capital surplus to be capitalised mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

	2013				
	Share premium	Adjustments to share of changes in equity of associates and joint ventures	Donated assets	Stock warrants of convertible bonds	Others
At January 1, 2013	$ 5,817,899	$ 1,388,550	$ 446	$ 58,271	$ 6,713
Conversion of convertible bonds into common stock	99	-	-	(21)	-
At December 31, 2013	$ 5,817,998	$ 1,388,550	$ 446	$ 58,250	$ 6,713

	2012				
	Share premium	Adjustments to share of changes in equity of associates and joint ventures	Donated assets	Stock warrants of convertible bonds	Others
At January 1, 2012	$ 5,805,861	$ 1,388,550	$ 372	$ 60,884	$ 6,713
Conversion of convertible bonds into common stock	12,038	-	-	(2,613)	-
Donated assets	-	-	74	-	-
At December 31, 2012	$ 5,817,899	$ 1,388,550	$ 446	$ 58,271	$ 6,713

B.Information related to “capital reserve from stock warrants” is stated in Note 6(14).

(21) Retained earnings

	2013	2012
At January 1	$ 5,121,929	$ 4,074,031
Profit for the period	(1,497,304)	312,544
Appropriation of earnings	(2,234,566)	986,044
Disposal of treasury shares	-	(2)
Actuarial gain/loss on post employment benefit obligations net of tax	(270,967)	(250,688)
Recognized the deduction to retained earnings attributed to investee company non-subscribed proportionately	(215)	-
At December 31	$ 1,118,877	$ 5,121,929

A.According to the Company’s Articles of Incorporation, if there is any profit for a fiscal year, the Company shall first make provision for income tax and cover prior years’ losses, then appropriate 10% of the residual amount as legal reserve. Dividends shall be proposed by the Board of Directors and resolved by the stockholders. Bonuses paid to employees shall be at least 0.5% of the total distributed amount and the remuneration paid to the directors and supervisors shall not exceed 5% of the total distributed amount.

B.Dividend policy

The Company is currently at the stable growth stage. In order to facilitate future expansion plans, dividends to stockholders are distributed mutually in the form of both cash and stocks with the basic principle that the ratio of cash dividends to total stock dividends shall not be lower than 10%.

C.Legal reserve

Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their

share ownership is permitted, provided that the balance of the reserve exceeds 25% of the Company's paid-in capital.

D.(a)In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.

(b)The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Jin-Guan-Zheng-Fa-Zi Letter No. 1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently. Such amounts are reversed upon disposal or reclassified if the assets are investment property of land, and reversed over the use period if the assets are investment property other than land.

E.As of December 31, 2013 and 2012, the Company distributed no dividends to shareholders, bonus to employees, or remuneration to the directors and supervisors in order to facilitate future expansion plans.

For more information on the bonus allocation to employees and remuneration to the directors and supervisors of the Company as resolved by the Board of Directors and approved by the stockholders, please visit the "Market Observation Post System" website of the Taiwan Stock Exchange.

The above-mentioned 2013 earnings appropriation had not been resolved by the stockholders.

(22) Other equity items

	Hedging reserve	Available-for-sale investment	Currency translation	Total
At January 1, 2013	$ 10,289	($ 490,002)	($ 1,867,363)	($ 2,347,076)
Revaluation – gross	-	392,299	-	392,299
Revaluation – tax	-	(11,032)	-	(11,032)
Revaluation – associates	-	80,401	-	80,401
Revaluation – associates – tax	-	(8,122)	-	(8,122)
Cash flow hedges:				
– Fair value gains in the period – associates	2,460	-	-	2,460
– associates-tax	(418)	-	-	(418)
Currency translation differences:				
–Group	-	-	966,519	966,519
–Group – tax	-	-	(10)	(10)
–Associates	-	-	96,039	96,039
At December 31, 2013	$ 12,331	($ 36,456)	($ 804,815)	($ 828,940)

	Hedging reserve	Available-for-sale investment	Currency translation	Total
At January 1, 2012	$ 19,364	($ 362,353)	$ -	($ 342,989)
Revaluation – gross	-	48,077	-	48,077
Revaluation – tax	-	-	-	-
Revaluation – associates	-	(175,327)	-	(175,327)
Revaluation – associates – tax	-	(399)	-	(399)
Cash flow hedges:				
– Fair value gains in the period – associates	(10,933)	-	-	(10,933)
– associates – tax	1,858	-	-	1,858
Currency translation differences:				
–Group	-	-	(1,716,505)	(1,716,505)
–Associates	-	-	(150,858)	(150,858)
At December 31, 2012	$ 10,289	($ 490,002)	($ 1,867,363)	($ 2,347,076)

(23) Operating revenue

	For the year ended December 31, 2013	For the year ended December 31, 2012
Marine freight income	$ 128,420,358	$ 131,327,612
Ship rental income and slottage income	1,905,065	2,431,139
Commission income and agency service income	1,728,660	1,660,834
Container manufacturing income	2,654,488	2,281,567
Container income and others	4,507,813	3,325,239
	$ 139,216,384	$ 141,026,391

(24) Other income

	For the year ended December 31, 2013	For the year ended December 31, 2012
Rental income	$ 115,200	$ 111,774
Dividend income	122,975	148,093
Interest income:		
Interest income from bank deposits	239,257	213,308
Interest income from financial assets other than financial assets at fair value through profit or loss	10,272	15,742
Other interest income	-	4,000
Other income - other	152,620	364,635
	$ 640,324	$ 857,552

(25) Other gains and losses

	For the year ended December 31, 2013	For the year ended December 31, 2012
Net gains on financial assets at fair value through profit or loss	$ 18,963	$ 16,340
Net losses on financial liabilities at fair value through profit or loss	-	(55,780)
Net currency exchange gains	74,973	171,820
Gains on disposal of property, plant and equipment	4,334,622	1,297,230
Gains on disposal of investments	51,552	154,154
Other non-operating expenses	(83,180)	(86,812)
	$ 4,396,930	$ 1,496,952

(26) Finance costs

	For the year ended December 31, 2013	For the year ended December 31, 2012
Interest expense:		
Bank loans	$ 535,628	$ 540,869
Corporate bonds	50,931	140,330
	586,559	681,199
Less: capitalisation of qualifying assets	(174,473)	(223,429)
Finance costs	$ 412,086	$ 457,770

(27) Expenses by nature

	For the year ended December 31, 2013	For the year ended December 31, 2012
Employee benefit expense	$ 5,754,240	$ 5,226,708
Depreciation charges on property, plant and equipment	6,762,855	5,749,331
Amortisation charges on intangible assets	11,431	5,966
Other operating costs and expenses	131,795,641	131,160,416
	$ 144,324,167	$ 142,142,421

(28) Employee benefit expense

	For the year ended December 31, 2013	For the year ended December 31, 2012
Wages and salaries	$ 4,775,152	$ 4,306,065
Labor and health insurance fees	315,607	293,962
Pension costs	364,949	357,551
Other personnel expenses	298,532	269,130
	$ 5,754,240	$ 5,226,708

(29) Income tax

A.Income tax expense

(a)Components of income tax expense:

	For the year ended December 31, 2013	For the year ended December 31, 2012
Current tax:		
Current tax on profits for the period	$ 468,853	$ 344,285
Adjustments in respect of prior years	(4,727)	(17,715)
Total current tax	464,126	326,570
Deferred tax:		
Origination and reversal of temporary differences	(6,469)	(69,899)
Total deferred tax	(6,469)	(69,899)
Income tax expense	$ 457,657	$ 256,671

(b)The income tax (charge)/credit relating to components of other comprehensive income is as follows:

	For the year ended December 31, 2013	For the year ended December 31, 2012
Fair value gains/losses on available-for-sale financial assets	($ 11,034)	$ -
Exchange differences on translating the financial statements of foreign operations	(10)	-
Actuarial gains/losses on defined benefit obligations	14,846	(2,386)
	$ 3,802	($ 2,386)

(c)The income tax charged/(credited) to equity during the period is as follows:

	For the year ended December 31, 2013	For the year ended December 31, 2012
Recognized the deduction to retained earnings attributed to investee company non-subscribed proportionately	$ 7	$ -

B.Reconciliation between income tax expense and accounting profit

	For the year ended December 31, 2013	For the year ended December 31, 2012
Tax calculated based on profit before tax and statutory tax rate	$ 163,645	$ 392,949
Effects from items disallowed by tax regulation	336,159	(29,084)
Effect from investment tax credit	(36,742)	(93,297)
Effect from net operating loss carryforward	(2,403)	(2,238)
Prior year income tax (over) underestimation	(4,727)	(17,715)
Effect from Alternative Minimum Tax	1,171	5,486
Additional 10% tax on undistributed earnings	554	570
Tax expense	$ 457,657	$ 256,671

C. Amounts of deferred tax assets or liabilities as a result of temporary difference, loss carryforward and investment tax credit are as follows:

	For the year ended December 31, 2013				
	January 1	Recognized in profit or loss	Recognized in other comprehensive income	Recognized in equity	December 31
Temporary differences:					
－Deferred tax assets:					
Bad debts expense	$ 404	$ -	$ -	$ -	$ 404
Loss on valuation of financial assets	22,378	-	967	-	23,345
Deferred profit from disposal of property, plant and equipment	15,568	(2,423)	-	-	13,145
Unrealized loss	23,267	7,538	-	-	30,805
Unrealized foreign exchange loss	603	2,630	-	-	3,233
Accrued pension liabilities	298,068	(4,271)	(238)	-	293,559
Net operating loss carryforward	145,534	(145,534)	-	-	-
Investment tax credit	114,561	8,242	-	-	122,803
Subtotal	$ 620,383	($ 133,818)	$ 729	$ -	$ 487,294
－Deferred tax liabilities:					
Unrealized foreign exchange gain	($ 16,453)	$ 12,173	$ -	$ -	($ 4,280)
Unrealized gain	(878)	876	-	-	(2)
Actuarial pension profit or loss	(10,047)	-	7,201	-	(2,846)
Equity-accounted investment income	(1,300,491)	135,714	(4,128)	7	(1,168,898)
Property, plant and equipment and others	(64,270)	(8,476)	-	-	(72,746)
Subtotal	($ 1,392,139)	$ 140,287	$ 3,073	$ 7	($ 1,248,772)
Total	($ 771,756)	$ 6,469	$ 3,802	$ 7	($ 761,478)

	For the year ended December 31, 2012				
	January 1	Recognized in profit or loss	Recognized in other comprehensive income	Recognized in equity	December 31
Temporary differences:					
－Deferred tax assets:					
Bad debts expense	$ 329	$ 75	$ -	$ -	$ 404
Loss on valuation of financial assets	22,367	11	-	-	22,378
Deferred profit from disposal of property, plant and equipment	619	14,949	-	-	15,568
Unrealized loss	14,341	8,926	-	-	23,267
Unrealized foreign exchange loss	5,177	(4,574)	-	-	603
Accrued pension liabilities	297,280	(6,873)	7,661	-	298,068
Property, plant and equipment and others	1,841	(1,841)	-	-	-
Net operating loss carryforward	201,648	(56,114)	-	-	145,534
Investment tax credit	24,833	89,728	-	-	114,561
Subtotal	$ 568,435	$ 44,287	$ 7,661	$ -	$ 620,383
－Deferred tax liabilities:					
Unrealized foreign exchange gain	($ 190)	($ 16,263)	$ -	$ -	($ 16,453)
Unrealized gain	(1,031)	153	-	-	(878)
Actuarial pension profit or loss	-	-	(10,047)	-	(10,047)
Equity-accounted investment income	(1,347,254)	46,763	-	-	(1,300,491)
Property, plant and equipment and others	(59,229)	(5,041)	-	-	(64,270)
Subtotal	($ 1,407,704)	$ 25,612	($ 10,047)	$ -	($ 1,392,139)
Total	($ 839,269)	$ 69,899	($ 2,386)	$ -	($ 771,756)

D.According to Act for Industrial Innovation and Statute for Upgrading Industries (before its abolishment), details of the amount the Company is entitled as investment tax credit and unrecognised deferred tax assets are as follows:

	December 31, 2013		
Qualifying items	Unused tax credits	Unrecognised deferred tax assets	Final year tax credits are due
Significant public works	$ 26,803	$ -	2015
Significant public works	60,000	-	2016
Significant public works	36,000	-	2017
	$ 122,803	$ -	

	December 31, 2012		
Qualifying items	Unused tax credits	Unrecognised deferred tax assets	Final year tax credits are due
Equipment	$ 18,398	$ -	2013
Personnel training	163	-	2013
Significant public works	36,000	-	2015
Significant public works	60,000	-	2016
	$ 114,561	$ -	

	January 1, 2012		
Qualifying items	Unused tax credits	Unrecognised deferred tax assets	Final year tax credits are due
Significant public works	$ 24,833	$ -	2015

E.Expiration dates of unused net operating loss carryfoward and amounts of unrecognised deferred tax assets are as follows:

December 31, 2012				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognised deferred tax assets	Usable until year
2009	$ 2,456,334	$ 856,084	$ -	2019

January 1, 2012				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognised deferred tax assets	Usable until year
2009	$ 2,456,334	$ 1,186,162	$ -	2019

F.The Company has not recognized taxable temporary differences associated with investment in subsidiaries as deferred tax liabilities. As of December 31, 2013, December 31, 2012 and January 1, 2012, the amounts of temporary difference unrecognised as deferred tax liabilities were $19,884,906, $21,135,622 and $21,128,515, respectively.

G.As of December 31, 2013, the Company's income tax returns through 2011 have been assessed and approved by the Tax Authority.

H.Unappropriated retained earnings:

	December 31, 2013	December 31, 2012
Earnings generated in and before 1997	$ 1,118,877	$ 1,673,273
Earnings generated in and after 1998	-	3,448,656
	$ 1,118,877	$ 5,121,929

	January 1, 2012
Earnings generated in and before 1997	$ 1,673,273
Earnings generated in and after 1998	2,400,758
	$ 4,074,031

I.As of December 31, 2013, December 31, 2012 and January 1, 2012, the balance of the imputation tax credit account was $438,661, $1,059,125 and $1,013,143, respectively. The creditable tax rate was 12.72% for 2012 and is estimated to be 0% for 2013.

(30) (Loss) earnings per share

	For the year ended December 31, 2013		
	Amount after tax	Weighted average number of ordinary shares outstanding (share in thousands)	Loss per share (in dollars)
Basic loss per share			
Net loss attributable to ordinary shareholders of the parent	($ 1,497,304)	3,474,948	($ 0.43)
Diluted loss per share			
Net loss attributable to ordinary shareholders of the parent	(1,497,304)	3,474,948	
Assumed conversion of all dilutive potential ordinary shares			
Convertible bonds	Note 1	Note 1	
Net loss attributable to ordinary shareholders of the parent plus assumed conversion of all dilutive potential ordinary shares	($ 1,497,304)	3,474,948	($ 0.43)

	For the year ended December 31, 2012		
	Amount after tax	Weighted average number of ordinary shares outstanding (share in thousands)	Earnings per share (in dollars)
Basic earnings per share			
Net income attributable to ordinary shareholders of the parent	$ 312,544	3,474,576	$ 0.09
Diluted earnings per share			
Net income attributable to ordinary shareholders of the parent	312,544	3,474,576	
Assumed conversion of all dilutive potential ordinary shares			
Convertible bonds	Note 2	Note 2	
Net income attributable to ordinary shareholders of the parent plus assumed conversion of all dilutive potential ordinary shares	$ 312,544	3,474,576	$ 0.09

Note 1:

According to IAS 33 “Earnings per share”, the potential common stock should not be considered in calculation of basic loss per share, due to net loss from continuing operation for 2013, which leads to anti-dilutive effect.

Note 2:

According to IAS 33 “Earnings per share”, the potential common stock should not be considered in calculation of basic earnings per share, due to net income from continuing operation for 2012, which leads to anti-dilutive effect.

(31) Non-cash transaction

A.Investing activities with partial cash payments

(a)Fixed assets

	For the year ended December 31, 2013	For the year ended December 31, 2012
Purchase of fixed assets	$ 9,996,811	$ 14,975,710
Add: opening balance of payable on equipment	1,749	4,295
Less: ending balance of payable on equipment	(1,118)	(1,749)
Cash paid during the period	$ 9,997,442	$ 14,978,256

(b)Prepayments for equipment

	For the year ended December 31, 2013	For the year ended December 31, 2012
Purchase of prepayments for	$ 15,078,305	$ 13,052,474
Add: opening balance of payable on prepayments for equipment	8,488	5,144
Less: ending balance of payable on prepayments for equipment	(4,597)	(8,488)
capitalisation of qualifying assets	(174,473)	(223,429)
Cash paid during the period	$ 14,907,723	$ 12,825,701

B.Financing activities with no cash flow effects

	For the year ended December 31, 2013	For the year ended December 31, 2012
Convertible bonds being converted to capital stocks	$ 200	$ 25,500

7. RELATED PARTY TRANSACTIONS

(1) Significant related party transactions and balances

A.Sales of services:

	For the year ended December 31, 2013	For the year ended December 31, 2012
Sales of services:		
Associates	$ 2,802,161	$ 822,395
Other related parties	8,110,371	4,115,870
	$ 10,912,532	$ 4,938,265

The business terms on which the Group transacts with related parties are of no difference from those with non-related parties.

B.Purchases of goods and services:

	For the year ended December 31, 2013	For the year ended December 31, 2012
Purchases of services:		
Associates	$ 4,367,402	$ 591,859
Other related parties	6,615,570	4,654,464
	$ 10,982,972	$ 5,246,323

Goods and services are purchased from associates and an entity controlled by key management personnel on normal commercial terms and conditions.

C.Accounts receivable:

	December 31, 2013	December 31, 2012
Receivables from related parties:		
Associates	$ 114,273	$ 37,900
Other related parties	237,700	134,426
	$ 351,973	$ 172,326

	January 1, 2012
Receivables from related parties:	
Associates	$ 53,942
Other related parties	97,328
	$ 151,270

The receivables from related parties arise mainly from sale transactions. The receivables are unsecured in nature and bear no interest. There are no provisions held against receivables from related parties.

D.Accounts payable:

	December 31, 2013	December 31, 2012
Payables to related parties:		
Associates	$ 135,559	$ 47,375
Other related parties	611,797	639,924
	$ 747,356	$ 687,299

	January 1, 2012
Payables to related parties:	
Associates	$ 32,871
Other related parties	44,830
	$ 77,701

The payables to related parties arise mainly from purchase transactions. The payables bear no interest.

E.Property transactions:

Proceeds from sale of property and gain (loss) on disposal:

	For the year ended December 31, 2013		For the year ended December 31, 2012	
	Disposal proceeds	Gain on disposal	Disposal proceeds	Gain on disposal
Sale of property, plant and equipment:				
Associates	$ 18,886	$ 13,894	$ 2,513	$ 2,450
Other related parties	42	4	134	6
	$ 18,928	$ 13,898	$ 2,647	$ 2,456

F.Other period-end balances:

(a)Other receivables from related parties:

	December 31, 2013	December 31, 2012
Other receivables		
Associates	$ 4,889	$ 12,097
Other related parties	65,141	56,185
	$ 70,030	$ 68,282

	January 1, 2012
Other receivables	
Associates	$ 2,119
Other related parties	76,405
	$ 78,524

(b)Other payables to related parties:

	December 31, 2013	December 31, 2012
Other payables		
Associates	$ 44,765	$ 44,403
Other related parties	36,360	68,820
	$ 81,125	$ 113,223

	January 1, 2012
Other payables	
Associates	$ 45,415
Other related parties	103,208
	$ 148,623

G.Agency accounts:

The Group entered into agency agreements with its related parties, whereby the related parties act as the Group's overseas agents to deal with foreign port formalities, such as arrival and departure of the Group's ships, cargo stevedoring and forwarding, freight collection, and payment of expenses incurred in foreign ports. The transactions are recorded as "agent accounts in other current assets (liabilities) ". The balances of the accounts are as follows:

(a)Debit balance of agency accounts

	December 31, 2013	December 31, 2012
Debit balance of agency accounts:		
Associates	$ -	$ 34,039
Other related parties	36,142	-
	$ 36,142	$ 34,039

	January 1, 2012
Debit balance of agency accounts:	
Other related parties	$ 43,760

(b)Credit balance of agency accounts

	December 31, 2013	December 31, 2012
Credit balance of agency accounts:		
Associates	$ 1,169	$ -
Other related parties	-	141,046
	$ 1,169	$ 141,046

	January 1, 2012
Credit balance of agency accounts:	
Associates	$ 973

H.Shipowner's accounts:

Temporary accounts, between the Group and Other related parties – Evergreen International S.A., Gaining Enterprise S.A., Italia Marittima S.p.A., Evergreen Marine (Hong Kong) Ltd. and Evergreen Marine (Singapore) Pte. Ltd. incurred due to foreign port formalities and pier rental expenses are recognized as "shipowner's accounts in other current assets (liabilities) ". The balances of the accounts are as follows:

	December 31, 2013	December 31, 2012
Debit balance of shipowner's accounts		
Associates	$ 2,589	$ -
Other related parties	1,167,810	436,301
	$ 1,170,399	$ 436,301

	January 1, 2012
Debit balance of shipowner's accounts	
Other related parties	$ 1,112,104

	December 31, 2013	December 31, 2012
Credit balance of shipowner's accounts		
Associates	$ -	($ 22,149)
Other related parties	(860,125)	(556,167)
	($ 860,125)	($ 578,316)

	January 1, 2012
Credit balance of shipowner's accounts	
Associates	($ 93,208)
Other related parties	(234,987)
	($ 328,195)

I.Loans to related parties:

(a)Receivables from related parties

	December 31, 2013	December 31, 2012
Associates	$ 274,463	$ 155,751

	January 1, 2012
Associates	$ 442,114

(b)Interest income

	For the year ended December 31, 2013	For the year ended December 31, 2012
Associates	$ 3,442	$ 2,418

The loans to associates carry interest at floating rates for the yeard ended December 31, 2013 and 2012.

J.Endorsements and guarantees provided to related parties:

	December 31, 2013	December 31, 2012
Associates	$ 2,311,343	$ 3,258,233
		January 1, 2012
Associates		$ 2,471,322

(2) Key management compensation

	For the year ended December 31, 2013	For the year ended December 31, 2012
Salaries and other short-term employee benefits	$ 167,999	$ 163,817
Post-employment benefits	2,746	2,954
Other long-term benefits	-	4
	$ 170,745	$ 166,775

8. PLEDGED ASSETS

The Group's assets pledged as collateral are as follows:

Pledged assets	Book value December 31, 2013	Book value December 31, 2012	Purpose
Other financial assets			Performance
- Pledged time deposits	$ 498,664	$ 550,214	guarantee
Refundable deposits			
- Pledged time deposits	2,000	2,000	〃
Property, plant and equipment			
-Land	514,312	514,312	Long-term loan
-Buildings	217,814	225,177	〃
-Loading and unloading equipment	1,076,030	1,154,395	〃
-Ships	30,597,599	17,541,412	〃
-Transportation equipment	1,172,702	593,267	〃
Investment property			
-Land	1,285,781	1,285,781	〃
-Buildings	544,536	562,943	〃
	$ 35,909,438	$ 22,429,501	

Pledged asset	Book value January 1, 2012	Purpose
Other financial assets		Performance
- Pledged time deposits	$ 520,132	guarantee
Refundable deposits		
- Pledged time deposits	2,000	〃
Property, plant and equipment		
-Land	514,312	Long-term loan
-Buildings	232,540	〃
-Loading and unloading equipment	1,337,866	〃
-Ships	13,362,686	〃
-Transportation equipment	1,642,626	〃
Investment property		
-Land	1,285,781	〃
-Buildings	581,349	〃
Investments accounted for under the equity method - EITC	1,631,851	Exchange corporate bonds payable as subject
	$ 21,111,143	

9. SIGNIFICANT CONTINGENT LIABILITIES AND UNRECOGNISED CONTRACT COMMITMENTS

(1) Contingencies

None.

(2) Commitments

A. As of December 31, 2013, the Company had delegated ANZ Bank to issue Standby Letter of Credit amounting to USD 5,000.

B. A former stockholder of the Company sold some of its shares through issuance of global depository receipts (GDRs). The issuance of GDRs was approved by the SEC on June 19, 1996 as per Letter (85) Tai-Cai-Zheng (1) No. 35410. On August 2, 1996, the GDRs were approved by the UK governing authority to be listed on the London Stock Exchange and were issued in Asia, Europe and the US. The initial number of units issued was 5,449,592, representing 54,495,920 shares of the Company's common stock at $50.50 (in dollars) per share, and the number of supplementary units issued was 817,438. In total, the number of units issued was 6,267,030, representing 62,670,300 shares of the Company's common stock at $50.50 (in dollars) per share, and the GDRs issued amounted to USD115,000. Another 2,085,856 units, representing 20,858,634 shares of the Company's common stock, were issued during the period from 1997 to December 31, 2013. As of December 31, 2013, 8,013,574 units were redeemed and 339,312 units were outstanding, representing 3,393,194 shares of the Company's common stock.

C.As of December 31, 2013, the long-term and medium-term loan facilities granted by the financial institutions with the resolution from the Board of Directors to finance the Group's purchase of new ships and general working capital requirement amounted to $98,745,419 and the unutilized credits was $24,841,584.

D.Operating lease

The estimated amount of charter expense in the following years under long-term contracts is set forth as follows:

	December 31, 2013	
Within 1 year	USD	195,847
1~5 years		364,668
	USD	560,515

E.As of December 31, 2013, the amount of guaranteed notes issued by the Company for loans borrowed was $38,176,190.

F.To meet operational needs, the Group signed the shipbuilding contracts with Samsung Heavy Industries Co., Ltd. As of December 31, 2013, the total price of shipbuilding contracts amounted to USD1,339,000, USD123,600 of which remain unpaid.

G.To meet operational needs, the Group signed the shipbuilding contracts with Taiwan Shipbuilding Co., Ltd. As of December 31, 2013, the total price of shipbuilding contracts amounted to USD721,000, USD484,100 of which remain unpaid.

10. SIGNIFICANT DISASTER LOSS

None.

11. SIGNIFICANT EVENTS AFTER THE BALANCE SHEET DATE

A.As resolved by the Board of Directors on March 25, 2014, the Company purchased 4,500 containers (includes 2,500 special containers and 2,000 refrigerated containers) from China International Marine Containers (Group) Co., Ltd. to meet operational needs. The total price of contract amounted to USD29,752.

B.The Company's Board of Directors proposed the appropriation of earnings on March 25, 2014 and the related information is described in Note 6(21).

C.As resolved by the Board of Directors, the Company's subsidiary, Peony Investment S.A. participated in the cash capital increase of Balsam Investment (Netherlands) N.V. on March 26, 2014 according to its original ownership stake as an original shareholder. The capital increase amounts to EUR 19,600.

12. OTHERS

(1) Capital risk management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders and issue new shares to maintain an optimal capital.

(2) Financial instruments

A.Fair value information of financial instruments

Except for those listed in the table below, the book value of cash and cash equivalents and financial instruments measured at amortized cost (including notes receivable, accounts receivable, other receivables, other financial assets, refundable deposits, guarantee deposits received, held-to-maturity financial assets, short-term loans, accounts payable and other payables) are approximate to their fair values. The fair value information of financial instruments measured at fair value is provided in Note 12(3).

	December 31, 2013	
	Book value	Fair value
Financial liabilities:		
Bonds payable (including current portion)	$ 3,561,023	$ 3,575,555
Long-term loans (including current portion)	67,332,258	72,987,809
	$ 70,893,281	$ 76,563,364

	December 31, 2012	
	Book value	Fair value
Financial liabilities:		
Bonds payable	$ 3,548,791	$ 3,597,933
Long-term loans (including current portion)	48,074,664	49,143,282
	$ 51,623,455	$ 52,741,215

	January 1, 2012	
	Book value	Fair value
Financial liabilities:		
Bonds payable (including current portion)	$ 2,955,661	$ 2,955,661
Long-term loans (including current portion)	42,010,676	42,010,676
	$ 44,966,337	$ 44,966,337

B.Financial risk management policies

(a)The Group's activities expose it to a variety of financial risks: market risk (including foreign exchange risk, interest rate risk and price risk), credit risk and liquidity risk. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Group's financial position and financial performance.

(b)Risk management is carried out by the Group's Finance Department under policies approved by the Board of Directors. The Group's Finance Department identifies, evaluates and hedges financial risks in close co-operation with the Group's Operating Department The Board of Directors provides written principles for overall risk management, as well as written policies covering specific areas and matters, such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and non-derivative financial instruments, and investment of excess liquidity.

C.Significant financial risks and degrees of financial risks

(a)Market risk

Foreign exchange risk

A.The Group operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the USD, RMB, GBP and EUR. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities and net investment in foreign operations.

B.The Group's management has set up a policy to require group companies to manage their foreign exchange risk against their functional currency. The group companies are required to hedge their entire foreign exchange risk exposure with the Group's Finance Department. To manage their foreign exchange risk arising from future commercial transactions and recognised assets and liabilities, entities in the Group use forward foreign exchange contracts, transacted with Group's Finance Department. Foreign exchange risk arises when future commercial transactions or recognised assets or liabilities are denominated in a foreign currency that is not the entity's functional currency.

C.The Group's businesses involve some non-functional currency operations (the Company's and certain subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: USD, EUR and others). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

	December 31, 2013		
	Foreign currency amount (In Thousands)	Exchange rate	Book value (NTD)
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	$ 396,681	29.8430	$ 11,838,151
RMB:NTD	61,920	4.9231	304,838
RMB:USD	37,270	0.1650	183,521
EUR:USD	3,794	1.3791	156,148
Financial liabilities			
Monetary items			
USD:NTD	$ 328,556	29.8430	$ 9,805,097
RMB:NTD	17,948	4.9231	88,360
GBP:USD	92,429	1.6496	4,550,188
EUR:USD	4,930	1.3791	202,901

	December 31, 2012		
	Foreign currency amount (In Thousands)	Exchange rate	Book value (NTD)
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	$ 79,756	29.0480	$ 2,316,752
RMB:NTD	11,364	4.6581	52,935
GBP:USD	6,745	1.6111	315,661
RMB:USD	7,067	0.1604	32,927
Financial liabilities			
Monetary items			
USD:NTD	$ 228,923	29.0480	$ 6,649,755
EUR:NTD	321	38.4741	12,350
GBP:USD	96,803	1.6111	4,530,306

	January 1, 2012		
	Foreign currency amount (In Thousands)	Exchange rate	Book value (NTD)
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	$ 61,503	30.2765	$ 1,862,096
RMB:NTD	9,041	4.7913	43,318
RMB:USD	17,014	0.1583	81,544
EUR:USD	2,316	1.2938	90,722
Financial liabilities			
Monetary items			
USD:NTD	$ 103,527	30.2765	$ 3,134,435
GBP:USD	193,525	1.5406	9,026,775

D.Analysis of foreign currency market risk arising from significant foreign exchange variation:

	For the year ended December 31, 2013		
	Sensitivity analysis		
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	1%	$ 118,382	$ -
RMB:NTD	1%	3,048	-
RMB:USD	1%	1,835	-
EUR:USD	1%	1,561	-
Financial liabilities			
Monetary items			
USD:NTD	1%	$ 98,051	$ -
RMB:NTD	1%	884	-
GBP:USD	1%	45,502	-
EUR:USD	1%	2,029	-

	For the year ended December 31, 2012		
	Sensitivity analysis		
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	1%	$ 23,168	$ -
RMB:NTD	1%	529	-
GBP:USD	1%	3,157	-
RMB:USD	1%	329	-
Financial liabilities			
Monetary items			
USD:NTD	1%	$ 66,498	$ -
EUR:NTD	1%	12	-
GBP:USD	1%	4,530	-

Price risk

A.The Group is exposed to equity securities price risk because of investments held by the Group and classified on the consolidated balance sheet either as available-for-sale or at fair value through profit or loss. The Group is not exposed to commodity price risk. To manage its price risk arising from investments in equity securities, the Group diversifies its portfolio. Diversification of the portfolio is done in accordance with the limits set by the Group.

B.The Group's investments in equity securities comprise domestic listed and unlisted stocks. The prices of equity securities would change due to the change of the future value of investee companies. If the prices of these equity securities had increased/decreased by 1% with all other variables held constant, post-tax profit for the year ended December 31, 2012 would have increased/decreased by $2, as a result of gains/losses on equity securities classified as at fair value through profit or loss. Other components of equity would have increased/decreased by $19,088 and $15,247, respectively, as a result of gains/losses on equity securities classified as available-for-sale.

Interest rate risk

A.The Group's interest rate risk arises from long-term borrowings. Borrowings issued at variable rates expose the Group to cash flow interest rate risk which is partially offset by cash and cash equivalents held at variable rates. Borrowings issued at fixed rates expose the Group to fair value interest rate risk. During the years ended December 31, 2013 and 2012, the Group's borrowings at floating rate were denominated in the NTD and USD .

B.At December 31, 2013 and 2012, if interest rates on borrowings had been 1% higher/lower with all other variables held constant, post-tax profit for the years ended December 31, 2013 and 2012 would have been $566,820 and $384,804 lower/higher, respectively, mainly as a result of higher/lower interest expense on floating rate borrowings.

(b)Credit risk

A.Credit risk refers to the risk of financial loss to the Group arising from default by the clients or counterparties of financial instruments on the contract obligations. According to the Group's credit policy, each local entity in the Group is responsible for managing and analysing the credit risk for each of their new clients before standard payment and delivery terms and conditions are offered. Internal risk control assesses the credit quality of the customers, taking into account their financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board of Directors. The utilisation of credit limits is regularly monitored. Credit risk arises from cash and cash equivalents, derivative financial instruments and deposits with banks and financial institutions, as well as credit exposures to wholesale and retail customers, including outstanding receivables and committed transactions. For banks and financial institutions, only independently rated parties with high reputation are accepted.

B.No credit limits were exceeded during the reporting periods, and management does not expect any significant losses from non-performance by these counterparties.

C.For credit quality information of financial assets that are neither past due nor impaired, please refer to Note 6(5).

(c)Liquidity risk

A.Cash flow forecasting is performed in the operating entities of the Group and aggregated by Group treasury. Group treasury monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs.

B.The table below analyses the Group's non-derivative financial liabilities and net-settled or gross-settled derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date for non-derivative financial liabilities and to the expected maturity date for derivative financial liabilities.

Non-derivative financial liabilities:

December 31, 2013	Less than 3 months	Between 3 months and 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years	Total
Short-term loans	$ -	$ 596,860	$ -	$ -	$ -	$ 596,860
Accounts payable	12,202,811	43,356	-	-	-	12,246,167
Accounts payable - related parties	747,356	-	-	-	-	747,356
Other payables	1,499,325	365,752	3,432	762	1,009	1,870,280
Other payables - related parties	223	80,902	-	-	-	81,125
Bonds payable	-	573,121	38,400	3,076,800	-	3,688,321
Long-term loans (including current portion)	2,211,971	9,626,418	14,020,020	26,077,065	21,155,402	73,090,876
Long-term leases payable (including current portion)	657,796	1,550,535	2,164,460	4,329,203	9,868,890	18,570,884
Guarantee deposits received	380	5,408	27,865	788	104	34,545

Non-derivative financial liabilities:

December 31, 2012	Less than 3 months	Between 3 months and 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years	Total
Short-term loans	$ -	$1,452,400	$ -	$ -	$ -	$ 1,452,400
Accounts payable	13,535,453	4,167	99	-	-	13,539,719
Accounts payable - related parties	687,299	-	-	-	-	687,299
Other payables	1,311,312	441,136	77,715	4,761	-	1,834,924
Other payables - related parties	113,223	-	-	-	-	113,223
Bonds payable	-	38,400	587,191	3,115,200	-	3,740,791
Long-term loans (including current portion)	816,448	6,107,050	10,344,287	21,331,605	10,673,005	49,272,395
Long-term leases payable (including current portion)	182,110	846,084	1,204,069	3,728,028	9,840,339	15,800,630
Guarantee deposits received	4,061	19	6,335	-	29,297	39,712

Non-derivative financial liabilities:

January 1, 2012	Less than 3 months	Between 3 months and 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years	Total
Short-term loans	$ 277,380	$ 3,632,932	$ -	$ -	$ -	$ 3,910,312
Accounts payable	12,635,396	-	278	-	-	12,635,674
Accounts payable - related parties	77,701	-	-	-	-	77,701
Other payables	1,220,806	440,317	2,716	4,576	-	1,668,415
Other payables - related parties	148,623	-	-	-	-	148,623
Convertible/Exchangable bonds payable	-	2,960,824	-	-	-	2,960,824
Long-term loans (including current portion)	280,905	3,888,226	6,422,597	24,816,513	6,681,207	42,089,448
Long-term leases payable (including current portion)	94,345	324,445	410,934	1,963,919	904,818	3,698,461
Guarantee deposits received	10,288	19	-	25	29,899	40,231

Derivative financial liabilities:

January 1, 2012	Less than 3 months	Between 3 months and 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years	Total
Interest rate swap	$ 250,083	$ -	$ -	$ -	$ -	$ 250,083

C.The Group does not expect the timing of occurrence of the cash flows estimated through the maturity date analysis will be significantly earlier, nor expect the actual cash flow amount will be significantly different.

(3) Fair value estimation

A.The table below analyses financial instruments measured at fair value, by valuation method. The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data.

The following table presents the Group's financial assets and liabilities that are measured at fair value at December 31, 2013, December 31, 2012 and January 1, 2012:

December 31, 2013	Level 1	Level 2	Level 3	Total
Financial assets:				
Financial assets at fair value through profit or loss				
Embedded derivatives	$ -	$ -	$ 5,172	$ 5,172
Available-for-sale financial assets				
Equity securities	1,373,322	-	560,047	1,933,369
	$ 1,373,322	$ -	$ 565,219	$ 1,938,541

December 31, 2012	Level 1	Level 2	Level 3	Total
Financial assets:				
Financial assets at fair value through profit or loss				
Equity securities	$ 243	$ -	$ -	$ 243
Debt securities	-	-	76,648	76,648
Beneficiary certificates	1,403,823	-	-	1,403,823
Embedded derivatives	-	-	3,923	3,923
Available-for-sale financial assets				
Equity securities	1,273,884	-	264,248	1,538,132
	$ 2,677,950	$ -	$ 344,819	$ 3,022,769

January 1, 2012	Level 1	Level 2	Level 3	Total
Financial assets:				
Financial assets at fair value through profit or loss				
Equity securities	$ 10,003	$ -	$ -	$ 10,003
Debt securities	-	-	62,959	62,959
Beneficiary certificates	2,220,851	-	-	2,220,851
Cross currency swap	1,824	-	-	1,824
Available-for-sale financial assets	-	-	-	-
Equity securities	1,234,044	-	264,054	1,498,098
	$ 3,466,722	$ -	$ 327,013	$ 3,793,735
Financial liabilities:				
Financial liabilities at fair value through profit or loss				
Interest rate swap	$ 250,083	$ -	$ -	$ 250,083
Embedded derivatives	-	-	5,163	5,163
	$ 250,083	$ -	$ 5,163	$ 255,246

B.The fair value of financial instruments traded in active markets is based on quoted market prices at the balance sheet date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the closing price. These instruments are included in level 1. Instruments included in level 1 comprise primarily equity instruments and debt instruments classified as financial assets/financial liabilities at fair value through profit or loss or available-for-sale financial assets.

C.The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

D.If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

E.Specific valuation techniques used to value financial instruments include:

(a)Quoted market prices or dealer quotes for similar instruments.

(b)The fair value of interest rate swaps is calculated as the present value of the estimated future cash flows based on observable yield curves.

(c)The fair value of forward foreign exchange contracts is determined using forward exchange rates at the balance sheet date, with the resulting value discounted back to present value.

F.The following table presents the changes in level 3 instruments as at December 31, 2013, December 31, 2012 and January 1, 2012**.**

	Equity securities	Debt securities	Derivative financial instruments	Total
At January 1, 2013	$ 264,248	$ 76,648	$ 3,923	$ 344,819
Gains and losses recognized in net income	-	23,352	1,249	24,601
Gains and losses recognized in other comprehensive income	295,799	-	-	295,799
Disposed of in the period	-	(100,000)	-	(100,000)
At December 31, 2013	$ 560,047	$ -	$ 5,172	$ 565,219

	Equity securities	Debt securities	Derivative financial instruments	Total
At January 1, 2012	$ 264,054	$ 62,959	($ 5,163)	$ 321,850
Gains and losses recognized in net income	-	13,689	9,086	22,775
Gains and losses recognized in other comprehensive income	2,923	-	-	2,923
Disposed in the period	(2,729)	-	-	(2,729)
At December 31, 2012	$ 264,248	$ 76,648	$ 3,923	$ 344,819

13. SUPPLEMENTARY DISCLOSURES

(1)Significant transactions information

A. Loans to others:

Unit：Thousands of New Taiwan Dollars

Number (Note1)	Creditor	Borrower	General ledger account (Note 2)	Is a related party	Maximum outstanding balance during the year ended December 31, 2013 (Note 3)	Balance at December 31, 2013 (Note 8)	Actual amount drawn down	Interest rate (%)	Nature of loan (Note 4)	Amount of transactions with the borrower (Note 5)	Reason for short-term financing (Note 6)	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Note 7)	Ceiling on total loans granted (Note 7)
													Item	Value		
1	Peony Investment S.A.	Kingtrans Intl.Logistics (Tianjin) Co., Ltd.	Receivables from related parties (Note 9)	Yes	$ 45,010	$ 44,765	$ 44,765	1.3499	2	$ -	Working capital requirement	$ -	-	$ -	$ 7,996,673	$ 19,991,684
		Luanta Investment (NetherLands) N.V.	Receivables from related parties	Yes	348,308	348,308	273,096	1.2640~ 2.2930	2	-	"	-	-	-	7,996,673	19,991,684
		Clove Holding Ltd.	Receivables from related parties (Note 9)	Yes	330,072	328,273	268,587	1.1655~ 1.2640	2	-	"	-	-	-	15,993,347	19,991,684
2	Clove Holding Ltd.	Whitney Equipment LLC.	Receivables from related parties (Note 9)	Yes	119,496	74,608	74,608	1.2459	2	-	"	-	-	-	980,286	1,225,358
3	Evergreen Marine (UK) Ltd.	Kingtrans Intl. Logistics (Tianjin) Co., Ltd.	Receivables from related parties (Note 9)	Yes	45,010	44,765	44,765	1.3499	2	-	"	-	-	-	562,796	1,125,592

Note 1: The numbers filled in for the loans provided by the Company or subsidiaries are as follows:
(1) The Company is '0'.
(2) The subsidiaries are numbered in order starting from '1'.

Note 2: Fill in the name of account in which the loans are recognized, such as receivables–related parties, current account with stockholders, prepayments, temporary payments, etc.

Note 3 Fill in the year-to-date maximum outstanding balance of loans to others as of the reporting period.

Note 4: The column of 'Nature of loan' shall fill in 1.'Business association' or 2.'Short-term financing'.

Note 5: Fill in the amount of business transactions when nature of the loan is related to business transactions, which is the amount of business transactions occurred between the creditor and borrower in the current year.

Note 6: Fill in purpose of loan when nature of loan belongs to short-term financing, for example, repayment of loan, acquisition of equipment, working capital, etc.

Note 7: Fill in limit on loans granted to a single party and ceiling on total loans granted as prescribed in the creditor company's "Procedures for Provision of Loans", and state each individual party to which the loans have been provided and the calculation for ceiling on total loans granted in the footnote

1.According to the company's credit policy, the total amount of loans grandted to a single company should not exceed 20% of the net worth stated in the latest financial statement.

The calculation is as follows:

PEONY USD1,339,790*29.843*20%=7,996,673

EMU USD94,293*29.843*20%=562,796

The company held 100% voting shares directly and indirectly in foreign company, that the total amount of loans grandted to a single company shoud not exceed 40% of the net worth stated in the financial statement.

The calculation is as follows:

PEONY USD1,339,790*29.843*40%=15,993,347

COLVE USD82,120*29.843*40%=980,286

2.According to the company's credit policy, the total amount of loans grandted by the company should not exceed 40% of the net worth stated in the latest financial statement.

The calculation is as follows:

EMU USD94,293*29.843*40%=1,125,592

The company held 100% voting shares directly and indirectly in foreign company, that the total amount of loans grandted to the company shoud not exceed 50% of the net worth stated in the financial statement.

The calculation is as follows:

PEONY USD1,339,790*29.843*50%=19,991,684

COLVE USD82,120*29.843*50%=1,225,358

Note 8: The amounts of funds to be loaned to others which have been approved by the board of directors of a public company in accordance with Article 14, Item 1 of the "Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies" should be included in its published balance of loans to others at the end of the reporting period to reveal the risk of loaning the public company bears, even though they have not yet been appropriated. However, this balance should exclude the loans repaid when repayments are done subsequently to reflect the risk adjustment. In addition, if the board of directors of a public company has authorized the chairman to loan funds in instalments or in revolving within certain lines and within one year in accordance with Article 14, Item 2 of the "Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies", the published balance of loans to others at the end of the reporting period should also include these lines of loaning approved by the board of directors, and these lines of loaning should not be excluded from this balance even though the loans are repaid subsequently, for taking into consideration they could be loaned again thereafter.

Note 9: This transaction was written off when the consolidated financial statements were prepared.

B. Provision of endorsements and guarantees to others:

Unit：Thousands of New Taiwan Dollars

Number (Note1)	Endorser/guarantor	Party being endorsed / guaranteed		Limit on endorsements/ gurantees provided for a single party (Note 3)	Maximum outstanding endorsement/ guarantee amount as of December 31, 2013 (Note 4)	Outstanding endorsement/ guarantee amount at December 31, 2013 (Note 5)	Actual amount drawn down (Note 6)	Amount of endorsements /guarantees secured with collateral	Ratio of accumulated endorsement/ guarantee amount to net asset value of the endorser/guarantor company	Ceiling on total amount of endorsements/ gurantees provided (Note 3)	Provision of endorsements/ guarantees by parent company to subsidiary (Note 7)	Provision of endorsements/ guarantees by subsidiary to parent company (Note 7)	Provision of endorsements/ guarantees to the party in Mainland China (Note 7)
		Company name	Relationship with the endorser/ guarantor (Note 2)										
0	Evergreen Marine Corporation	Greencompass Marine S.A.	3	$ 114,484,097	$ 37,173,167	$ 32,167,655	$ 19,892,510	$ -	56.20	$ 143,105,121	Y		
0	Evergreen Marine Corporation	Peony Investment S.A.	2	114,484,097	444,096	441,676	292,461	-	0.77	143,105,121	Y		
0	Evergreen Marine Corporation	Evergreen Marine (UK) Ltd.	3	114,484,097	50,359,045	43,669,386	33,364,975	-	76.29	143,105,121	Y		
0	Evergreen Marine Corporation	Taranto Container Terminal S.p.A.	6	28,621,024	607,632	-	-	-	0.00	143,105,121			
0	Evergreen Marine Corporation	Whitney Equipment LLC.	3	114,484,097	2,959,596	1,150,529	1,087,928	-	2.01	143,105,121	Y		
0	Evergreen Marine Corporation	Hemlock Equipment LLC.	3	114,484,097	1,730,398	686,770	674,727	-	1.20	143,105,121	Y		
0	Evergreen Marine Corporation	Colon Container Terminal S.A.	6	28,621,024	655,352	655,352	189,269	-	1.14	143,105,121			
0	Evergreen Marine Corporation	Balsam Investment (Netherlands) N.V.	6	28,621,024	2,617,167	1,534,112	1,387,881	-	2.68	143,105,121			
1	Greencompass Marine S.A.	Taranto Container Terminal S.p.A.	1	139,087	121,879	121,879	121,879	-	0.49	62,502,192			

Note 1: The numbers filled in for the endorsements/guarantees provided by the Company or subsidiaries are as follows:
(1) The Company is '0'
(2) The subsidiaries are numbered in order starting from '1'.

Note 2: Relationship between the endorser/guarantor and the party being endorsed/guaranteed is classified into the following six categories; fill in the number of category each case belongs to
(1) Having business relationship.
(2) The endorser/guarantor parent company owns directly more than 50% voting shares of the endorsed/guaranteed subsidiary.
(3) The endorser/guarantor parent company and its subsidiaries jointly own more than 50% voting shares of the endorsed/guaranteed company.
(4) The endorsed/guaranteed parent company directly or indirectly owns more than 50% voting shares of the endorser/guarantor subsidiary.
(5) Mutual guarantee of the trade as required by the construction contract.
(6) Due to joint venture, each shareholder provides endorsements/guarantees to the endorsed/guaranteed company in proportion to its ownership.

Note 3: Fill in limit on endorsements/guarantees provided for a single party and ceiling on total amount of endorsements/guarantees provided as prescribed in the endorser/guarantor company's "Procedures for Provision of Endorsements and Guarantees", state each individual party to which the endorsements/guarantees have been provided,and the calculation for ceiling on total amount of endorsements/guarantees provided in the footnote.
Accoring to the company's credit policy, the total amount of endorsements or gurantees provided by the company should not exceed 250%of the networth stated in the latest financial statement.
The calculation is as follows:
The Company: 57,242,048*250% = 143,105,121
Limit on endorsement or guarantees provided by the company for a single entity is $28,621,024 (amounting to 50% of its net worth).
When the Company owns more than 50% voting shares of the endorsed/ guaranteed company, the limit on endorsement or guarantees provided by the Company should not exceed the 200% of its net worth, which equals to $114,484,097.
Accoring to the GMS's credit policy, the total amount of endorsements or gurantees provided by the GMS should not exceed 250%of the networth stated in the latest financial statement.
The calculation is as follows:
USD 837,747*29.8430*250%=62,502,192
The amount of endorsement or guarantees provided by the Company for a single entity should not exceed the transaction amounts for the latest fiscal year with the entity.
The calculation is as follows: USD 4,660.61 * 29.8430 = 139,087

Note 4: Fill in the year-to-date maximum outstanding balance of endorsements/guarantees provided as of the reporting period.

Note 5: Once endorsement/guarantee contracts or promissory notes are signed/issued by the endorser/guarantor company to the banks, the endorser/guarantor company bears endorsement/guarantee liabilities.
And all other events involve endorsements and guarantees should be included in the balance of outstanding endorsements and guarantees.

Note 6: Fill in the actual amount of endorsements/guarantees used by the endorsed/guaranteed company.

Note 7: Fill in 'Y' for those cases of provision of endorsements/guarantees by listed parent company to subsidiary and provision by subsidiary to listed parent company, and provision to the party in Mainland China.

C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures):

Unit：Thousands of New Taiwan Dollars / Thousands of shares

Securities held by	Marketable securities (Note 1)	Relationship with the securities issuer (Note 2)	General ledger account	As of December 31, 2013				Footnote (Note 4)
				Number of shares	Book value (Note 3)	Ownership (%)	Fair value	
Evergreen Marine Corporation	Stock:							
	Power World Fund Inc.		Available-for-sale financial assets - non-current	1,017	$ 7,627	5.68	$ 7,627	
	Taiwan HSR Consortium		〃	126,735	689,438	1.95	689,438	
	Linden Technologies, Inc.		〃	50	16,928	2.53	16,928	
	TopLogis, Inc.		〃	2,464	14,844	17.48	14,844	
	Ever Accord Construction Corp.		〃	8,470	71,280	17.50	71,280	
	Central Reinsurance Corp.		〃	47,492	683,883	8.45	683,883	
	Financial bonds:							
	Bank of Taichung Unsecured Subordinated Financial Debentures		Held-to-maturity financial asset - non-current	-	220,000	-	220,000	
	Ta Chong Commercial Bank 1st Unsecured Subordinate Financial Debentures-B Issue in 2009		〃	-	100,000	-	100,000	
	Sunny Bank 1st Subordinate Financial Debentures- B Issue in 2010		〃	-	50,000	-	50,000	

Securities held by	Marketable securities (Note 1)	Relationshipwith the securities issuer (Note 2)	General ledger account	As of December 31, 2013						Footnote (Note 4)
				Number of shares	Book value (Note 3)		Ownership (%)	Fair value		
Peony Investment S.A.	Dongbu Pusan Container Terminal Co. Ltd.		Available-for-sale financial assets - non-current	300	USD	32,030	15.00	USD	3,230	
	Hutchison Inland Container Depots Ltd.		〃	0.75	USD	372	7.50	USD	372	
	Colombo - South Asia Gateway Terminal		〃	18,942	USD	11,374	5.00	USD	11,374	
Evergreen Shipping Agency (Singapore) Pte Ltd.	RTW AIR SERVICES (S) PL		〃	30	SGD	42	2.00	SGD	42	
Evergreen Shipping Agency (Thailand) Co., Ltd.	Green Siam Air Service Co.		〃	4	THB	1,160	2.00	THB	1,160	
Evergreen Shipping Agency (Deutschland) GmbH	Zoll Pool Hafen hamburg AG		〃	10	EUR	10	2.86	EUR	10	

Note 1: Marketable securities in the table refer to stocks, bonds, beneficiary certificates and other related derivative securities within the scope of IAS 39 'Financial instruments : recognition and measurement.'

Note 2: Leave the column blank if the issuer of marketable securities is non-related party.

Note 3: Fill in the amount after adjusted at fair value and deducted by accumulated impairment for the marketable securities measured at fair value; fill in the acquisition cost or amortised cost deducted by accumulated impairment for the marketable securities not measured at fair value.

Note 4: The number of shares of securities and their amounts pledged as security or pledged for loans and their restrictions on use under some agreements should be stated in the footnote if the securities presented herein have such conditions.

D. Acquisition or sale of the same security with the accumulated cost exceeding NT$300 million or 20% of the Company's paid-in capital

Unit：Thousands of New Taiwan Dollars / Thousands of shares

Investor	Marketable securities (Note 1)	General ledger account	Counterparty (Note 2)	Relationship with the investor (Note 2)	Balance as at January 1, 2013		Addition (Note 3)		Disposal (Note 3)				Balance as at December 31, 2013	
					Number of shares	Amount	Number of shares	Amount	Number of shares	Selling price	Book value	Gain (loss) on disposal	Number of shares	Amount
Evergreen Marine Corporation	Beneficary Certificates:													
	PCAWell Pool Money Market Fund	Financial Assets at fair value through profit or loss -current			16,104	$ 211,843	60,456	$ 800,000	76,560	$1,014,456	$ 1,011,843	$ 2,613	-	-
	De-Bao Money Market Fund	〃			11,178	130,293	18,845	220,000	30,023	351,290	350,293	997	-	-
	Taishin 1699 Money Market Fund	〃			-	-	72,132	950,000	72,132	951,015	950,000	1,015	-	-
	Capital Money Market	〃			-	-	101,872	1,600,000	101,872	1,601,521	1,600,000	1,521	-	-
	Yuanta Wan Tai Money Market Fund	〃			26,075	381,878	49,428	730,000	75,503	1,115,589	1,111,878	3,711	-	-
	Mega Diamond Bond Fund	〃			40,849	493,910	24,556	300,000	65,405	799,092	793,910	5,182	-	-

Note 1: Marketable securities in the table refer to stocks, bonds, beneficiary certificates and other related derivative securities.

Note 2: Fill in the columns the counterparty and relationship if securities are accounted for under the equity method; otherwise leave the columns blank.

Note 3: Aggregate purchases and sales amounts should be calculated separately at their market values to verify whether they individually reach NT$300 million or 20% of paid-in capital or more.

Note 4: Paid-in capital referred to herein is the paid-in capital of parent company.In the case that shares were issued with no par value or a par value other than NT$10 per share, the 20 % of paid-in capital shall be replaced by 10% of equity attributable to owners othe parent.in the calculation.

E. Acquisition of real estate reaching NT$300 million or 20% of paid-in capital or more: None.

F. Disposal of real estate reaching NT$300 million or 20% of paid-in capital or more: None.

G. Purchases or sales of goods from or to related parties reaching NT$100 million or 20% of paid-in capital or more:

Unit：Thousands of New Taiwan Dollars

Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				Differences in transaction terms compared to third party transactions (Note1)		Notes/accounts receivable (payable)		Footnote (Note2)
			Purchases (Sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Evergreen Marine Corporation	Evergreen International Storage & Transport Corp.	Investee accounted for using equity method	Purchases	$ 379,957	2%	30~60 Days	$ -	-	($ 7,862)	-	
	Evergreen International Corp.	Investee of the Company's major shareholder	Sales	1,670,744	9%	30~60 Days	-	-	75,821	5%	
			Purchases	365,890	2%	30~60 Days	-	-	(44,662)	2%	
	Taiwan Terminal Services Co., Ltd.	Subsidiary of the Company	Purchases	736,944	4%	30~60 Days	-	-	(24,507)	1%	(Note)
	Gaining Enterprise S.A.	Subsidiary of EITC accounted for using equity method	Purchases	1,525,358	8%	30~60 Days	-	-	-	-	
	Greencompass Marine S.A.	Indirect subsidiary of the Company	Sales	1,387,698	7%	30~60 Days	-	-	9,584	1%	(Note)
			Purchases	513,158	3%	30~60 Days	-	-	-	-	(Note)
	Evergreen Marine (UK) Ltd.	Indirect subsidiary of the Company	Sales	835,962	4%	30~60 Days	-	-	9,519	1%	(Note)
			Purchases	267,375	1%	30~60 Days	-	-	-	-	(Note)
	Italia Marittima S.p.A.	Investee of Balsam	Sales	816,104	4%	30~60 Days	-	-	37,151	2%	
			Purchases	563,881	3%	30~60 Days	-	-	-	-	
	Evergreen Marine (Singapore) Pte Ltd.	Investee of the Company's major shareholder	Sales	1,351,566	7%	30~60 Days	-	-	24,758	1%	
			Purchases	165,494	1%	30~60 Days	-	-	(1,866)	-	
	Evergreen Marine (Hong Kong) Pte Ltd.	Investee of the Company's major shareholder	Purchases	163,170	1%	30~60 Days	-	-	(84,434)	4%	
Taiwan Terminal Services Co., Ltd.	Evergreen Marine Corp.	The parent	Sales	736,944	99%	30~60 Days	-	-	24,507	36%	(Note)

Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				Differences in transaction terms compared to third party transactions (Note1)		Notes/accounts receivable (payable)		Footnote (Note2)
			Purchases (Sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Everport Terminal Services Inc.	Evergreen Marine (Singapore) Pte. Ltd.	Investee of the Parent Company's major shareholder	Sales	USD 20,637	25%	10 Days	$ -	-	USD 465	20%	
	Greencompass Marine S.A.	Indirect subsidiary of the Parent Company	Sales	USD 21,277	26%	10 Days	-	-	USD 532	23%	(Note)
	Evergreen Marine (UK) Limited	Indirect subsidiary of the Parent Company	Sales	USD 19,863	24%	10 Days	-	-	USD 443	19%	(Note)
	Seaside Transportation Service LLC.	Investee of the Parent Company's major shareholder	Sales	USD 16,884	21%	10 Days	-	-	USD 807	35%	
Greencompass Marine S.A.	Evergreen Marine (Hong Kong) Ltd.	Investee of the Parent Company's major shareholder	Purchases	USD 45,605	2%	15~30 Days	-	-	(USD 4,449)	3%	
	Evergreen International S.A.	Major shareholder of the Parent Company's	Purchases	USD 18,670	1%	15~30 Days	-	-	(USD 3,770)	3%	
	Evergreen Marine (UK) Ltd.	Indirect subsidiary of the Parent Company	Sales	USD 26,657	1%	15~30 Days	-	-	USD 76	-	(Note)
			Purchases	USD 37,057	1%	15~30 Days	-	-	-	-	(Note)
	Evergreen Marine (Singapore) Pte. Ltd.	Investee of the Parent Company's major shareholder	Sales	USD 49,962	2%	15~30 Days	-	-	-	-	
			Purchases	USD 41,846	2%	15~30 Days	-	-	(USD 792)	1%	
	Italia Marittima S.p.A.	Investee of Balsam	Sales	USD 28,964	1%	15~30 Days	-	-	-	-	
			Purchases	USD 57,957	2%	15~30 Days	-	-	-	-	
	Evergreen Marine Corp.	The parent	Sales	USD 17,287	1%	15~30 Days	-	-	-	-	(Note)
			Purchases	USD 46,747	2%	15~30 Days	-	-	(USD 321)	-	(Note)
	Everport terminal services inc.	Subsidiary of the Parent Company	Purchases	USD 21,277	1%	15~30 Days	-	-	(USD 532)	-	(Note)
	Evergreen International Corp.	Investee of the Parent Company's major shareholder	Purchases	USD 11,529	-	15~30 Days	-	-	-	-	

Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				Differences in transaction terms compared to third party transactions (Note1)		Notes/accounts receivable (payable)		Footnote (Note2)
			Purchases (Sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Evergreen Marine (UK) Ltd.	Greencompass Marine S.A.	Indirect subsidiary of the Parent Company	Sales	USD 37,057	3%	30~60 Days	$ -	-	$ -	-	(Note)
			Purchases	USD 26,657	2%	30~60 Days	-	-	(USD 76)	-	(Note)
	Evergreen International Corp.	Investee of the Parent Company's major shareholder	Purchases	USD 7,408	-	30~60 Days	-	-	-	-	
	Evergreen Marine (Singapore) Pte. Ltd.	Investee of the Parent Company's major shareholder	Sales	USD 43,751	3%	30~60 Days	-	-	-	-	
			Purchases	USD 25,185	2%	30~60 Days	-	-	-	-	
	Everport Terminal Services Inc.	Subsidiary of the Parent Compa	Purchases	USD 19,863	1%	30~60 Days	-	-	(USD 443)	-	(Note)
	Evergreen Marine Corp.	The parent	Sales	USD 9,007	1%	30~60 Days	-	-	USD 65	-	(Note)
			Purchases	USD 28,161	2%	30~60 Days	-	-	(USD 319)	-	(Note)
	Italia Marittima S.p.A.	Investee of Balsam	Sales	USD 14,369	1%	30~60 Days	-	-	-	-	
			Purchases	USD 50,338	3%	30~60 Days	-	-	-	-	
	Evergreen Shipping Agency (Deutschland) GmbH	Indirect subsidiary of the Parent Company	Purchases	USD 6,625	-	30~60 Days	-	-	(USD 598)	-	(Note)
	Evergreen Shipping Agency France S.A.S.	Indirect subsidiary of the Parent Company	Purchases	USD 3,546	-	30~60 Days	-	-	(USD 158)	-	(Note)
	Evergreen Shipping Agency (Netherlands) B.V.	Indirect subsidiary of the Parent Company	Purchases	USD 5,902	-	30~60 Days	-	-	-	-	(Note)
Evergreen Shipping Agency (Deutschland) GmbH	Evergreen Marine (UK) Limited	Indirect subsidiary of the Parent Company	Sales	EUR 4,988	38%	0 Days	-	-	EUR 433	4%	(Note)
	Evergreen Marine (Singapore) Pte. Ltd.	Investee of the Parent Company's major shareholder	Sales	EUR 3,715	28%	0 Days	-	-	EUR 325	3%	
	Evergreen Shipping Agency (Russia) Ltd.	Indirect subsidiary of the Parent Company	Purchases	EUR 2,869	100%	0 Days	-	-	(EUR 208)	3%	(Note)

Purchaser/seller	Counterparty	Relationship with the counterparty	Transaction				Differences in transaction terms compared to third party transactions (Note1)		Notes/accounts receivable (payable)		Footnote (Note2)
			Purchases (Sales)	Amount	Percentage of total purchases (sales)	Credit term	Unit price	Credit term	Balance	Percentage of total notes/accounts receivable (payable)	
Evergreen Shipping Agency (Netherlands) B.V.	Evergreen Marine (UK) Limited	Indirect subsidiary of the Parent Company	Sales	EUR 4,444	36%	0 Days	$ -	-	$ -	-	(Note)
Evergreen Shipping Agency France S.A.S.	Evergreen Marine (UK) Limited	Indirect subsidiary of the Parent Company	Sales	EUR 2,670	38%	0 Days	-	-	EUR 114	29%	(Note)
Evergreen Shipping Agency (Russia) Ltd.	Evergreen Shipping Agency (Deutschland) GmbH	Indirect subsidiary of the Parent Company	Sales	EUR 121,599	57%	0 Days	-	-	EUR 7,045	9%	(Note)

Note: This transaction was written off when the consolidated financial statements were prepared.

Note 1: If terms of related-party transactions are different from third-party transactions, explain the differences and reasons in the ‘Unit price’ and ‘Credit term’ columns.

Note 2: In case related-party transaction terms involve advance receipts (prepayments) transactions, explain in the footnote the reasons, contractual provisions, related amounts, and differences in types of transactions compared to third-party transactions.

Note 3: Paid-in capital referred to herein is the paid-in capital of parent company.In the case that shares were issued with no par value or a par value other than NT$10 per share, the 20 % of paid-in capital shall be replaced by 10% of equity attributable to owners other parent in the calculation.

H. Receivables from related parties reaching NT$100 million or 20% of paid-in capital or more:

Unit：Thousands of New Taiwan Dollars

Creditor	Counterparty	Relationship with the Counterparty	Balance as at December 31, 2013 (Note1)	Turnover rate	Overdue receivables		Amount collected subsequent to the balance sheet date	Allowance for doubtful accounts
					Amount	Action Taken		
Evergreen Marine Corporation	Evergreen International Corporation	Investee of the Company's major shareholder	$ 133,318	-	$ -	-	$ 129,401	$ -
Peony Investment S.A	Luanta Investment (Netherlands) N.V.	Related Company of Peony Investment S.A	USD 9,197	-	-	-	-	-
	Clove Holding Ltd.	Subsidiary of the Company (Note)	USD 9,003	-	-	-	-	-

Note: This transaction was written off when the consolidated financial ststements were prepared.

Note 1: Fill in separately the balances of accounts receivable–related parties, notes receivable–related parties, other receivables–related parties, etc.

Note 2: Paid-in capital referred to herein is the paid-in capital of parent company.In the case that shares were issued with no par value or a par value other than NT$10 per share, the 20 % of paid-in capital shall be replaced by 10% of equity attributable to owners other parent in the calculation.

I. Derivative financial instruments undertaken during the year ended December 31, 2013: Please refer to Notes 6(2) and 12(2).

J. Significant inter-company transactions during the year ended December 31, 2013:

Unit：Thousands of New Taiwan Dollars

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
0	Evergreen Marine Corporation	Taiwan Terminal Service Co., Ltd.	1	Accounts payable	$ 24,507	Note 3	0.01
		"	1	Operating revenue	3,009	"	-
		"	1	Operating cost	736,899	"	0.53
		"	1	Other receivables	2	"	-
		Greencompass Marine S.A.	1	Account receivables	9,584	"	0.01
		"	1	Other receivables	3	"	-
		"	1	Shipowner's accounts - credit	521,920	"	0.30
		"	1	Operating revenue	1,387,698	"	1.00
		"	1	Operating cost	513,158	"	0.37
		Evergreen Marine (UK) Limited	1	Accounts receivable	9,519	"	0.01
		"	1	Other receivables	1,011	"	-
		"	1	Shipowner's accounts - credit	83,691	"	0.05
		"	1	Operating revenue	835,962	"	0.60
		"	1	Operating cost	267,375	"	0.19
		Evergreen Shipping Agency (India) Pvt. Ltd.	1	Operating cost	6,102	"	-
		"	1	Agency accounts - debit	19,887	"	0.01
		"	1	Accounts payable	7,404	"	-
		Evergreen Shipping Agency (Thailand) Co., Ltd.	1	Operating cost	26,794	"	0.02

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
0	Evergreen Marine Corporation	Evergreen shipping Agency (Thailand) Co., Ltd.	1	Agency accounts - debit	$ 10,270	Note 3	0.01
		PT. Evergreen Shipping Agency Indonesia	1	Agency accounts - debit	7,239	"	-
			1	Accounts payable	8,222		
		"	1	Operating cost	47,647	"	0.03
		Evergreen Shipping Agency (Singapore) Pte. Ltd.	1	Accounts payable	3,659	"	-
		"	1	Agency accounts - credit	7,598	"	-
		"	1	Operating cost	14,349	"	0.01
		Evergreen Shipping Agency (Korea) Corporation	1	Operating cost	4,635	"	-
		"	1	Accounts payable	2,262	"	-
		"	1	Agency accounts - credit	5,640	"	-
		Evergreen Shipping Agency (Deutschland) GmbH	1	Accounts payable	4,288	"	-
		"	1	Agency accounts - credit	2,984	"	-
		"	1	Operating cost	40,646	"	0.03
		Evergreen Shipping Agency (Ireland) Ltd.	1	Agency accounts - debit	1,162	"	-
		"	1	Accounts payable	221	"	-
		"	1	Operating cost	1,997	"	-
		Evergreen Shipping Agency (Netherlands) B.V.	1	Accounts payable	26,055	"	0.01
		"	1	Agency accounts - credit	13,164	"	0.01
		"	1	Operating cost	35,623	"	0.03
		Evergreen Shipping Agency (Poland) SP.ZO.O	1	Accounts payable	37	"	-
		"	1	Agency accounts - credit	1,094	"	-
		"	1	Operating cost	1,976	"	-

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
0	Evergreen Marine Corporation	Evergreen Shipping Agency France S.A.S.	1	Accounts payable	$ 2,854	Note 3	-
		"	1	Agency accounts - credit	6,233	"	-
		"	1	Operating cost	11,960	"	0.01
		Evergreen Shipping (Spain) S.L.	1	Operating cost	5,950	"	-
		"	1	Agency accounts - dedit	185	"	-
		"	1	Accounts payable	528	"	-
		Evergreen Shipping Agency (Italy) S.p.A.	1	Agency accounts - debit	311	"	-
		"	1	Accounts payable	1,741	"	-
		"	1	Operating cost	5,816	"	-
		Evergreen Shipping Agency (Russia) Limited	1	Agency accounts - credit	181	"	-
		"	1	Other receivables	92	"	-
		Evergreen Shipping Agency (Vietnam) Corp.	1	Operating cost	21,846	"	0.02
		"	1	Agency accounts - credit	20,917	"	0.01
		Evergreen Shipping Agency (Australia) Pty. Ltd.	1	Agency accounts - debit	271	"	-
		"	1	Accounts payable	728	"	-
		"	1	Operating cost	52	"	-
		Evergreen Shipping Agency (UK) Limited	1	Operating cost	31,131	"	0.02
		"	1	Agency accounts - credit	1,855	"	-
		"	1	Accounts payable	1,241	"	-
		Evergreen Sipping Agency (Switzerland) S.A.	1	Agency accounts - debit	13	"	-
		"	1	Operating cost	856	"	-

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
0	Evergreen Marine Corporation	Evergreen Shipping Agency (Australia) GmbH	1	Agency accounts - debit	$ 1,706	Note 3	-
		"	1	Accounts payable	1,478	"	-
		"	1	Operating cost	2,674	"	-
		Evergreen Shipping Agency (South Africa) (PTY) Ltd.	1	Agency accounts - credit	400	"	-
		"	1	Accounts payable	82	"	-
		"	1	Operating cost	10	"	-
		PT.Multi Bina Pura International	1	Other receivables	2	"	-
		Kingtrans Intl Logistics (Tianjin) Co., Ltd	1	Other receivables	2	"	-
1	Greencompass Marine S.A.	Evergreen Marine (UK) Limited	3	Operating revenue	791,312	"	0.57
		"	3	Operating cost	1,100,035	"	0.79
		"	3	Accounts receivable	2,267	"	-
		"	3	Shipowner's accounts - debit	40,465	"	0.02
		"	3	Accounts payable	4,407	"	-
		Evergreen Shipping Agency (India) Pvt. Ltd.	3	Agency accounts - debit	9,136	"	0.01
		"	3	Operating cost	35,234	"	0.03
		"	3	Accounts payable	1,992	"	-
		Evergreen Shipping Agency (Thailand) Co., Ltd.	3	Agency accounts - debit	10,882	"	0.01
		"	3	Accounts payable	11,047	"	-
		"	3	Operating cost	73,612	"	0.05
		PT. Evergreen Shipping Agency Indonesia	3	Operating cost	61,030	"	0.04
		"	3	Accounts payable	4,145	"	-

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
1	Greencompass Marine S.A.	Evergreen Shipping Agency (Singapore) Pte. Ltd.	3	Agency accounts - debit	$ 45,821	Note 3	0.03
		"	3	Accounts payable	2,773	"	-
		"	3	Operating cost	46,568	"	0.03
		Evergreen Shipping Agency (Korea) Corporation	3	Operating cost	52,953	"	0.04
		"	3	Accounts payable	3,542	"	-
		"	3	Accounts receivable	5,331	"	-
		Evergreen Shipping Agency (Deutschland) GmbH	3	Operating cost	64,657	"	0.05
		"	3	Accounts payable	8,556	"	-
		"	3	Agency accounts - debit	1,555	"	-
		Evergreen Shipping Agency (Ireland) Ltd.	3	Operating cost	2,973	"	-
		"	3	Accounts payable	360	"	-
		"	3	Agency accounts - debit	2,510	"	-
		Evergreen Shipping Agency (Netherlands) B.V.	3	Accounts payable	6,795	"	-
		"	3	Accounts receivable	1,860	"	-
		"	3	Operating cost	67,859	"	0.05
		Evergreen Shipping Agency (Poland) SP.ZO.O	3	Agency accounts - debit	250	"	-
		"	3	Accounts payable	315	"	-
		"	3	Operating cost	2,402	"	-
		Evergreen Shipping Agency France S.A.S.	3	Operating cost	60,103	"	0.04
		"	3	Accounts payable	10,321	"	0.01
		Evergreen Shipping (Spain) S.L.	3	Accounts receivable	4,383	"	-
		"	3	Accounts payable	2,627	"	-
		"	3	Operating cost	22,038	"	0.02

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
1	Greencompass Marine S.A.	Evergreen Shipping Agency (Italy) S.p.A.	3	Agency accounts - credit	$ 10,265	Note 3	0.01
		"	3	Accounts payable	3,839	"	-
		"	3	Accounts receivable	2,004	"	-
		"	3	Operating cost	24,176	"	0.02
		Evergreen Shipping Agency (Vietnam) Corp.	3	Accounts payable	3,500	"	-
		"	3	Agency accounts - debit	864	"	-
		"	3	Operating cost	36,312	"	0.03
		Evergreen Shipping Agency (Australia) Pty. Ltd.	3	Agency accounts - debit	690	"	-
		"	3	Accounts payable	4,489	"	-
		"	3	Operating cost	26,174	"	0.02
		Evergreen Shipping Agency (South Africa) (PTY) Ltd	3	Accounts payable	3,804	"	-
		"	3	Agency accounts - debit	15,383	"	0.01
		"	3	Operating cost	30,709	"	0.02
		Evergreen Shipping Agency (UK) Limited	3	Operating cost	36,614	"	0.03
		"	3	Agency accounts - debit	2,855	"	-
		"	3	Accounts payable	1,540	"	-
		Evergreen Shipping Agency (Austria) GmbH	3	Operating cost	3,529	"	-
		Evergreen Shipping Agency (Switzerland) S.A.	3	Operating cost	180	"	-
		"	3	Agency accounts - debit	55	"	-
		Everport Terminal Secrvices Inc.	3	Operating cost	631,490	"	0.45
		"	3	Accounts payable	15,872	"	0.01

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
2	Evergreen Marine (UK) Limited	Evergreen Shipping Agency (Thailand) Co., Ltd.	3	Accounts payable	$ 4,142	Note 3	-
		"	3	Agency accounts - debit	14,394	"	0.01
		"	3	Agency accounts - credit	12,329	"	0.01
		"	3	Operating cost	38,585	"	0.03
		Evergreen Shipping Agency (India) Pvt. Ltd.	3	Operating cost	29,636	"	0.02
		"	3	Agency accounts - debit	11,181	"	0.01
		"	3	Accounts payable	2,151	"	-
		PT. Evergreen Shipping Agency Indonesia	3	Agency accounts - debit	2,122	"	-
		"	3	Accounts payable	2,139	"	-
		"	3	Operating cost	30,176	"	0.02
		Evergreen Shipping Agency (Singapore) Pte. Ltd.	3	Accounts payable	2,085	"	-
		"	3	Accounts receivable	2,315	"	-
		"	3	Operating cost	19,840	"	0.01
		Evergreen Shipping Agency (Korea) Corporation	3	Operating cost	19,365	"	0.01
		"	3	Accounts payable	1,744	"	-
		"	3	Accounts receivable	2,997	"	-
		Evergreen Shipping Agency (Deutschland) GmbH	3	Accounts payable	19,223	"	0.01
		"	3	Operating cost	196,662	"	0.14

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
2	Evergreen Marine (UK) Limited	Evergreen Shipping Agency (Ireland) Ltd.	3	Other receivables	$ 140	Note 3	-
		"	3	Agency accounts - debit	807	"	-
		"	3	Accounts payable	1,654	"	-
		"	3	Operating revenue	2,829	"	-
		"	3	Operating cost	13,065	"	0.01
		Evergreen Shipping Agency (Netherlands) B.V.	3	Accounts payable	15,003	"	0.01
		"	3	Agency accounts - credit	39,141	"	0.02
		"	3	Accounts receivable	5,981	"	-
		"	3	Operating cost	175,211	"	0.13
		Evergreen Shipping Agency (Poland) SP.ZO.O	3	Accounts payable	1,135	"	-
		"	3	Accounts receivable	714	"	-
		"	3	Operating cost	12,398	"	0.01
		Evergreen Shipping Agency France S.A.S.	3	Operating cost	105,272	"	0.08
		"	3	Accounts payable	11,934	"	0.01
		Evergreen Shipping (Spain) S.L.	3	Agency accounts - debit	2,598	"	-
		"	3	Accounts payable	6,236	"	-
		"	3	Operating cost	58,087	"	0.04
		Evergreen Shipping Agency (Italy) S.p.A.	3	Operating cost	21,848	"	0.02
		"	3	Accounts payable	2,316	"	-
		"	3	Agency accounts - debit	1,619	"	-
		"	3	Agency accounts - credit	15,553	"	0.01
		Evergreen Shipping Agency (Russia) Limited	3	Accounts payable	10	"	-
		"	3	Operating cost	94	"	-

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
2	Evergreen Marine (UK) Limited	Evergreen Shipping Agency (Vietnam) Corp.	3	Accounts payable	$ 3,310	Note 3	-
		"	3	Accounts receivable	1,674	"	-
		"	3	Operating cost	34,805	"	0.03
		Evergreen Shipping Agency (Australia) Pty. Ltd.	3	Operating cost	520	"	-
		"	3	Accounts payable	38	"	-
		"	3	Accounts receivable	11	"	-
		Evergreen Shipping Agency (South Africa) (PTY) Ltd	3	Agency accounts - credit	29	"	-
		"	3	Accounts payable	79	"	-
		"	3	Operating cost	908	"	-
		Evergreen Shipping Agency (UK) Limited	3	Operating cost	95,247	"	0.07
		"	3	Other receivables	1,515	"	-
		"	3	Accounts payable	2,968	"	-
		Kingtrans Intl. Logistics (Tianjin) Co., Ltd	3	Other receivables	44,765	"	0.03
		Evergreen Shipping Agency (Switzerland) S.A.	3	Operating cost	19,550	"	0.01
		"	3	Agency accounts - debit	978	"	-
		"	3	Accounts payable	178	"	-
		Evergreen Shipping Agency (Austria) GmbH	3	Operating cost	11,694	"	0.01
		"	3	Agency accounts - debit	1,826	"	-
		"	3	Accounts payable	1,893	"	-
		Everport Terminal Services Inc.	3	Operating cost	589,468	"	0.42
		"	3	Accounts payable	13,235	"	0.01
3	Peony Investment S.A.	Clove Holding Ltd.	3	Other receivables	268,662	"	0.15
		Kingtrans Intl. Logistics (Tianjin) Co., Ltd	3	Other receivables	45,156	"	0.03

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transaction			
				General ledger account	Amount	Transaction terms	Percentage of consolidated total operating revenues or total assets (Note 3)
4	PT.Multi Bina Pura International	PT.Multi Bina Transport	3	Accounts receivable	$ 443	Note 3	-
		"	3	Accounts payable	62	"	-
		"	3	Operating revenue	4,939	"	-
		"	3	Operating cost	1,561	"	-
		PT. Evergreen Shipping Agency Indonesia	3	Accounts receivable	852	"	-
5	Clove Holding Ltd.	Whitney Equipment LLC.	3	Other receivables	74,608	"	0.04
6	Evergreen Shipping Agency (Russia) Limited	Evergreen Shipping Agency (Deutschland) GmbH	3	Operating revenue	113,130	"	0.08
		"	3	Accounts receivable	6,406	"	-
		"	3	Accounts payable	25,681	"	0.01
7	Island Equipment LLC.	Whitney Equipment LLC.	3	Other payable	2	"	-
8	PT.Multi Bina Transport	PT. Evergreen Shipping Agency Indonesia	3	Accounts receivable	763	"	-

Note 1: The numbers filled in for the transaction company in respect of inter-company transactions are as follows:
(1) Parent company is '0'.
(2) The subsidiaries are numbered in order starting from '1'.

Note 2: Relationship between transaction company and counterparty is classified into the following three categories; fill in the number of category each case belongs to (If transactions between parent company and subsidiaries or between subsidiaries refer to the same transaction, it is not required to disclose twice. For example, if the parent company has already disclosed its transaction with a subsidiary, then the subsidiary is not required to disclose the transaction; for transactions between two subsidiaries, if one of the subsidiaries has disclosed the transaction, then the other is not required to disclose the transaction.):
(1) Parent company to subsidiary.
(2) Subsidiary to parent company.
(3) Subsidiary to subsidiary.

Note 3: Regarding percentage of transaction amount to consolidated total operating revenues or total assets, it is computed based on period-end balance of transaction to consolidated total assets for balance sheet accounts and based on accumulated transaction amount for the period to consolidated total operating revenues for income statement accounts.

Note 4: The Company may decide to disclose or not to disclose transaction details in this table based on the Materiality Principle.

(2)Disclosure information on investees

Unit：Thousands of shares/Thousands of New Taiwan Dollars

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Evergreen Marine Corp.	Peony Investment S.A.	East 53rd Street, Marbella, MMG Building 2nd Floor, Panama, Republic of Panama	Investment activities	$ 14,220,190	$ 14,220,190	4,765	100.00	$ 39,694,900	($ 3,265,365)	($ 3,248,664)	Subsidiary of the Company (Note)
	Taiwan Terminal Services Co., Ltd.	No.6 Qijin 1st Rd. Qijin District, Kaohsiung, Taiwan	Loading and discharging operations of container yards	55,000	55,000	5,500	55.00	25,557	19,485	10,717	″ (Note)
	Everport Terminal Services Inc.	1209 Orange Street in the city of Wilmington, Country of New Castle, State of Delaware, USA	Terminal services	2,984	2,984	1	100.00	67,382	54,384	54,384	″ (Note)
	Charng Yang Development Co., Ltd.	2F, No.369, Jingguo Rd., Taoyuan City, Taoyuan County, Taiwan	Development, rental, and sale of residential and commercial	320,000	320,000	52,738	40.00	448,138	160,227	64,091	Investee accounted for using the equity method
	Evergreen International Storage and Transport Corporation	No.899, Jingguo Rd., Taoyuan City, Taoyuan County, Taiwan	Container transportation and gas stations	4,753,514	4,753,514	424,062	39.74	7,775,737	580,653	233,592	″
	Evergreen Security Corporation	4&5F, No.111, Sungjiang Rd., Taipei, Taiwan	General security guards services	25,000	25,000	6,336	31.25	78,170	44,201	13,813	″
	EVA Airways Corporation	11F, No.376, Section 1, Hsinnan Rd., Lu Chu Township, Taoyuan County, Taiwan	International passenger and cargo transportation	10,767,879	10,767,879	629,483	19.32	6,922,314	747,450	144,374	″

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Evergreen Marine Corp.	Taipei Port Container Terminal Corporation	No.25 Siajhuwei, Syuntang Village, Bali District, New Taipei City, Taiwan	Container distribution and cargo stevedoring	$ 1,094,073	$ 883,731	109,378	21.03	$ 1,000,040	($ 131,256)	($ 27,609)	Investee accounted for using the equity method
	Evergreen Marine (Latin America), S.A.	EVERGREEN BUILDING 10TH FLOOR, 5TH B AVE AND 78 EAST STREET, SAN FRANCISCO,	Management consultancy	3,134	3,134	105	17.50	3,369	1,112	195	″
Peony Investment S.A.	Clove Holding Ltd.	Craigmuir Chambers, P.O. Box71, Road Town, Tortola, B.V.I.	Investment holding company	1,568,228	1,568,228	10	100.00	2,450,716	169,460	169,460	Indirect subsidiary of the Company (Note)
	Evergreen Shipping Agency (Deutschland) GmbH	Evergreen Building Amsinckstrasse 55 20097 Hamburg, Germany	Shipping agency	248,174	248,174	-	100.00	246,251	9,289	9,289	″ (Note)
	Evergreen Shipping Agency (Ireland) Ltd.	22 Fiztwilliam Place, Dublin 2, Ireland	Shipping agency	2,835	2,835	0.1	100.00	7,927	814	814	″ (Note)
	Evergreen Shipping Agency (Korea) Corporation	12FL, ROYAL BVILDING 5 ANGJU-DONG, JONGNO-GO, SEOUL, REPUBLIC OF KOREA	Shipping agency	72,399	72,399	121	100.00	84,035	28,695	28,695	″ (Note)
	Evergreen Shipping Agency (Netherlands) B.V.	PortCity Ⅱ - Havennummer 2235 Waalhaven ZZ 19 3089 JH Rotterdam, The Netherlands	Shipping agency	118,686	118,686	0.047	100.00	188,717	10,561	10,561	″ (Note)
	Evergreen Shipping Agency (Poland) SP. ZO.O	ul. Chmielna 132/134, 00-805 Warszawa, Poland	Shipping agency	19,756	19,756	2	100.00	19,701	647	647	″ (Note)

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Peony Investment S.A.	Greencompass Marine S.A.	East 53rd Street, Marbella, MMG Building 2nd Floor, Panama, Republic of Panama	Marine transportation	$ 10,549,501	$ 10,549,501	3,535	100.00	$ 25,000,877	($ 1,451,867)	($ 1,451,867)	Indirect subsidiary of the Company (Note)
	Vigor Enterprise S.A.	East 53rd Street, Marbella, MMG Building 2nd Floor, Panama, Republic of Panama	Investment holding company	14,922	14,922	5	100.00	14,140	(710)	(710)	″ (Note)
	Evergreen Shipping Agency (India) Pvt. Ltd.	Mararhon Nextgon Innova"A"G01, Opp. Peninsula Corporate Park, Off G.K.Marg. Lower Parel (W) , MUMBAI 400 013, INDIA	Shipping agency	35,118	35,118	100	99.99	98,080	63,014	63,013	″ (Note)
	Evergreen Argentina S.A.	Pje. Carabelas 344, (C1009AAD), Buenos Aires. Argentina	Leasing	4,178	4,178	150	95.00	3,730	(14,180)	(13,471)	″ (Note)
	Evergreen Shipping Agency France S.A.S.	Tour Franklin-La Defense 8, 92042 PARIS LA DEFENSE CEDEX-FRANCE.	Shipping agency	27,068	27,068	5	100.00	61,927	7,389	7,389	″ (Note)
	PT. Multi Bina Pura International	JL. Raya Cakung Cilincing KM.4, Jakarta Utara 14260,Indonesia	Loading and discharging operations of container yards and inland transportation	233,997	233,997	17	95.03	297,803	81,058	77,029	″ (Note)
	PT. Multi Bina Transport	JL. Raya Cakung Cilincing KM.4, Jakarta Utara 14260, Indonesia	Container repair, cleaning and inland transportation	24,003	24,003	2	17.39	11,782	11,176	1,944	″ (Note)

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Peony Investment S.A.	Evergreen Heavy Industrial Corp. (Malaysia) Berhad	Lot 139, Jalan Cecair, Phase 2, Free Trade Zone, Johor Port Authority, 81700 Pasir Gudang,Johor, Malaysia.	Container manufacturing	$ 814,560	$ 814,560	42,120	84.44	$ 1,412,403	$ 90,091	$ 76,073	Indirect subsidiary of the Company (Note)
	Armand Investment (Netherlands) N.V.	Van Engelenweg 23, Curacao	Investment holding company	343,568	274,631	4	70.00	324,884	(15,261)	(10,683)	〃 (Note)
	Evergreen Shipping (Spain) S.L.	CALLE SIETE AGUAS, 11 - ENTLO. 46023 VALENCIA, SPAIN	Shipping agency	115,492	115,492	3	55.00	97,347	87,230	47,977	〃 (Note)
	Evergreen Shipping Agency (Italy) S.p.A.	Scali Cerere 9 - 57122 Livorno, Italy	Shipping agency	70,191	70,191	0.55	55.00	62,327	3,202	1,761	〃 (Note)
	Evergreen Marine (UK) Ltd.	160 Euston Road, London NW 12 DX, U.K.	Marine transportation	501,441	44,843	765	51.00	1,435,236	(1,893,794)	(965,835)	〃 (Note)
	Evergreen Shipping Agency (Australia) Pty. Ltd.	Level 13,181 Miller Street, North Sydney NSW 2060 Australia	Shipping agency	7,374	7,374	0.675	67.50	27,822	38,512	25,996	〃 (Note)
	Evergreen Shipping Agency (Russia) Ltd.	Evergreen Office,11 Millionnaya Street, ST. Petersburg, 191186 RUSSIA	Shipping agency	25,307	25,307	-	51.00	62,319	119,442	60,916	〃 (Note)

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Peony Investment S.A.	Evergreen Shipping Agency (Singapore) Pte. Ltd.	200 Cantonment Road # 12-02 Southpoint, Singapore 089763	Shipping agency	$ 64,371	$ 64,371	765	51.00	$ 178,157	$ 58,405	$ 29,787	Indirect subsidiary of the Company (Note)
	Evergreen Shipping Agency (Thailand) Co., Ltd.	3656/81, 24-25th Floor, Green Tower, Rama 4 Road, Klongton, Klongtoey, Bangkok 10110	Shipping agency	43,989	43,989	408	51.00	64,074	92,651	47,252	〃 (Note)
	Evergreen Shipping Agency (Vietnam) Corp.	11F, Fideco Tower 81-85 Ham Nghi St., Dist. 1, Ho Chi Minh City, Vietnam	Shipping agency	13,549	13,549	-	51.00	40,111	63,209	32,236	〃 (Note)
	PT. Evergreen Shipping Agency Indonesia	GD. MEGA PLAZA 9th Floor. Jl. H.R. Rasuna said kav. C-03 Jakarta 12920, Indonesia	Shipping agency	29,037	29,037	0.459	51.00	78,071	112,338	57,292	〃 (Note)
	Evergreen Agency (South Africa) (PTY) Ltd.	9B Riley Road Bedfordview, Johannesburg 2007, South Africa	Shipping agency	17,332	17,332	5,500	55.00	137,936	101,665	55,916	〃 (Note)
	Luanta Investment (Netherlands) N.V.	Van Engelenweg 21A, Curagao	Investment holding company	1,280,513	1,185,382	460	50.00	2,464,516	(362,518)	(181,529)	Investee company of Peony accounted for using the equity method
	Balsam Investment (Netherlands) N.V.	Van Engelenweg 23, Curagao	Investment holding company	6,906,312	5,466,979	0.451	49.00	1,663,148	(3,424,827)	(1,678,165)	〃

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Peony Investment S.A.	Green Peninsula Agencies SDN. BHD.	NO.7, JALAN JURUTERA U1/23, SECTION U1, HICOM GLENMARIE INDUSTRIAL PARK, 40150 SHAH ALAM, SELANGOR DARUL EHSAN, MALAYSIA.	Investment holding company	$ 216,511	$ 216,511	1,500	30.00	$ 195,979	$ 189,624	$ 56,887	Investee company of Peony accounted for using the equity method
	Evergreen Shipping Agency Co. (U.A.E.) LLC.	5F, Shipping Tower, Al-Mina Road, P.O.BOX 34984, Dubai, U.A.E	Shipping agency	62,133	62,133	-	49.00	86,270	108,644	53,236	〃
	Greenpen Properties Sdn. Bhd.	NO.7, JALAN JURUTERA U1/23, SECTION U1, HICOM GLENMARIE INDUSTRIAL PARK, 40150 SHAH ALAM, SELANGOR DARUL EHSAN, MALAYSIA.	Renting estate and storehouse company	2,705,621	-	300	30.00	33,901	7,805	2,341	〃
Armand Investment (Netherlands) N.V.	Armand Estate B.V.	Claude Debussylaan 18, 1082 MD Amsterdam	Investment holding company	505,419	406,937	0.045	100.00	464,308	(14,621)	(14,621)	Indirect subsidiary of the Company (Note)
Armand Estate B.V.	Taipei Port Container Terminal Corporation	No.25 Siajhuwei, Syuntang Village, Bali District, New Taipei City, Taiwan	Container distribution and cargo stevedoring	506,019	378,350	50,602	9.73	461,882	(131,256)	(12,787)	Investee company of Armand Estate B.V. accounted for using the equity method

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Clove Holding Ltd.	Colon Container Terminal S.A.	COCO SOLO NORTH ADM BUILDING PANAMA	Inland container storage and loading	$ 682,211	$ 682,211	22,860	40.00	$ 2,515,716	$ 399,205	$ 159,682	Investee company of Clove Holding Ltd. accounted for using the equity method
	Island Equipment LLC.	655 Deep Valley Drive, Suite 305, Rolling Hils Estates, CA	Investment holding company	4,297	4,297	-	36.00	117,885	36,750	13,230	Indirect subsidiary of the Company (Note)
Island Equipment LLC.	Whitney Equipment LLC.	2711 Centerville Road, Suite 400, Wilmington, Delaware 19808	Equipment leasing company	5,969	5,969	-	100.00	99,457	26,283	26,283	″ (Note)
	Hemlock Equipment LLC.	2711 Centerville Road, Suite 400, Wilmington, Delaware 19808	Equipment leasing company	5,969	5,969	-	100.00	242,323	25,738	25,738	″ (Note)
Evergreen Marine (UK) Ltd.	Island Equipment LLC.	655 Deep Valley Drive, Suite 300, Rolling Hils Estates, CA	Investment holding company	1,791	1,791	-	15.00	49,119	36,750	5,512	″ (Note)
	Evergreen Shipping Agency (UK) Limited	160 Euston Road, London NW 12 DX, U.K.	Shipping agency	0.06	0.06	-	100.00	94,097	9,728	9,728	″ (Note)
	Evergreen Marine (Latin America), S.A.	EVERGREEN BUILDING 10TH FLOOR, 5TH B AVE AND 78 EAST STREET, SAN FRANCISCO, PANAMA.	Management consultancy	2,954	2,954	99	16.50	3,177	1,339	221	Investee company of Evergreen Marine (UK) Ltd. accounted for using the equity method
PT. Multi Bina Pura International	PT. Multi Bina Transport	JL. Raya Cakung Cilincing KM.4, Jakarta Utara 14260, Indonesia	Container repair, cleaning and inland transportation	98,524	98,524	8.000	72.95	49,426	11,176	8,153	Indirect subsidiary of the Company (Note)

Investor	Investee (Note 1 and Note 2)	Location	Main business activities	Initial investment amount		Shares held as at December 31, 2013			Net profit (loss) of the investee for the year ended December 31, 2013 (Note 2(2))	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2(3))	Footnote
				Balance as at December 31, 2013	Balance as at December 31, 2012	Number. of shares	Ownership (%)	Book value			
Evergreen Shipping Agency (Deutschland) GmbH	Evergreen Shipping Agency (Austria) GmbH	Theresianumgasse 7 , 1040 Wien , Austria	Shipping agency	$ 748	$ 748	-	100.00	$ 21,282	$ 991	$ 991	Indirect subsidiary of the Company (Note)
	Evergreen Shipping Agency (Switzerland) S.A.	Gerbergasse 14, 4001 Basel, Switzerland (P.O. box : 1325, 4001 Basel)	Shipping agency	2,834	2,834	0.1	100.00	8,055	879	879	″ (Note)

Note: This transaction was written off when the consolidated financial statements were prepared.

Note 1: If a public company is equipped with an overseas holding company and takes consolidated financial report as the main financial report according to the local law rules, it can only disclose the information of the overseas holding company about the disclosure of related overseas investee information.

Note 2: If situation does not belong to Note 1, fill in the columns according to the following regulations:

(1) The columns of 'Investee', 'Location', 'Main business activities', 'Initial investment amount' and 'Shares held as at December 31, 2013' should fill orderly in the Company's (public company's) information on investees and every directly or indirectly controlled investee's investment information, and note the relationship between the Company (public company) and its investee each (ex. direct subsidiary or indirect subsidiary) in the 'footnote' column.

(2) The 'Net profit (loss) of the investee for year period ended December 31, 2013' column should fill in amount of net profit (loss) of the investee for this period.

(3) The 'Investment income (loss) recognized by the Company for the year period ende December 31, 2013' column should fill in the Company (public company) recognized investment income (loss) of its direct subsidiary and recognized investment income (loss) of its investee accounted for under the equity method for this period.

When filling in recognized investment income (loss) of its direct subsidiary, the Company (public company) should confirm that direct subsidiary's net profit (loss) for this period has included its investment income (loss) which shall be recognized by regulations.

(3)Information on investments in Mainland China

A.Basic information:

Unit：Thousands of New Taiwan Dollars

Investee in Mainland China	Main business activities	Paid-in Capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2013	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended December 31, 2013		Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2013	Net profit (loss) of the investee for the year ended December 31, 2013	Ownership held by the Company (direct or indirect) (%)	Investment income (loss) recognized by the Company for the year ended December 31, 2013 (Note 2)	Book value of investments in Mainland China as of December 31, 2013	Accumulated amount of investment income remitted back to Taiwan as of December 31, 2013
					Remitted to Mainland China	Remitted back to Taiwan						
Ningbo Victory Container Co., Ltd.	Inland container transportation, container storage, loading, discharging, repair and related activities	CNY 24,119	(2)	$ 30,365 USD 1,018	$ - 	$ - 	$ 30,365 USD 1,018	$ 23,957 USD 807	40.00	$ 9,583 USD 323	$ 82,099 USD 2,751	$ -
Qingdao Evergreen Container Storage & Transportation Co., Ltd.	Inland container transportation, storage, loading, discharging, repair, cleaning and related activities	CNY 92,500	(2)	132,710 USD 4,447	- 	- 	132,710 USD 4,447	138,184 USD 4,655	40.00	55,274 USD 1,862	257,219 USD 8,619	-
Kingtrans Intl. Logistics (Tianjin) Co., Ltd.	Inland container transportation, storage, loading, discharging, repair, cleaning and related activities	CNY 77,929	(2)	119,372 USD 4,000	- 	- 	119,372 USD 4,000	33,869 USD 1,141	40.00	13,548 USD 456	188,237 USD 6,308	-

Name of the company	Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2013	Investment amount approved by the Investment Commission of the Ministry of Economic Affairs (MOEA) (Note 3)	Ceiling on investments in Mainland China imposed by the Investment Commission of MOEA
Evergreen Marine Corp.	$282,447 (USD 9,465)	$1,077,103 (USD 36,092)	$ 34,345,229

(Net worth of the company $57,242,048)

1.Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:

(1) Investing directly in Mainland China

(2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.

(3) Others (ex. entrusted investment).

Note 2: In the 'Investment income (loss) recognised by the Company for the year ended December 31, 2013' column:

(1) It should be indicated if the investee was still in the incorporation arrangements and had not yet any profit during this period.

(2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:

1. The financial statements that are audited and attested by international accounting firm which has cooperative relationship with accounting firm in R.O.C.

2. The financial statements that are audited and attested by R.O.C. parent company's CPA.

3. Others.

Note 3: The numbers in this table are expressed in New Taiwan Dollars.

2. Significant transactions conducted with investees in Mainland China directly or indirectly through other companies in the third areas: None

14. SEGMENT INFORMATION

(1) General information

A.Management has determined the operating segments based on the reports reviewed by the chief operating decision-maker that are used to make strategic decisions.

B.There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information in this period.

(2) Measurement of segment information

The Group assesses the performance of the operating segments based on the profits and losses of segments.

(3) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

	For the year ended December 31, 2013			
	Transportation Department	Investing and holding Department	Other Departments	Total
Segment revenue	$ 136,083,639	$ 478,257	$ 2,654,488	$ 139,216,384
Interest income	230,205	16,562	2,762	249,529
Interest expense	(411,988)	(75)	(23)	(412,086)
Depreciation and amortization	(6,475,213)	(283,823)	(34,399)	(6,793,435)
Investment income (loss) under equity method	428,677	(1,535,209)	-	(1,106,532)
Other items	(130,113,972)	(114,199)	(2,514,836)	(132,743,007)
Segment profit (loss)	($ 258,652)	($ 1,438,487)	$ 107,992	($ 1,589,147)
				-
Recognizable assets	$ 143,368,227	$ 4,982,057	$ 2,101,317	$ 150,451,601
Long-term equity investments under equity method	16,230,944	7,669,908	-	23,900,852
Segment assets	$ 159,599,171	$ 12,651,965	$ 2,101,317	$ 174,352,453
Segment liabilities	$ 111,358,701	$ 2,399,445	$ 424,718	$ 114,182,864

	For the year ended December 31, 2012			
	Transportation Department	Investing and holding Department	Other Departments	Total
Segment revenue	$ 138,277,272	$ 467,553	$ 2,281,566	$ 141,026,391
Interest income	206,423	26,139	488	233,050
Interest expense	(456,984)	-	(786)	(457,770)
Depreciation and amortization	(5,476,643)	(263,461)	(34,346)	(5,774,450)
Investment income (loss) under equity method	426,440	(1,162,144)	-	(735,704)
Other items	(132,028,398)	(1,171)	(2,216,948)	(134,246,517)
Segment profit (loss)	$ 948,110	($ 933,084)	$ 29,974	$ 45,000
				-
Recognizable assets	$ 123,589,390	$ 6,390,055	$ 1,979,522	$ 131,958,967
Long-term equity investments under equity method	15,769,241	7,471,514	-	23,240,755
Segment assets	$ 139,358,631	$ 13,861,569	$ 1,979,522	$ 155,199,722
Segment liabilities	$ 91,482,037	$ 2,640,263	$ 318,173	$ 94,440,473

(4) Reconciliation for segment income (loss)

A.Sales between segments are carried out at arm's length. The revenue from external parties reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

B.The amounts provided to the chief operating decision-maker with respect to total assets are measured in a manner consistent with that in the balance sheet.

C.The amounts provided to the chief operating decision-maker with respect to total liabilities are measured in a manner consistent with that in the balance sheet.

(5) Trade information

	For the year ended December 31, 2013		For the year ended December 31, 2012	
Service routes	Amount	% of Account Balance	Amount	% of Account Balance
North America	$ 55,220,754	43	$ 53,844,321	41
Europe	28,252,479	22	34,145,179	26
Asia	24,399,868	19	24,952,246	19
Others	20,547,257	16	18,385,866	14
	$ 128,420,358	100	$ 131,327,612	100

(6) Geographical information

Geographical information for the years ended December 31, 2013 and 2012 is as follows:

	For the year ended December 31, 2013		For the year ended December 31, 2012	
	Revenue	Non-current assets	Revenue	Non-current assets
Taiwan	$ 16,889,301	$ 21,149,155	$ 16,059,897	$ 17,598,584
America	75,436,748	32,026,710	81,688,818	25,399,155
Europe	42,635,205	36,960,904	39,395,967	29,377,653
Asia	3,844,543	1,429,082	3,475,950	1,408,127
Others	410,587	10,833	405,759	11,319
	$ 139,216,384	$ 91,576,684	$ 141,026,391	$ 73,794,838

(7) Major customer information

The Group provides services to customers all over the world. No single customer of the Group accounts for more than 10% of the Group's operating revenues.

15. INITIAL APPLICATION OF IFRSs

These consolidated financial statements are the first consolidated financial statements prepared by the Group in accordance with the IFRSs. The Group has adjusted the amounts as appropriate that are reported in the previous R.O.C. GAAP consolidated financial statements to those amounts that should be presented under IFRSs in the preparation of the opening IFRS balance sheet. Information about exemptions elected by the Group, exceptions to the retrospective application of IFRSs in relation to initial application of IFRSs, and how it affects the Group's financial position, operating results and cash flows in transition from R.O.C. GAAP to the IFRSs is set out below:

(1) Exemptions elected by the Group

A. Business combinations

The Group has elected not to apply the requirements in IFRS 3, 'Business Combinations', retrospectively to business combinations that occurred prior to the date of transition to IFRSs ("the transition date"). This exemption also applies to the Group's previous acquisitions of investments in associates and joint ventures.

B. Employee benefits

The Group has elected to recognize all cumulative actuarial gains and losses relating to all employee benefit plans in 'retained earnings' at the transition date, and to disclose the information of present value of defined benefit obligation, fair value of plan assets, gain or loss on plan assets and experience adjustments under the requirements of paragraph 120A (P), IAS 19, 'Employee Benefits', based on their prospective amounts for financial periods from the transition date.

C.Cumulative translation differences

The Group has elected to reset the cumulative translation differences arising on the translation of the financial statements of foreign operations under R.O.C. GAAP to zero at the transition date, and to deal with translation differences arising subsequent to the transition date in accordance with IAS 21, 'The Effects of Changes in Foreign Exchange Rates'.

D. Deemed cost

As the investee, Evergreen International Storage and Transport Corporation (EITC), has elected to use the revalued amounts of property, plant and equipment under R.O.C. GAAP as their 'deemed cost' under IFRSs at the opening IFRSs balance sheet date, the Company also adopted this exemption and recognized such effect of IFRSs in proportion to its share ownership in the investee.

E. Designation of previously recognized financial instruments

The Group has designate certain 'financial assets carried at cost' as 'available-for-sale financial assets' at the transition date.

F. Borrowing costs

The Group has elected to apply the transitional provisions in paragraphs 27 and 28 of IAS 23, "Borrowing Costs", amended in 2007 and apply IAS 23 from the transition date.

(2) Except for accounting estimates, derecognition of financial assets and financial liabilities and non-controlling interest to which exceptions to the retrospective application of IFRSs specified in IFRS 1 are not applied as they have no relation with the Group, other exceptions to the retrospective application are set out below:

A.Accounting estimates

Accounting estimates made under IFRSs on January 1, 2012 are consistent with those made under R.O.C. GAAP on that day.

B.Non-controlling interest

Requirements of IAS 27 (amended in 2008) that shall be applied prospectively are as follows:

(a) Requirements concerning total comprehensive income (loss) attributed to owners of the parent and non-controlling interest, even which results in a loss to non-controlling interest;

(b) Requirements that change in interest ownership of the parent in a subsidiary while control is retained is accounted for as an equity transaction with the parent.

(3) Requirement to reconcile from R.O.C. GAAP to IFRSs at the time of initial application

IFRS 1 requires that an entity should prepare reconciliations for equity, comprehensive income and cash flows for the comparative periods. The Group's initial application of IFRSs has no significant effect on cash flows from operating activities, investing activities and financing activities. Reconciliations for equity and comprehensive income for the comparative periods as to transition from R.O.C. GAAP to IFRSs is shown below:

A. Reconciliation for equity on January 1, 2012:

	R.O.C. GAAP	Effect of transition from R.O.C. GAAP to IFRSs	IFRSs	Remark
Current assets				
Cash and cash equivalents	$ 23,006,258	$ -	$ 23,006,258	
Financial assets at fair value through profit or loss - current	2,232,678	-	2,232,678	
Held-to-maturity financial assets - current	951,382	-	951,382	
Notes receivable, net	93,263	-	93,263	
Accounts receivable, net	7,835,603	-	7,835,603	
Accounts receivable, net-related parties	151,270	-	151,270	

	R.O.C. GAAP	Effect of transition from R.O.C. GAAP to IFRSs	IFRSs	Remark
Other receivables	1,601,761	(13,526)	1,588,235	(13)
Other receivables- related parties	520,638	-	520,638	
Current income tax assets	-	13,526	13,526	(13)
Inventories	4,814,786	-	4,814,786	
Prepayments	717,212	1,483	718,695	(1)
Deferred income tax assets -current	253,930	(253,930)	-	(2)
Restricted assets	520,132	(520,132)	-	
Other current assets	3,395,777	627,803	4,023,580	(3)(4) (11)
Financial assets at fair value through profit or loss - non-current	62,959	-	62,959	
Available-for-sale financial assets - non-current	602,904	895,194	1,498,098	(5)
Held-to-maturity financial assets - non-current	370,000	-	370,000	
Financial assets measured at cost - non-current	1,515,391	(1,511,970)	3,421	(5)
Investments accounted for using equity method	23,591,816	(561,934)	23,029,882	(7)
Investment property	-	2,022,584	2,022,584	(6)
Property, plant and equipment	64,762,841	(16,739,204)	48,023,637	(1)(6) (10)(12)
Intangible assets	-	3,380	3,380	(12)
Deferred pension costs	61,058	(61,058)	-	(3)
Deferred income tax assets	-	568,435	568,435	(2)(3) (4)(7)
Deferred expense	274,235	(274,235)	-	(3)(12)
Other non-current assets	121,636	16,540,409	16,662,045	(10)(12)
Total assets	$ 137,457,530	$ 736,825	$ 138,194,355	

	R.O.C. GAAP	Effect of transition from R.O.C. GAAP to IFRSs	IFRSs	Remark
Short-term loans	$ 3,910,312	$ -	$ 3,910,312	
Financial liabilities at fair value through profit or loss - current	255,246	-	255,246	
Accounts payable	12,635,674	-	12,635,674	
Accounts payable-related parties	77,701	-	77,701	
Other payables	1,890,571	(222,156)	1,668,415	(1)(3)(4)
Other payables-related parties	148,623	-	148,623	
Current income tax liabilities	184,138	-	184,138	
Other current liabilities	9,352,886	189,391	9,542,277	(1)
Long-term loans	37,863,525	-	37,863,525	
Deferred income tax liabilities	1,316,628	91,076	1,407,704	(2)(3)(4)
Other non-current liabilities	4,220,691	2,503,458	6,724,149	(1)(3)
Total liabilities	71,855,995	2,561,769	74,417,764	
Common shares	34,734,581	-	34,734,581	
Capital reserve from long-term investments	1,606,562	(218,012)	1,388,550	(8)
Capital reserve - other	5,873,830	-	5,873,830	
Legal reserve	9,102,785	-	9,102,785	
Special reserve	4,579,324	-	4,579,324	
Unappropriated retained earnings	8,862,023	(4,787,992)	4,074,031	(1)(3)(4)(7)(8)(9)
Exchange differences on translating the financial statements of foreign operations	(2,656,053)	2,656,053	-	(9)
Unrecognized pension cost	(1,229,959)	1,229,959	-	(3)(7)
Unrealized gain on valuation of available-for-sale financial assets	273,369	(635,722)	(362,353)	(5)(7)
Hedging instrument gain (loss) on effective hedge of cash flow hedges	19,364	-	19,364	
Non-controlling interest	4,435,709	(69,230)	4,366,479	(3)(4)(7)
Total equity	65,601,535	(1,824,944)	63,776,591	

B.Reconciliation for equity on December 31, 2012:

	R.O.C. GAAP	Effect of transition from R.O.C. GAAP to IFRSs	IFRSs	Remark
Cash and cash equivalents	$ 31,984,708	$ -	$ 31,984,708	
Financial assets at fair value through profit or loss - current	1,407,989	-	1,407,989	
Notes receivable, net	131,332	-	131,332	
Accounts receivable, net	12,984,094	-	12,984,094	
Accounts receivable, net-related parties	172,326	-	172,326	
Other receivables	618,997	(28,930)	590,067	(4)(13)
Other receivables- related parties	239,489	(15,456)	224,033	(4)
Current income tax assets	-	28,905	28,905	(13)
Inventories	5,233,026	-	5,233,026	
Prepayments	801,972	(22,364)	779,608	(1)
Deferred income tax assets -current	275,927	(275,927)	-	(2)
Restricted assets	550,214	(550,214)	-	
Other current assets	1,368,992	653,886	2,022,878	(3)(4) (11)
Financial assets at fair value through profit or loss - non-current	76,648	-	76,648	
Available-for-sale financial assets - non-current	640,209	897,923	1,538,132	(5)
Held-to-maturity financial assets - non-current	370,000	-	370,000	
Financial assets measured at cost - non-current	1,505,358	(1,505,358)	-	(5)
Investments accounted for using equity method	23,692,633	(451,878)	23,240,755	(7)
Investment property	71,944,088	(14,049,007)	57,895,081	(1)(6) (10)(12)

	R.O.C. GAAP	Effect of transition from R.O.C. GAAP to IFRSs	IFRSs	Remark
Property, plant and equipment	-	2,040,255	2,040,255	(6)
Intangible assets	-	6,214	6,214	(12)
Deferred pension costs	458,670	(458,670)	-	(3)
Deferred income tax assets	-	620,383	620,383	(2)(3) (4)(7)
Deferred expense	395,641	(395,641)	-	(3)(12)
Other non-current assets	117,767	13,735,521	13,853,288	(10)(12)
Total assets	$ 154,970,080	$ 229,642	$155,199,722	
Short-term loans	$ 1,452,400	$ -	$ 1,452,400	
Accounts payable	13,539,719	-	13,539,719	
Accounts payable-related parties	687,299	-	687,299	
Other payables	1,805,184	29,740	1,834,924	(1)(3) (4)
Other payables-related parties	113,223	-	113,223	
Current income tax liabilities	84,832	116	84,948	
Other current liabilities	12,361,726	159,011	12,520,737	(1)
Bonds payable	3,548,791	-	3,548,791	
Long-term loans	41,534,538	-	41,534,538	
Deferred income tax liabilities	1,275,630	116,509	1,392,139	(2)(3) (4)
Other non-current liabilities	16,137,897	1,593,858	17,731,755	(1)(3)
Total liabilities	92,541,239	1,899,234	94,440,473	

	R.O.C. GAAP	Effect of transition from R.O.C. GAAP to IFRSs	IFRSs	Remark
Common shares	34,749,407	-	34,749,407	
Capital reserve from long-term investments	1,606,562	(218,012)	1,388,550	(8)
Capital reserve - other	5,883,329	-	5,883,329	
Legal reserve	9,102,785	-	9,102,785	
Special reserve	3,593,280	-	3,593,280	
Unappropriated retained earnings	9,976,596	(4,854,667)	5,121,929	(1)(3) (4)(7) (8)(9)
Exchange differences on translating the financial statements of foreign operations	(4,877,940)	3,010,577	(1,867,363)	(9)
Unrecognized pension cost	(1,284,299)	1,284,299	-	(3)(7)
Unrealized gain on valuation of available-for-sale financial assets	336,958	(826,960)	(490,002)	(5)(7)
Hedging instrument gain (loss) on effective hedge of cash flow hedges	10,289	-	10,289	
Non-controlling interest	3,331,874	(64,829)	3,267,045	(3)(4) (7)
Total equity	62,428,841	(1,669,592)	60,759,249	

D.Reconciliation for comprehensive income for the year ended December 31, 2012:

	R.O.C. GAAP	Effect of transition from R.O.C. GAAP to IFRSs	IFRSs	Remark
Operating revenue	$ 141,028,128	($ 1,737)	$ 141,026,391	(3)(4)
Operating costs	(136,948,924)	84,906	(136,864,018)	(1)(3)(4)
General & administrative expenses	(5,350,577)	72,174	(5,278,403)	(3)(4)
Operating loss	(1,271,373)	155,343	(1,116,030)	
Non-operating revenue and expenses	1,116,195	44,835	1,161,030	(7)
(Loss) profit before income tax	(155,178)	200,178	45,000	
Income tax expense	(263,459)	6,788	(256,671)	(3)(4)(7)
Consolidated net loss	(418,637)	206,966	(211,671)	
Non-controlling interest loss	(547,168)	22,953	(524,215)	(3)(4)(7)
Profit for the year	128,531	184,013	312,544	
Other comprehensive income				
Exchange differences on translating the financial statements of foreign operations			(2,254,867)	(14)
Unrealised gain on valuation of available-for-sale financial assets			47,989	(14)
Actuarial loss on defined benefit plan			(110,563)	(14)
Income tax relating to the components of other comprehensive income			(2,386)	(14)
Share of other comprehensive income of associates and joint ventures accounted for under equity method			(510,167)	(14)
Total comprehensive loss for the year			($ 3,041,665)	

Consolidated net income (loss)	
Owners of the parent	$ 312,544
Non-controlling interest	(524,215)
	($ 211,671)
Total comprehensive income attributable to:	
Owners of the parent	($ 1,942,231)
Non-controlling interest	(1,099,434)
	($ 3,041,665)

Reasons for reconciliation are outlined below:

(1) In accordance with IAS 17, “Leases”, that the Group accounted for under operating lease to capital lease.

(2) In accordance with R.O.C. GAAP, a deferred tax asset or liability should, according to the classification of its related asset or liability, be classified as current or noncurrent. However, a deferred tax asset or liability that is not related to an asset or liability for financial reporting, should be classified as current or noncurrent according to the expected time period to realize or settle a deferred tax asset or liability. However, under IAS 1, “Presentation of Financial Statements”, an entity should not classify a deferred tax asset or liability as current. Further deferred income tax assets and liabilities cannot be offset as they do not meet the criteria of offsetting assets and liabilities under IAS 12, “Income Taxes”. Thus, the Group reclassified deferred income tax assets and liabilities at the transition date.

(3) On the date of transition, the reasons for reconciliations are as follows:

(a)The discount rate used to calculate pensions shall be determined with reference to the factors specified in R.O.C. SFAS 18, paragraph 23. However, IAS 19, “Employee Benefits”, requires an entity to determine the rate used to discount employee benefits with reference to market yields at the end of the reporting period on high quality corporate bonds of a currency and term consistent with the currency and term of the benefit obligation; when there is no deep market in corporate bonds, an entity is required to use market yields on government bonds (at the end of the reporting period) instead.

(b)In accordance with the Group’s accounting policies, unrecognised transitional net benefit obligation should be amortised on a straight-line basis over the average remaining service period of employees still in service and expected to receive benefits. However, the transitional provisions in IAS 19 are not applied to the Group as a first-time adopter of IFRSs, so the Group has no unrecognised transitional liabilities.

(c)In accordance with R.O.C. GAAP, the excess of the accumulated benefit obligation over the fair value of the pension plan (fund) assets at the balance sheet date is the minimum amount of pension liability that is required to be recognised on the balance sheet ("minimum pension liability"). However, IAS 19, "Employee Benefits", has no regulation regarding the minimum pension liability.

(d)The Group selects to recognise all the accumulated actuarial pension gain or loss related to the plan of employee benefits in undistributed earnings at the transition date.

(e)In accordance with R.O.C. GAAP, actuarial pension gain or loss of the Group is recognised in net pension cost of current period using the 'corridor' method. However, in accordance with IAS 19, "Employee Benefits", the Group selects to recognise immediately actuarial pension gain or loss in other comprehensive income.

(4) R.O.C. GAAP does not specify the rules on recognition of the cost of accumulated unused compensated absences. The Group recognized such cost as expense upon actual payment. However, IAS 19, "Employee Benefits", requires that cost of accumulated unused compensated absences should be accrued as expense at the balance sheet date after considering the effect of income tax.

(5) In accordance with the "Rules Governing the Preparation of Financial Statements by Securities Issuers" before amendment on July 7, 2011, unlisted stocks and emerging stocks held by the Group were measured at cost and recognized as "Financial assets measured at cost–non-current". However, in accordance with IAS 39, "Financial Instruments: Recognition and Measurement", investments in equity instruments without an active market but with reliable fair value measurement (i.e. the variability in the range of reasonable fair value estimates is insignificant for that instrument, or the probabilities of the estimates within the range can be reasonably assessed and used in estimating fair value) should be measured at fair value. Therefore, the Group designated such financial assets measured at cost as "Available-for-sale financial assets–non-current" at the transition date in accordance with the "Rules Governing the Preparation of Financial Statements by Securities Issuers".

(6) In accordance with R.O.C. GAAP, the Group's property that is leased to others is presented in "Property, Plant and Equipment" account. In accordance with IAS 40, "Investment Property", property that meets the definition of investment property is classified and accounted for as "Investment property". The Group thus reclassified "Property, Plant and Equipment, Net" to "Investment Property" on transition date.

(7) As the investee has elected to adopt IFRSs, the Group recognized such effect of IFRS adjusted to the investment accounted for under the equity method in proportion to its share ownership in the investee.

(8) The Group has elected not to apply the requirements in IFRS 3, “Business Combinations”, retrospectively to investments in associates that occurred prior to the date of transition to IFRSs, and has adjusted to “Undistributed Earnings” on the date of transition to IFRSs for the “Capital Surplus—long-term investments” under ROC GAAP that did not meet the regulations of IFRSs.

(9) In accordance with R.O.C. GAAP, exchange differences arising from translation of the financial statements of overseas investee companies accounted for using equity method are recorded as “Cumulative Translation Adjustments” under stockholders’ equity. In accordance with IFRS 1, “First-time Adoption of International Financial Reporting Standards”, the Group has elected to reset the cumulative translation differences arising on the translation of the financial statements of foreign entities to “Undistributed Earnings” at the opening IFRS balance sheet date, and to deal with translation differences arising subsequent to the opening IFRS balance sheet date in accordance with IAS 21, “The Effects of Changes in Foreign Exchange Rates”.

(10) Prepayment for acquisition of property, plant and equipment is presented in “Property, plant and equipment” in accordance with the “Rules Governing the Preparation of Financial Statements by Securities Issuers”. However, such prepayment should be presented in “Other non-current assets” based on its nature under IFRSs.

(11) In accordance with R.O.C. GAAP, restricted cash and cash equivalents are presented in “Restricted assets”. However, under IFRSs, as the Group’s restricted assets did not meet the definitions of cash equivalents, they were reclassified to “Other financial assets” on the date of transition to IFRSs. (Classified as other non – current assets).

(12) In accordance with R.O.C. GAAP, deferred expenses are accounted for under ‘other assets’. However, under IFRSs, deferred expenses shall be classified appropriately based on their nature. Thus, the Group reclassified deferred expenses to “Property, plant and equipment”, “Computer software” and “Other non-current assets”, respectively, on the date of transition to IFRSs.

(13) In accordance with R.O.C. GAAP, income tax refundable are classified as “Other receivables”. However, under IFRSs, current income tax shall be classified appropriately based on their nature. Thus, the Group reclassified current income tax refundable to “Current income tax assets”, on the date of transition to IFRSs.

(14) R.O.C GAAP does not provide any guidance regarding other comprehensive income, and the ending balance of other comprehensive accounts are presented, net of tax, as equity components in the balance sheets. However, under IAS 1 “Presentation of Financial Statements”, an entity shall disclose the amount of income tax relating to each component of other comprehensive income, including reclassification adjustments, either in the statement of comprehensive income or in the notes.

F.Major adjustments for the consolidated statement of cash flows for the year ended December 31, 2012:

(a)The transition from R.O.C. GAAP to IFRSs has no effect on the Group’s cash flows reported.

(b)The reconciliation between R.O.C. GAAP and IFRSs has no net effect on the Group’s cash flows reported.